

REACH BEYOND



SUSTAINABILITY REPORT 2023



MIZUNO CREW 21

MIZUNO CREW 21 IS OUR GLOBAL
SUSTAINABILITY COMMITMENT
TO PROTECT OUR PLANET FOR
FUTURE GENERATIONS.



SUSTAINABILITY REPORT 2023



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Message from the President

We aim to further generate innovations that utilize the power of sports to address societal challenges, striving for the growth and enhancement of the value of the Mizuno Group.

Since its establishment in 1906, the Mizuno Group has been driven by a corporate philosophy: “Contributing to society through the advancement of sporting goods and the promotion of sports.” This remains our core principle, shaping Mizuno’s purpose for all stakeholders. Over the past three years, the COVID-19 pandemic has profoundly impacted people's lives, introducing numerous challenges. However, during this time, we have come to deeply re-appreciate the power of sports, reinforcing our conviction in our group's mission.

Global sports events are now regaining their pre-pandemic vibrancy. Particularly captivating the attention of people worldwide and fresh in our memories are the football world championship held from November to December 2022 and the baseball world championship in March 2023. The exemplary performance of the Japanese teams in these tournaments filled us with immense joy, excitement, and hope. Realizing that our products played a pivotal role behind the scenes in supporting these athletes' stellar performances brought me back to the very roots of our heritage, making these tournaments deeply meaningful for me.

In recent years, our group has developed products and services that tackle social challenges such as an aging society, climate change, among others. In 2022, we inaugurated the “MIZUNO ENGINE” Innovation Center, located next to our Osaka Head Office. It symbolizes collaboration, bringing together a diverse team to openly discuss and shape its foundational concepts. Here, our research extends beyond the competitive world of sports to encapsulate everyday physical engagements, anchored by data acquisition. With an agile approach, we aim to unveil products and services that can make a meaningful difference in society.

Our commitment to social, economic, and environmental sustainability is unwavering. Since 1991, our Crew 21 Project has dedicated efforts to global environmental conservation, envisioning ourselves as a crew member of Spaceship Earth. Over the decades, we have been proactive in our CSR efforts, aiming to mitigate the environmental and societal impacts of our operations. Today, sustainability challenges, from climate change to human rights, are becoming more pronounced. We recognize a shift in consumers’ purchasing consciousness, and in global investment decisions. Thus, we continue to strengthen our initiatives, whether through the development of eco-conscious products, optimizing resource utilization, or enhancing CSR-based partnerships. I firmly believe that sustainability initiatives, aligned with our core strategies, can elevate our brand's value and our corporate stature.

The international landscape is fluctuating unpredictably. With the advancement of digital technology, there are shifts in people's behaviors and values. As we look ahead, predicting long-term societal changes is complex. Businesses must now demonstrate agility and adaptability. For the Mizuno Group to grow, it is vital that every individual within our organization excels in their role. This will help maximize the value we offer to stakeholders and boost our profits. Central to our strategy is nurturing our workforce, fostering skills that drive our competitive edge, and enhancing employee engagement to ensure harmony between the company and our people.

Championing the value of sports remains our commitment, as we believe it fosters a peaceful and sustainable society. While we continue to strengthen our core offerings in sports goods, we are also expanding into products and services that cater to the evolving needs of society. We envision sustained growth and an elevated Mizuno brand recognition.

As we move forward, we humbly seek the continued support of all our stakeholders and extend our deepest gratitude for your trust in our endeavors.

Akito Mizuno
President
Mizuno Corporation



Corporate overview

Corporate Philosophy

Contributing to society through the advancement of sporting goods and the promotion of sports.

Sports provide diverse value and play a vital role in helping people to lead a prosperous and comfortable lifestyle.

Mizuno not only supports sporting activities by offering better sporting goods but also develops products and services that make the most of the value of sports and actively spread that in daily life.

We will contribute to making people around the world happy through the power of sports.

Corporate Data

Company Name	Mizuno Corporation
Head Office	Osaka Head Office 1-12-35 Nanko Kita, Suminoe-ku, Osaka, Japan Tokyo Head Office 3-22 Kanda Ogawa-machi, Chiyoda-ku, Tokyo, Japan
President	Akito Mizuno
Total Number (consolidated) of employees	3,421 as of March 31, 2023.
Established	Apr.1, 1906
Paid-in Capital	26,137 million yen as of March 31, 2023.



Long Term Management Policies



■ 1. Re-establish and Invigorate Our Brand Towards a Bright Future.

By utilizing our long history of successful innovations, we will transition forward into becoming a market-leading brand. Collaborating with our vast group of respected stakeholders and worldwide employees, Mizuno will contribute to social, economic and environmental sustainability through the power and effect of sports.

■ 2. Heighten, Strengthen and Enhance Mizuno's Brand Status Globally.

Building upon our strong corporate philosophy, Mizuno is capable of great worldwide growth. Growth that provides enhanced commercial and corporate value, as well as new opportunities to address social and environmental issues. It is through innovation, “Renkei” (Cooperation) and the focusing of our vast resources that we can target and combat these global issues.

■ 3. Cultivate and Encourage a Corporate Culture to Be Proud of.

By emphasizing our values of "Fair-Play", "Friendship" and having a "Fighting Spirit", we aim to contribute to social, economic and environmental sustainability. We will continue to diversify ourselves and foster a corporate culture in which employees feel motivated and passionate to create market-leading innovations.



Sustainability Basic Policy

The Mizuno Group promotes sustainability activities based on ISO 26000, a guideline on social responsibility, and based on "Sustainability Basic Philosophy" and "Action Principles for SDGs." We aim to be a company that is trusted and needed by all stakeholders by actively working to realize a sustainable society and to preserve a beautiful global environment.

Sustainability Basic Philosophy

- To help people lead a more affluent and comfortable life, we at the Mizuno Group will promote our business activities in good faith, by:
- Providing better sporting equipment, places and opportunities for playing sports to all, regardless of nation or race;
 - Conducting business activities in a transparent and fair way, adhering to laws and regulations and respecting social norms in all countries and regions; and
 - Proactively addressing labor and human-rights issues and global environmental problems towards the realization of a sustainable society.

Action Principles for SDGs

- Mizuno will contribute to social, economic and environmental sustainability, as well as the fulfillment of our relevant activities, in accordance to the United Nations’ appointed SDGs.
- Our contribution to social, economic and environmental sustainability will be the driving force and impelling cause to enrich and enhance both Mizuno’s brand values and overall corporate status.
- We will plan and create new businesses, by solving social and environmental issues, through innovation utilizing our business assets.

Mizuno Corporation Ethical Standards

In order to fulfill social responsibility, it is important to implement thorough measures for legal compliance and corporate ethics in all business activities of each employee. Aiming at enterprise which is necessary and reliable by all stakeholders, we determine Mizuno Corporation Ethical Standards as our behavioral guidelines.

Mizuno Corporation Ethical Standards

Officers and employees of Mizuno Corporation and its Group companies are conscious of the social responsibility of the corporation and act with due diligence to achieve the following:

1. Contribution to society
 1. Realizing our management concept of "Contributing to society through the advancement of sporting goods and the promotion of sports."



2. Making a positive contribution to the development of our economy, society, environment, sports and culture, thus adding to the development of international society, as well as meeting the requirements of our stockholders through creating revenue.
2. Compliance
 1. Confirming that the company creates revenue by complying with social standards and ethics and observing all applicable laws and international regulations.
 2. Ensuring actions by our corporation and its employees are consistent with the standard provided for by applicable laws. The company shall never be the cause of behavior contrary to social standards.
3. Providing quality products and services
 1. Endeavoring to supply products and services that add value for our customers.
 2. Unceasingly striving to ensure the utmost safety of our products.
4. Preservation of the natural environment
 1. Strive to develop and provide environmentally-conscious products / services.
 2. Conduct business activities with global environmental protection in mind and strive for energy and resource conservation as well as pollution prevention, and waste product reduction.
 3. Establish and maintain an environment management system, and strive for its continual improvement.
5. Sensitive information
 1. Thoroughly manage confidential information to prevent leaks, and do not illegally obtain confidential information of other companies.
 2. The rules and regulations for any and all information received must be abided by and safe handling must be maintained as well as improved, whether it be private or work related personal information, images, written work etc.
 3. Not engaging in insider trading.
6. Intellectual property
 1. Implementing thorough measures for protecting intellectual property created by the company.
 2. Respecting all third party intellectual property and not infringing on the intellectual property rights of others.
7. Consideration of stakeholders
 1. Promoting cooperation with stakeholders and endeavoring to actively endorse a positive dialogue with them.
 2. Disclosing our corporate information to stakeholders in an appropriate and timely manner.
 3. Endeavoring to maintain close contact with, and contribute to, our local community.
8. Responding to organizations endangering society
 1. Not allowing organizations endangering society to profit from the company's activities.
 2. Never accepting unfair demands from organizations endangering society.
9. Working conditions and workplace environment
 1. Complying with laws and regulations concerning labor including working conditions.
 2. Endeavoring to maintain and improve a safe and sanitary working environment.
 3. Requiring our suppliers to comply with labor laws and regulations and to provide a safe and sanitary working environment.
10. Respecting human rights
 1. Respect the human rights and diversity of all people.
 2. Not partaking in any discriminative activities, sexual harassment, persecution or mistreatment.
 3. Not employing forced or child labor.
 4. Guaranteeing the laborer's right to join a labor union and the right to negotiate with management.
 5. Ensuring equal opportunity for employment.
 6. Ensuring that employees who reports wrongful acts or breach of laws or regulations will not suffer any disadvantage.

11. Gifts and entertainment

1. Not giving unlawful gifts or offering questionable entertainment.
2. Not giving any gifts or offering entertainment which deviates from normal social practices or general business standards.

12. Promoting fair competition

1. Not making unreasonable or inappropriate requirements to our vendors and customers.
2. Complying with fair trade, fair competition and anti-monopoly laws and regulations.
3. Accurately displaying quality, content and other information for our products and services.

13. Enhancing corporate culture

1. Endeavoring to foster a corporate culture which values fair play, amity and friendly competition and to not permit any unfair acts.
2. Thoroughly employing a personnel system based on merit and establish a vigorous organization by fair evaluation and the appropriate placement of human resources.
3. Complying with this Mizuno Corporation Code of Conduct, ceaselessly promoting reformation and improvement and endeavoring to enhance our business structure by undertaking stringent self-regulation and internal assistance efforts.

Signs the United Nations Global Compact

Mizuno signed the United Nations Global Compact in July 2021. Mizuno supports the Ten principles in the four areas of human rights, labour, the environment, and anti-corruption, advocated by the United Nations Global Compact, and will put them into practice in light of its existing regulations.



Link: the United Nations Global Compact
(<https://unglobalcompact.org/>)



Sustainability Operations Structure

Sustainability Operations Structure

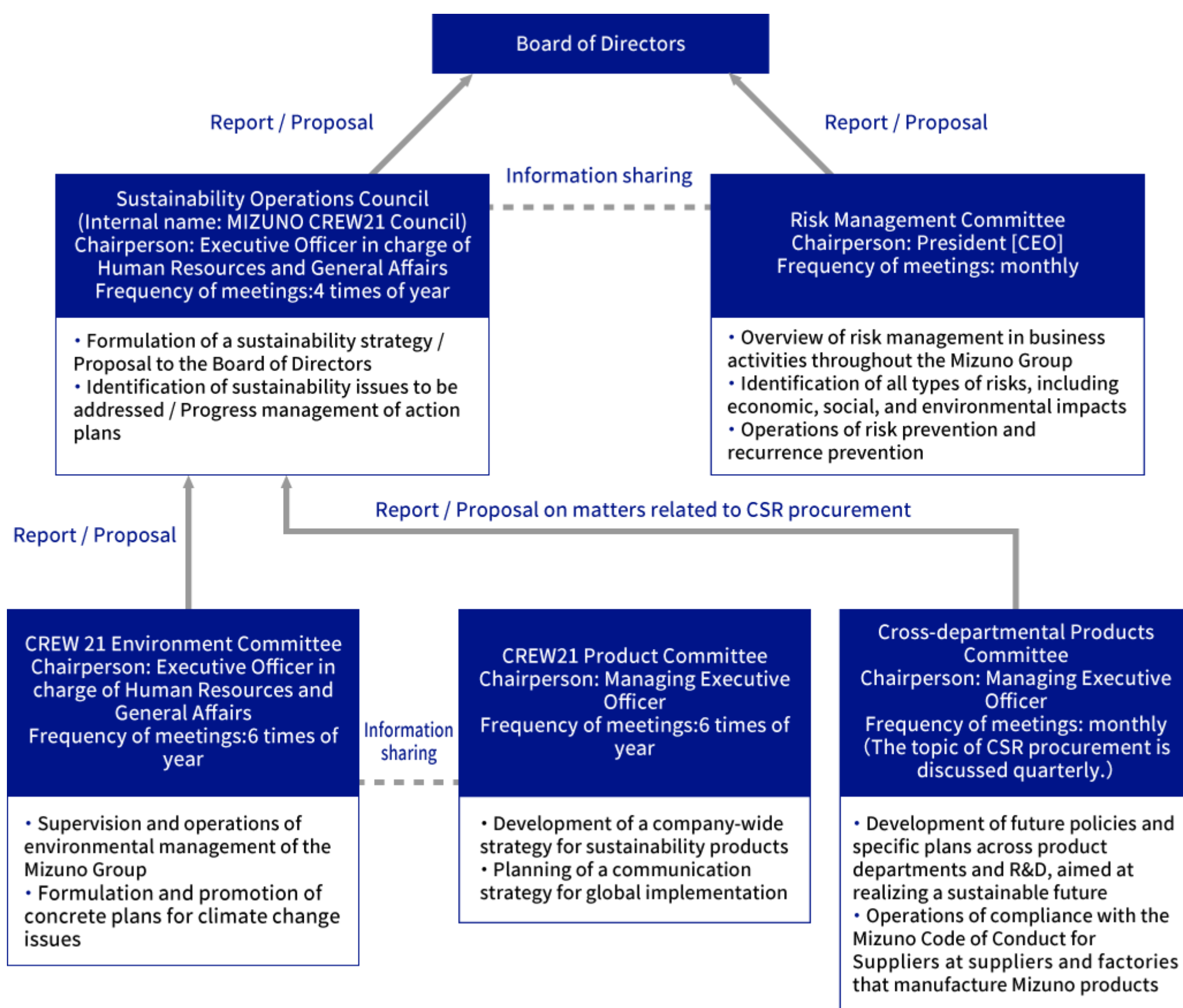
At Mizuno Group, we have strengthened our sustainability management structure to enhance corporate value from a sustainability perspective. The President (CEO) holds ultimate responsibility for management decisions related to sustainability issues. Matters encompassing sustainability are discussed in the "Sustainability Operations Council (Internal name: MIZUNO CREW21 Council)", chaired by the Executive Officer in charge of Human Resources and General Affairs, with the Executive Officer in charge of Product Development serving as the Vice-Chair. (Meetings are generally held four times a year)

The Council plays a central role in our Group’s management of social responsibility and global sustainability. This includes the identification and discussion of policies, the formulation of specific initiatives and our execution plans, setting of goals, and the monitoring of progress. Important issues identified and discussed by the Sustainability Operations Council are presented to the Board of Directors and are rolled out to all divisions and business bases of the Group after a resolution by the Board of Directors. Sustainability reports are deliberated and approved by the Sustainability Operations Council and are reported to the Board of Directors. The identification of ESG impacts and risk opportunities is also reported to the Board of Directors via the Sustainability Operations Council. The Board of Directors supervises the progress of sustainability activities based on these reports.

Among the six key issues (materiality) identified in relation to social responsibility and sustainability, cross-departmental issues are managed by the CREW21 Environment Committee and the CREW21 Product Committee, which are subcommittees under the Sustainability Operations Council. Additionally, we also have the Risk Management Committee and the Cross-departmental Products Committee. Each of these committees, under our Sustainability Operations Structure, holds regular meetings to formulate more specific action plans, set goals, and manage progress. As necessary, they report and present their results to the Board of Directors.

For the review of the risk management process related to ESG, deliberations are conducted by the Risk Management Committee, and the review results are reported to the Board of Directors via the Sustainability Operations Council.

In FY 2022, Mizuno Group streamlined the committee structure and reorganized the operation system to facilitate faster decision-making and smoother execution of sustainability strategies.



Sustainability Operations Council (Internal name: MIZUNO CREW21 Council)

The Sustainability Operations Council has been established to integrate Mizuno Group's efforts towards social responsibility, encompassing economic, societal, and environmental aspects, with our management strategy. This Council is chaired by the Executive Officer responsible for Human Resources and General Affairs and comprises members from a wide range of roles, including the Executive Officer for Product Development, the Executive Officer for Strategic Planning, the Executive Officer for Finance and Legal Affairs, as well as other members closely related to sustainability such as the head of Legal Affairs and the head of Quality Assurance. Notably, neither non-voting employees nor external stakeholders have been appointed to the council.

The Sustainability Operations Council leads discussions on Mizuno's sustainability strategy, formulates action plans and sets targets for specific issues, with critical matters being presented to the Board of Directors. After approval by the Board, these initiatives are deployed across all divisions and business bases of the Group. The Council also acts as a superior committee, deliberating on reports regarding important issues discussed by its subcommittees, such as the CREW21 Environment Committee and the CREW21 Product Committee.

In FY 2022, the secretariat of the Sustainability Operations Council and project members at the core of the task force were in charge of operational tasks related to the disclosure of comprehensive sustainability information. Specifically, we focused on significant individual themes like "human capital disclosure" and "engagement". The details of their activities were reported to the Board of Directors on six occasions.

FY 2022 Key Themes in Sustainability Management

Key Themes	Main Initiatives	Responsible Entity
Sustainability Operations Structure	- Review of the Structure associated with executive personnel changes - Reorganization of the committee	Board of Directors Sustainability Operations Council
Climate Change	- Actions on climate change - Information disclosure based on TCFD	Sustainability Operations Council CREW21 Environment Committee
Business and Human Rights	- Formulation of human rights policy - Building a supply chain management system	Sustainability Operations Council, Legal Department, each product department
Human Capital	- Efforts to improve the employee engagement survey - Formulation of a human resource development strategy	Global HR & General Affairs Department

CREW21 Environment Committee

Based on the recognition that all of our corporate activities have an impact on the environment, we launched the "CREW21＊ Project", aimed at contributing to the global environment and its conservation, in September 1991. We established the CREW21 Environment Committee, which discusses important policies, measures, and issues related to environmental conservation activities in the Mizuno Group. As of 2022, more than 30 years have passed since its inception.

This committee consists of the executive officers responsible for human resources and general affairs, product development, as well as general managers from key departments such as product planning, development, facility services, logistics, retail, quality assurance, legal affairs, manufacturing, and others. The committee discusses the formulation and revision of environmental policies, the establishment of short-, medium-, and long-term environmental goals, and the development of specific measures to achieve these targets. We have not appointed committee members who do not have speaking rights or external stakeholders. The CREW21 Environment Committee has been meeting every two months, amounting to six times a year. From the perspective of reducing environmental impacts, such as decreasing greenhouse gas emissions, and providing environmentally considerate products and services, it has been positioned as a forum to facilitate cross-company communication on the orientation and planning of environmentally friendly products and climate-change-related items.

Moreover, to promote environmental conservation activities throughout the Group, we have established an environmental management system (EMS), headed by an executive officer in charge of legal affairs. The CREW21 Environment Committee receives regular reports on our progress and facilitates information sharing on our environmental conservation activities.

In line with the reorganization of our company structure on June 22, 2022, we renamed the committee to the "CREW21 Environment Committee".

* CREW21 stands for Conservation of Resources and Environmental Wave21.

CREW 21 Product Committee

In February 2022, to unify the direction of sustainability products launched globally, we established the "CREW 21 Product Committee." The Managing Executive Officer serves as the chairman, with representatives from the apparel, footwear, and equipment product departments, as well as the marketing and public relations departments participating. We have not appointed committee members who do not have speaking rights or external stakeholders.

After defining the direction of the sustainability products, the committee regularly convenes to discuss the formulation of global communication strategies and the development of specific plans in conjunction with the marketing of each product.

Risk Management Committee

The Risk Management Committee has been established as an advisory body to the Board of Directors based on the Risk Management Regulations. Chaired by the President (CEO), it consists of three Executive Officers and the heads of five divisions that oversee internal control. We have not appointed members without speaking rights or external stakeholders to the committee.

The committee supervises risk management across the entirety of Mizuno Group's operations, which includes all divisions of Mizuno Corporation and its subsidiaries. It plays a pivotal role in identifying various types of risks, such as natural disasters, human-caused incidents, data leaks, product accidents, and internal fraud. The committee is also responsible for devising preventive measures, implementing strategies to stop these risks from recurring, and establishing and executing Business Continuity Plans (BCP). From FY 2021, the Risk Management Committee began discussing risks related to climate change in depth for the short, medium, and long term.

Moreover, by routinely exchanging information with various departments and bases and through training and education, the committee ensures that the philosophy of risk management is understood throughout the group. When a specific business risk arises, the Risk Management Committee takes the lead in setting up a crisis management headquarters to address the issue promptly and prevent recurrence.

Cross-departmental Products Committee

Mizuno has established the "Cross-departmental Products Committee," chaired by the Managing Executive Officer. This committee convenes representatives from various product departments, including research and development, apparel, footwear, and equipment, for regular meetings. We engage in activities directed towards realizing a sustainable future, discussing perspectives on R & D, future directions, and concrete plan formulation.

Recognizing the impact of our manufacturing activities on people working in our factories and the local community, we have promoted CSR procurement activities since 2004 to secure the appropriateness of human rights protection, occupational safety and health, and environmental conservation at Mizuno product suppliers from the perspective of international standards.

Following the organizational restructuring on June 22, 2022, discussions on the promotion of compliance with the Mizuno CSR Procurement Code of Conduct and the implementation of CSR procurement audits are held within the Cross-departmental Products Committee. Topics related to CSR procurement are discussed, in principle, four times a year. We do not appoint committee members without speaking rights or external stakeholders.



Stakeholder Engagement

Stakeholder engagement

To contribute to the realization of a sustainable society and the conservation of a beautiful global environment while valuing "Fair play," "Friendship," and "Fighting spirit," it is indispensable to cooperate with various stakeholders. We believe that it is important to listen sincerely to the requests, expectations, opinions, and evaluations of stakeholders, learn from them, and incorporate their feedback into our business activities.

Main stakeholders

* Issues are selected and addressed based on their relationship with business and their importance.

Stakeholders	Major communication opportunities	Specific examples of actions
Common	Website Year Book	- Preparation and publication of a Sustainability Report (once a year) - Publication of "Year Book," a corporate brochure that includes information on the SDGs and sustainability (once a year)
Customers	Mizuno Call Center Social media	Providing active support in which we contact silent customers to respond to their indirect complaints posted on our website
Employees	Gathering between management and employees Labor-management consultation	Continuing to provide opportunities for direct communication between the President / executives and employees

Stakeholders	Major communication opportunities	Specific examples of actions
Supplier	Capacity building (once a year) On-site audit / Individual dialogue	• Holding of a CSR procurement seminar: As one of the capacity building initiatives, we hold the Mizuno CSR Procurement Seminar, targeting subcontracted factories that operate overseas factories. It was not held in FY 2022. • On-site audit (domestic): Mizuno's CSR staff visits a factory that employs foreign technical intern trainees to conduct a CSR audit. • Dialogue through attendance at an audit: Dialogue is conducted through attendance at an audit of major factories in a country where our operations have recently been launched to check the disparity between the law and what is done on-site and the difficulty level of correcting it. At the closing meeting, it is also checked to what extent the disparity can be corrected. Suppliers and on-site staff are asked to attend audits to share issues. • Dialogue with a factory subject to a follow-up audit: We repeatedly have individual meetings with a factory evaluated as C or D in an audit to closely check the progress and status of correction in preparation for a follow-up audit. • Dialogue before the commencement of business (production): We hold a briefing session on CSR procurement individually for a new supplier that starts business with us to explain Mizuno's policy and audits. • During regular meetings with major suppliers of the apparel procurement department, we provided updates on our domestic CSR audit status and discussed issues related to foreign technical trainees.
Business partners	National Mizuno Meeting Policy presentation meeting / social gathering (held twice a year in line with an exhibition)	• Not only the staff of the sales division but also the staff in charge of product planning attend a social gathering with business partners to communicate from different perspectives.
Local communities	Factory briefing session (risk communication) (once a year)	• Mizuno Technics Corporation holds regular dialogue sessions on environmental conservation activities in its factories, inviting administrative officials and people from neighborhood associations in the areas where its factories are located.
Government	Endorsed and Participated in an event hosted by the Ministry of Foreign Affairs (held annually)	• We have been endorsing and actively participating in the "Global Festa Japan" hosted by the Ministry of Foreign Affairs since 2019. We set up a booth at the event venue to facilitate exchanges of opinions with government agencies and other companies, as well as to communicate with local residents.
Shareholders / Investors	General Meeting of Shareholders	• Early dispatch of the notice of convocation of the General Meeting of Shareholders, preparation of an English version of the notice of convocation, and disclosure of them on the websites of the company and stock exchanges.

Engagement with the local community

Development of preventive care leaders through collaboration with the administration

Please refer to the collaboration case with Habikino City for more information.

Link: (<https://corp.mizuno.com/en/sustainability/sustainability-report/social-issues/healthylife>)

Communication with local residents through "Trash Pickup Campaign in Combination with Nagara Exercise"

Osaka Prefecture is promoting the initiative of combining Mizuno's exercise program "Nagara Exercise" with "Trush Collection" called "Trash Pickup Campaign in Combination with Nagara Exercise"

To protect the ocean and marine life, the activity of "Trush Collection" in various places such as urban areas and rivers is introduced on Osaka Prefecture's website as a fun and sustainable exercise that contributes to overall health and well-being.

In addition, Mizuno actively engages with local residents by participating in activities such as garbage collection around the Sakisucho Building in Osaka Prefecture and events held near the Osaka headquarters, providing opportunities for communication with the community.

["Trash Pickup Campaign in Combination with Nagara Exercise" Started \(in Japanese\)](#)

* "Nagara Exercise" is an exercise program devised by Mizuno. It is an exercise that can be done anytime, anywhere, and on the spot by finding opportunities to move our bodies in daily life without doing anything special for exercise.

Communication with suppliers

To promote CSR procurement activities, including ensuring the human rights and occupational safety and health of workers in subcontracted factories and promoting environmental conservation activities in the factories, we actively communicate with production-related suppliers and local staff. In the event of an audit, we hold a follow-up meeting to understand the current situation of the suppliers and provide the necessary advice.

Collaboration with labor unions – "Global Framework Agreement"

To work together to protect the human rights of workers in subcontracted factories and improve their working conditions, we held a regular information exchange meeting with UA Zensen and Mizuno Union online on February 8, 2023. They are signatories to the Global Framework Agreement*, which we signed in 2011. We reported the results of our CSR procurement initiatives in FY 2022 and our concerns, and UA Zensen provided information on the concerns and movements of labor unions.

* On October 1, 2020, we updated the content of the Global Framework Agreement signed with IndustriALL Global Union (I-ALL) in 2011.

Participation in outside initiatives

Participation in Outside Initiatives Relating to Sustainability

Organization Name	Details	Membership status
United Nations Global Compact	Mizuno signed the United Nations Global Compact in July 2021. Mizuno supports the Ten principles in the four areas of human rights, labour, the environment, and anti-corruption, advocated by the United Nations Global Compact, and will put them into practice in light of its existing regulations. 	Signatory
Apparel and Footwear International RSL Management Group (AFIRM)	In January 2019, we joined the Apparel and Footwear International RSL Management Group (AFIRM) , an international organization that manages the Restricted Substances List (RSL), to simplify the operation of restricted chemical substances and strengthen the management of them. 	Member
TCFD (Task Force on Climate-related Financial Disclosures)	In March 2022, Mizuno declared its support for the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD). Since then, we have been disclosing information in line with the TCFD’s recommendations. We will further enhance our governance related to climate change and develop and formulate strategies based on the analysis of risks and opportunities in our business, aiming to increase the transparency of our disclosures. 	Support

Participation in outside initiatives relating to sustainability

Organization Name	Details
Public-Private Partnership Platform for Local Development SDGs	The Cabinet Office has established a platform with the aim of promoting the domestic implementation of the SDGs and further fostering regional revitalization. Seeing this platform as an opportunity for public-private collaboration, we think we could deepen partnerships with a wide range of stakeholders and are actively participating.
Kansai SDGs Platform	A platform where various actors from the Kansai region participate, including private enterprises, civil society, NPOs, NGOs, universities and research institutions, as well as local and government agencies. As a company in the Kansai region, we are participating to seek collaboration.
Support for UNICEF’s Children’s Rights in Sport Principles	We resonate with the principles of "Children’s Rights in Sport Principles," which were announced in 2018 by UNICEF (United Nations Children’s Fund) and the Japan Committee for UNICEF, a public interest incorporated foundation. We are participating as a supporting company.
Sport for Tomorrow Consortium	While considering international trends that utilize the power of sports to progress towards a sustainable and harmonious society, they are promoting initiatives in various areas, such as the popularization and promotion of sports and addressing social issues through sports. We resonate with this purpose and are actively participating.
Japan Platform for Migrant Workers towards Responsible and Inclusive Society (JP-MIRAI)	A platform that undertakes initiatives for the protection of rights of foreign workers and improvement of their living and working conditions. Through subcommittee activities, it facilitates discussions and research, and promotes awareness through seminars and forums. We are participating with the aim of deepening collaboration with member organizations.

Organizations and Domestic and Overseas Advisory Institutions within which Mizuno holds positions

1. Governance organizations within which Mizuno holds positions

Organization Name	Post
Association of Japan Sporting Goods Industries (JASPO)	Vice Chairman
Kansai Sporting Goods Industrial Association	Vice President
Mizuno Sports Promotion Foundation	President
Higashi Tax Payment Association	Vice President

2. Organizations operating projects or committees in which Mizuno participates

Name	
World Federation of the Sporting Goods Industry (WFSGI)	Board Member



3. Organizations to which Mizuno has made more monetary contributions than expected by ordinary membership status

None.

4. Organizations whose membership is regarded as strategic

Organization Name
Osaka Sporting Goods Wholesalers Association
Study Group for Information Systems on Sporting Goods
Japan Golf Goods Association



Integrated Value Creation Stories

By 2030, the Mizuno Group will simultaneously create social and economic value by clarifying purpose of businesses that will lead to the resolution of sustainability in environmental and social issues, based on the three frameworks, which are 1) "Heritage & Beyond" as the strengths of Mizuno, 2) "Sports & Beyond," as Mizuno’s business field and 3) "Responsibility & Beyond" as the social value provided by Mizuno.



Mizuno’s Social Value: Responsibility & Beyond [Materiality]

Beyond our past & present CSR activities, (= By applying and integrating our past & present CSR activities"), we plan and develop our future global sustainability marketing direction and strategies. At the same time, We take on the challenge of contributing to sustainability and the SDGs, through new business development.

Responsibility: Corporate activities with responsibility associated with business

- Responsible procurement with due respect for human rights
- Responsibility for global environmental issues
- Responsible business practices
- Responsibility for Safe and High-Quality Products

Beyond: Providing social value through business

- Contributing to the multi-dimensional values of sports
- Contributing to the resolution of social issue (SDGs)

Strengths of Mizuno: Heritage & Beyond

Taking advantage of the strengths we have cultivated since our establishment, we are taking on the challenge of a new strategic domain.

Heritage: Business assets that should be continuously cultivated in all businesses

- Trust as a sports brand
- Network related to sports
- Development capabilities selected by top athletes
- Human resources with a sports mindset
- Technological capabilities to achieve high quality

Beyond: New strategic domains leveraging strengths and new strengths to be cultivated in the future

- Lifestyles
- Facility management services
- Health
- Business to Business
- Work Business
- Emergence of innovation (new R & D base)

Mizuno's Business Field: Sports & Beyond

Expansion of business domains based on sports as the core base

Sports

- For Sports Athletes Business targeting people who play sports
- For Sports Community Business targeting people who support sports

Beyond Sports

- Business that supports comfortable lifestyles
- Business targeting the health of middle-aged and elderly people, the development of children, and support for people with disabilities
- Business targeting work safety and efficiency
- Business that contributes to the SDGs, making use of Mizuno's technology and expertise

Materiality (priority issues)



Materiality Identification Process

Materiality Identification Process

1. Background of the review
- To further promote sustainability management, we started examination on "formulation of Integrated Value Creation Stories," "redefinition of materiality," and "clarification of priority SDGs to be targeted" in June 2019. In October 2020, the Sustainability Operations Council redefined materiality and deliberated on the review of the materiality.
2. Deliberation and approval by management
- After an individual hearing was conducted for officers and business managers by outside experts, the draft on materiality, which was formulated by the Secretariat with reference to proposals from the outside experts, was deliberated multiple times by the Sustainability Operations Council. In January 2020, it was deliberated and approved by the Board of Directors, and new materiality has been disclosed since FY 2021.

Mizuno’s new materiality and major related SDGs

Materiality		Priority issues	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17
Providing social value through business Beyond	Contributing to the multi-dimensional values of sports more	Physical and mental health through sports			●	●	●												●
		Developing communities based on sports			●	●	●												●
		Equality and diversity through sports			●	●	●					●							●
	Contributing to the resolution of social issue more	Extending healthy life expectancy			●	●	●												●
		Improving physical fitness and athletic abilities of children			●	●	●					●							●
		Contributing to the SDGs by applying Mizuno's technologies			●	●	●				●			●	●				●
Corporate activities with responsibility associated with business Responsibility	Responsible procurement with due respect for human rights more	Supply Chain Management	●		●	●	●	●		●		●						●	
		Climate Change			●			●	●					●	●	●	●		
	Responsibility for global environmental issues throughout the product lifecycle more	Reduction of hazardous chemical substances			●			●	●					●	●	●	●		
		Reduction of waste			●			●	●					●	●	●	●		
		Compliance / Anti-corruption										●						●	
	Responsible business practices more	Protection of intellectual property																●	
		Protection of personal information										●						●	
		Ensuring of the safety and quality of products												●					
	Responsibility for Safe and High-Quality Products more	Communication related to products												●					
		Customer service												●					

We have revised certain aspects of our materiality. We have reconsidered and updated the associated contents for the two items, "Contributing to the multi-dimensional values of sports" and "Contributing to the resolution of social issue". A comprehensive review of our materiality is planned for implementation from the fiscal year 2023 onwards.



Materiality (priority issues)



Identified Materiality

Key Performance Indicators (KPIs)

To properly manage the progress of our materiality and promote disclosure in our annual reports, we have established key performance indicators (KPIs) for our major initiatives.

List described in "Identified materiality"

Materiality	Materiality (priority issues)	Risks	Oppotunities	Key Performance Indicators (KPIs) and Goals & Results
Contributing to the multi-dimensional values of sports	- Physical and mental health through sports - Developing communities based on sports - Equality and diversity through sports	- Decrease in the population of sports competitors - Stagnation of the domestic sports market	Providing the value of sports' power by leveraging understanding, know-how, technology, and network related to sports	- Total number of users of products and services that contribute to maintaining and enhancing health (cumulative number) FY 2022 actuals: 31.2 million people (no target set) FY 2023 target: Over 33.8 million people (exceeding the number of users before the pandemic) - Sales area of long-pile artificial turf in sports facilities FY 2022 actuals: 170,000 square meters (no target set) FY 2023 target: 200,000 square meters (118% compared to 2022)

Materiality	Materiality (priority issues)	Risks	Oppotunities	Key Performance Indicators (KPIs) and Goals & Results
Contributing to the resolution of social issue	- Extension of healthy life expectancy through the maintenance of motor function - Improving physical fitness and athletic abilities of children - Contributing to the SDGs by applying Mizuno's technologies	- Diversification of hobbies and preferences due to the advancement of the information society - Reduction of safe and accessible outdoor play areas	- Development, deployment, and promotion of unique exercise programs - Fostering diverse community communication through the use of sports facilities - Expanding opportunities for physical activity in daily life due to changes in work styles	- Work Business Revenue FY 2022 Results: 9.7 billion yen FY 2025 Target: 17.0 billion yen - Support for societal health enhancement through walking ability and walking type analysis system "Motion DNA," number of measurement sessions conducted FY 2022 Results: 30 times FY 2023 Target: 50 times
Responsible procurement with due respect for human rights	Supply Chain Management	Human rights and labor safety risks due to procurement from new overseas suppliers	- Realization of high-quality and stable procurement and expansion of competitiveness by implementing pre-evaluation of new suppliers - Expansion of sales opportunities for products and services that respond to ethical consumption	- Correction rate of critical and major non-conformance items implemented in FY 2022 FY 2022 Goal/Results: 65%/31% - Correction rate of critical and major non-conformance items to be implemented in FY 2023 FY 2023 Goal: 65%

Materiality	Materiality (priority issues)	Risks	Oppotunities	Key Performance Indicators (KPIs) and Goals & Results
Responsibility for global environmental issues throughout the product lifecycle	- Climate Change - Reduction of hazardous chemical substances - Reduction of waste	- Physical damage to business locations, stores, and administrative facilities due to climate change - Suspension of operations by suppliers and delays in raw material procurement due to climate change - Increased compliance costs due to tightened environmental regulations - Increased costs associated with the adoption of renewable energy - Reduction in outdoor sports due to rising temperatures and increased risk of heatstroke - Increased disposal costs due to increased waste emissions - Risks of harmful chemical leaks	- Cost reduction through energy conservation, introduction of renewable energy, waste reduction, and promotion of recycling - Expansion of sales through the development and sale of environmentally friendly products and products that respond to climate change	- Apparel 100% of products to be environmentally friendly by 2028 (in all categories of new products) - Footwear 100% of products to be environmentally friendly products by 2027 (in all categories of new products) - Equipment Reduce material loss in the manufacturing process, reduce energy consumption during manufacturing, and reduce / streamline use of subsidiary materials to achieve 30% reduction by 2030 (compared to 2018)

Materiality	Materiality (priority issues)	Risks	Oppotunities	Key Performance Indicators (KPIs) and Goals & Results
Responsible business practices	• Compliance / Anti-corruption • Protection of intellectual property • Protection of personal information	• Compliance violations such as corruption and bribery • Infringement of third-party intellectual property rights • Expansion of cybercrime and cybersecurity incidents	• Creation of sustainable corporate value through building trust with stakeholders	• Improvement in Employee Awareness of the Internal Reporting Hotline Fiscal Year 2022 Goals / Results: ① Mizuno Fair Play Hotline awareness among Mizuno employees: 100% / Not surveyed * ② Harassment Hotline awareness: 100% / 90% (survey respondents: 915 people) Fiscal Year 2023 Goals: ① 100%, ② 100% * Mizuno Fair Play Hotline awareness was not surveyed in fiscal year 2022.

Materiality	Materiality (priority issues)	Risks	Oppotunities	Key Performance Indicators (KPIs) and Goals & Results
Responsibility for Safe and High-Quality Products	- Ensuring of the safety and quality of products - Communication related to products - Engagement with Customers	- Diversification of products handled and complexity of the supply chain due to entry into new markets - Compliance with global strengthening of chemical substance regulations	- Rapid product introduction and expansion of sales opportunities through the construction of a more flexible quality assurance system - Production and sales of safe products in accordance with the laws of various countries - Development of human resources through the creation of opportunities to acquire quality knowledge tailored to diverse working arrangements	Quality Objectives (Defect Rate Related to Claim Returns*) FY 2022 Results: Achievement Rate ①Global Footwear Product Division: 140% ②Global Apparel Product Division: 153% ③Global Equipment Product Division: 106% FY 2023 Target: Achievement Rate 100% * Calculated by dividing the number of defective returns for which manufacturing is responsible by the number of items shipped, and compared with the target values set by each division.

46 issues applicable to Mizuno

When identifying priority issues (materiality) in 2015, we selected the following 46 issues. These issues were considered as applicable to us and were organized under six pillars at that time in reference to ISO 26000, the SDGs, the GRI G4 Guidelines, and other international standards deemed important as well as various reports from NGOs and research agencies.

This time, we reviewed the materiality based on these 46 issues. When reviewing the materiality, we sorted out social issues deeply related to our company and our past achievements. After much discussion on our strengths, business domains and social value provided by us with management and employees of related divisions according to the proposals of outside experts, we selected new materiality from the 46 issues.

[Please refer to the following for the process of updating the materiality disclosed in the fiscal year 2021.](#)

Promotion of sports	CSR procurement	Environment
1. Improvement of the physical strength and athletic ability of children 2. Health promotion of the elderly through sports 3. Promotion of local sports through cooperation with schools and local communities 4. Support for promotion of sports for the disabled 5. Support for promotion of amateur sports 6. Training of sports instructors 7. Support for promotion of sports in developing countries	1. Environmental impacts of Tier 1 suppliers 2. Treatment of workers at Tier 1 suppliers 3. Other risks at Tier 1 suppliers 4. Prohibition and elimination of child labor 5. Environmental impacts of Tier 2 and Tier 3 suppliers 6. Treatment of workers at Tier 2 and Tier 3 suppliers 7. Understanding of other risks at Tier 2 and Tier 3 suppliers 8. Supplier capacity building 9. Disclosure of information on CSR efforts and ensuring of transparency of the information in the supply chain 10. Freedom of association and collective bargaining rights in the supply chain 11. Establishment of a complaint-handling mechanism in the supply chain 12. Disclosure of supplier information related to products	1. Reduction of greenhouse gas emissions 2. Reducation and proper control / disposal od waste 3. Reduction and proper control of chemicals hazardous to humans and the environment 4. Reduction of energy consumption 5. Increase in efficiensy of water consumption and water consumption management 6. Research and development aimed at reducing the environmental impacts of products 7. Disclosure of information on the environmental impacts of products 8. Environmental considerations when holding sporting events 9. Collection and recycling of Misuno's used products
Fairness in business practices	Product liability	Employment and human resource utilization
1. Enhancement of governance 2. Practice of compliance 3. Enhancement of internal control 4. Anti-corruption 5. Prevention of anti-competitive behavior 6. Protection of intellectual property 7. Protection of personal information	1. Product quality control 2. Provision of information on safe product use to consumers 3. Ensuring of the appropriateness of advertising materials 4. Ensuring of the appropriateness of product labeling 5. Responses to inquiries from consumers 6. Sincere responses regarding defective products	1. Fair evaluation system 2. Safety and headlth in workplaces 3. Realization of diverse working styles 4. Diversity 5. Wages and welfare of employees

Materiality (priority issues)



Contributing to the multi-dimensional values of sports

Why are priority issues important ? (reason for importance)

The values that sports can offer are diverse, playing a crucial role in helping people lead richer, healthier, and more comfortable lives. Mizuno believes it’s essential to deliver the joy of sports to as many people as possible, allowing them to experience the spirit embodied in sports through "fair play," "friendship," and "fighting spirit." Additionally, we believe it’s important to cooperate with relevant institutions to provide solutions that leverage the potential of sports to address the challenges faced by society.

Related to the SDGs



Mizuno’s Risks and Opportunities

The decrease in the population of sports competitors due to the decline in the domestic population, and the stagnation of the domestic sports market, are recognized as risks by Mizuno.

Utilizing our group’s understanding, know-how, technology, and network related to sports, Mizuno aims to maximize the power of sports, delivering its value to more people around the world, and will continue to aim for global business expansion.

■Risks

- Decrease in the population of sports competitors
- Stagnation of the domestic sports market

■Opportunities

- Providing the value of sports’ power by leveraging understanding, know-how, technology, and network related to sports

Key Performance Indicators (KPIs) and Goals & Results

- Total number of users of products and services that contribute to maintaining and enhancing health (cumulative number)
FY 2022 actuals: 31.2 million people (no target set)
FY 2023 target: Over 33.8 million people (exceeding the number of users before the pandemic)
- Sales area of long-pile artificial turf in sports facilities
FY 2022 actuals: 170,000 square meters (no target set)
FY 2023 target: 200,000 square meters (118% compared to 2022)

Approach to priority Issues

With the aim of promoting sports and increasing the number of people involved in sports, we will provide "opportunities," "venues," and "services" to respond not only to "participating in sports" but also to "watching sports" and "supporting sports." In doing so, we will create "joy, excitement, and dreams" that contribute to the revitalization of the community.

Main Initiatives

Please refer to the following links for initiatives related to "Contributing to the multi-dimensional values of sports" :

Link: [Physical and mental health through sports](#)

Link: [Developing communities based on sports](#)

Link: [Equality and diversity through sports](#)

Moving Forward

We will continue to research and develop products and services that allow diverse individuals to enjoy sports and exercise together, transcending differences in age, gender, or any physical differences.

Materiality (priority issues)



Contributing to the resolution of social issue

Why are priority issues important ? (reason for importance)

Mizuno is expanding its business not only in competitive sports products but also in everyday life and work business, catering to various scenes. Leveraging the strengths cultivated in the sports field, we are committed to contributing to the resolution of social issues and the healthy development of local communities. This includes enhancing physical and mental well-being and fostering diverse communication within the community.

Related to the SDGs



Mizuno’s Risks and Opportunities

With the advancement of the information society and the automation of various tasks, convenience has been enhanced, and changes in work styles have made comfortable living possible. Mizuno is expanding the definition of sports beyond competitive scenes to include physical activities in everyday life. We view this as an opportunity to create new businesses that solve social issues through the power of sports and will actively pursue this approach.

Risks

- Diversification of hobbies and preferences due to the advancement of the information society
- Reduction of safe and accessible outdoor play areas

Opportunities

- Development, deployment, and promotion of unique exercise programs
- Fostering diverse community communication through the use of sports facilities
- Expanding opportunities for physical activity in daily life due to changes in work styles

Key Performance Indicators (KPIs) and Goals & Results

- Work Business Revenue
FY 2022 Results: 9.7 billion yen
FY 2025 Target: 17.0 billion yen
- Support for societal health enhancement through walking ability and walking type analysis system "Motion DNA," number of measurement sessions conducted
FY 2022 Results: 30 times
FY 2023 Target: 50 times

Approach to priority Issues

Mizuno group is focusing on improving children’s physical and athletic abilities, and extending the healthy lifespan of seniors. For the enhancement of children’s physical and athletic abilities, it is crucial to get them accustomed to physical movement from early childhood. In an aging society like today, there are hopes for extending healthy lifespans through sports. We will deploy our original programs developed by our group as community revitalization programs aimed at increasing the number of children who love to exercise and active seniors.

Main Initiatives

For initiatives related to "Contributing to Solving Social Issues," please refer to the following links:

Link: [Extension of healthy life expectancy through the maintenance of motor function](#)

Link: [Improving physical fitness and athletic abilities of children](#)

Link: [Contributing to the SDGs by applying Mizuno's technologies](#)

Moving Forward

We are applying the technology and materials developed in the field of competitive sports. With that foundation, we aim to create a society where everyone enjoys moving their bodies and to realize a world where the power of sports can solve social issues.

Materiality (priority issues)



Responsible procurement with due respect for human rights

Why are priority issues important ? (reason for importance)

The Asia-Pacific region, where many of our subcontracted factories are located, is generally said to be a region of great concern in terms of human rights, labor, and the environment. Mizuno promotes CSR procurement based on the belief that "good manufacturing" can be achieved by ensuring that its production process meets the international standards with regard to human rights, labor, and the environment as well as by producing high-quality, safe, and reliable products. In particular, we recognize that respect for human rights is even more important for expanding our business globally in the future, and we will work on "responsible procurement with due respect for human rights" as one of the priority issues (materiality).

Related to the SDGs



Mizuno’s Risks and Opportunities

With further globalization of the supply chain, increased procurement from new overseas suppliers can also lead to risks related to human rights and labor safety. At Mizuno, by continuously ensuring the pre-evaluation of new suppliers, we aim to realize high-quality and stable procurement, expand our competitiveness, and increase sales opportunities for products and services that cater to ethical consumption.

■Risks

- Human rights and labor safety risks due to procurement from new overseas suppliers

■Opportunities

- Realization of high-quality and stable procurement and expansion of competitiveness by implementing pre-evaluation of new suppliers
- Expansion of sales opportunities for products and services that respond to ethical consumption

Key Performance Indicators (KPIs) and Goals & Results

- Correction rate of critical and major non-conformance items implemented in FY 2022
FY 2022 Goal / Results: 65% / 31%
- Correction rate of critical and major non-conformance items to be implemented in FY 2023
FY 2023 Goal: 65%



Approach to priority Issues

The Asia-Pacific region, where many of Mizuno's contract factories are located, is generally considered a region with major concerns in terms of human rights, labor, and environmental aspects. Mizuno has established the "Mizuno CSR Procurement Code of Conduct", which incorporates perspectives from ISO26000, an international guidance on social responsibility, and we convey our thoughts to our suppliers while also demanding their adherence to these principles.

Main Initiatives

For initiatives related to "Responsible procurement with due respect for human rights", please refer to the following.

Link: [Respect for Human Rights \(Policies and Systems\)](#).

Link: [Supply Chain Management](#)

Moving Forward

Suppliers manufacturing products for multiple brands are burdened with individual audits demanded by each brand, each requiring different points of compliance. There have been calls from these suppliers for improvements to mitigate these overlapping audits. In response, industry associations and other initiatives have begun efforts to share information. Mizuno will continue to address issues such as overlapping CSR audits.

Materiality (priority issues)



Responsibility for global environmental issues throughout the product lifecycle

Why are priority issues important ? (reason for importance)

The earth’s environment faces various issues, including global warming and pollution due to waste. The world economy could become adversely affected due to climate change and suspension of manufacturing facilities caused by an increase in natural disasters. Mizuno recognizes the importance of reducing environmental burden, such as greenhouse gas, in conducting its business. It also recognizes the importance in developing and offering environmentally friendly products and services so as to help the world lead worry-free lives and pass on to future generations an environment where everyone can actively enjoy sports.

Related to the SDGs



Mizuno’s Risks and Opportunities

At Mizuno, we have identified climate change, waste, and chemical substances as important issues, and we are advancing the analysis of risks and opportunities for each. In response to the growing societal interest in natural capital, including biodiversity, we will work to enhance understanding within the company. We will also build a structure that enables us to report the impact of our group's initiatives, as well as our business, strategy, and finance.

■Risks

- Physical damage to business locations, stores, and administrative facilities due to climate change
- Suspension of operations by suppliers and delays in raw material procurement due to climate change
- Increased compliance costs due to tightened environmental regulations
- Increased costs associated with the adoption of renewable energy
- Reduction in outdoor sports due to rising temperatures and increased risk of heatstroke
- Increased disposal costs due to increased waste emissions
- Risks of harmful chemical leaks

■Opportunities

- Cost reduction through energy conservation, introduction of renewable energy, waste reduction, and promotion of recycling
- Expansion of sales through the development and sale of environmentally friendly products and products that respond to climate change

Mizuno’s Long-term Environmental Target

To accelerate its efforts aimed at reducing climate change, in August 2020, Mizuno reexamined its long-term environmental target and decided to achieve carbon neutrality by 2050. At the same time, in addition to its existing Scope 1 and 2 emissions reduction target for 2030, Mizuno set a Scope 3 emissions reduction target and announced it in May 2021.

2050
Aiming to achieve carbon neutrality

2030 (CO₂ emissions; compared to 2018)
Scope1 & 2 : Reduce CO₂ emissions by 30%
Scope3 : Reduce CO₂ emissions by 50% (per product)

Key Performance Indicators (KPIs) and Goals & Results

- Apparel 100% of products to be environmentally friendly by 2028 (in all categories of new products)
- Footwear 100% of products to be environmentally friendly products by 2027 (in all categories of new products)
- Equipment Reduce material loss in the manufacturing process, reduce energy consumption during manufacturing, and reduce/streamline use of subsidiary materials to achieve 30% reduction by 2030 (compared to 2018)

For more details, please refer to the link below:
Link: <https://corp.mizuno.com/en/articles/0031>

Approach to priority Issues

In Mizuno’s entire business activities, indirect emissions known as Scope 3 account for approximately 97% of greenhouse gas emissions. Specifically, "purchased products and services" make up about 80% of the total, making the reduction of greenhouse gas emissions through products essential. We will continue to promote product planning and development aimed at reducing greenhouse gas emissions.

Main Initiatives

For initiatives related to "Responsibility for global environmental issues throughout the product lifecycle," please refer to the following links:

Link: [Policies and Systems](#)

Link: [Environmental Management System](#)

Link: [Mitigation of Environmental Impact in Products](#)

Link: [Climate Change](#)

Link: [Water Use and Management](#)

Link: [Reduction of hazardous chemical substances](#)

Link: [Reduction of waste](#)

Link: [Business activities and environmental burden](#)

Moving Forward

Towards realizing carbon neutrality by 2050, we will continue to advance initiatives such as innovating manufacturing processes and utilizing renewable energy. In addition, we will accelerate environmentally conscious efforts, such as promoting recycling, reducing waste, and using water efficiently.

Materiality (priority issues)



Responsible business practices

Why are priority issues important ? (reason for importance)

Mizuno believes that it is in a position to fulfill its social responsibilities as a corporation by complying with all laws and international rules in its business activities, maintaining good relationships with stakeholders such as local communities, customers, and suppliers, and will continue to strive for responsible business practices.

Related to the SDGs



Mizuno’s Risks and Opportunities

Should there be compliance violations by employees, such as corruption and bribery, or infringements by suppliers, it can lead to severe damage to the company’s reputation and have significant negative impacts on the business activities. Furthermore, we recognize the infringement of third-party intellectual property rights, the expansion of cybercrime, and cybersecurity incidents as risks that could potentially threaten the continuity of our business. We are committed to responsible business practices as we strive to create sustainable corporate value through building trust with our stakeholders.

■Risks

- Compliance violations such as corruption and bribery
- Infringement of third-party intellectual property rights
- Expansion of cybercrime and cybersecurity incidents

■Opportunities

- Creation of sustainable corporate value through building trust with stakeholders

Key Performance Indicators (KPIs) and Goals & Results

- Improvement in Employee Awareness of the Internal Reporting Hotline
Fiscal Year 2022 Goals / Results:
① Mizuno Fair Play Hotline awareness among Mizuno employees: 100% / Not surveyed *
② Harassment Hotline awareness: 100% / 90% (survey respondents: 915 people)
- Fiscal Year 2023 Goals: ① 100%, ② 100%

* Mizuno Fair Play Hotline awareness was not surveyed in fiscal year 2022.

Approach to priority Issues

Mizuno adheres to laws, social norms, ethics, and internal regulations in its business activities, and takes action to prevent violations of compliance by implementing initiatives under the themes of "Compliance / Anti-corruption," "Protection of Intellectual Property," and "Protection of Personal Information."

Main Initiatives

For initiatives related to "Responsible Business Practices," please refer to the links below:

Link: [Compliance / Anti-corruption](#)

Link: [Protection of Intellectual Property](#)

Link: [Protection of Personal Information](#)

Moving Forward

In response to the expansion of business areas globally, there is a need to strengthen governance in themes such as compliance, intellectual property, and personal information protection. Therefore, we will implement measures (such as employee education, internal organizational changes, and system reviews) tailored to the current challenges faced by the organization.

Materiality (priority issues)



Responsibility for Safe and High-Quality Products

Why are priority issues important ? (reason for importance)

"Create best products for customers." Having cherished these words of the founder Rihachi Mizuno, we believe that it is important to manufacture and sell safe and superior products. Defects in product safety and quality may damage the trust of customers. We will endeavor to offer better products by providing information that helps customers to use our products properly and safely and by continuing efforts to use the feedback of our customers to improve our products.

Related to the SDGs



Mizuno’s Risks and Opportunities

In response to the diversification of products handled and the complexity of the supply chain due to entry into new markets, we are considering building a more flexible quality assurance system. Additionally, to address the global trend of stricter chemical substance regulations, we are advancing the construction of a global quality assurance system in collaboration with our overseas group companies. To provide safe and high-quality products, we will set up opportunities for quality knowledge education that correspond to various working arrangements.

■Risks

- Diversification of products handled and complexity of the supply chain due to entry into new markets
- Compliance with global strengthening of chemical substance regulations

■Opportunities

- Rapid product introduction and expansion of sales opportunities through the construction of a more flexible quality assurance system
- Production and sales of safe products in accordance with the laws of various countries
- Development of human resources through the creation of opportunities to acquire quality knowledge tailored to diverse working arrangements

Key Performance Indicators (KPIs) and Goals & Results

- Quality Objectives (Defect Rate Related to Claim Returns*)
FY 2022 Results: Achievement Rate
①Global Footwear Product Division: 140%
②Global Apparel Product Division: 153%
③Global Equipment Product Division: 106%
FY 2023 Target: Achievement Rate 100%

* Calculated by dividing the number of defective returns for which manufacturing is responsible by the number of items shipped, and compared with the target values set by each division.

Approach to priority Issues

We conduct various reviews and inspections to ensure product safety and quality control. Through reviews, we check various items related to product quality, including product design, materials to be used, safety during use, and labeling. In design reviews before the start of manufacturing of new products, we check their structure and materials as well as technical aspects based on the checklist. After products are manufactured, we conduct a pre-shipment inspection before they are shipped from a factory to make a final check for defects in individual products.

Main Initiative

For initiatives related to "Responsibility for Safe and High-Quality Products," please refer to the following:

Link: [Product Safety and Quality \(Policies and Systems\)](#)

Link: [Ensuring of the safety and quality of products](#)

Link: [Communication related to products](#)

Link: [Engagement with Customers](#)

Moving Forward

We will continue to work to provide safe and high-quality products through the improvement of our quality assurance system from a global perspective and the development of human resources.



Policies and Systems

Management policy

Sports not only help maintain physical and mental health, but also possess the tremendous power to foster communication beyond borders and generations, and to unleash the potential in individuals and communities. Based on its Corporate philosophy of "contributing to society through the advancement of sporting goods and the promotion of sports", Mizuno is committed to providing access to sports for more people and contributing to a richer, sustainable society where everyone can shine.

Mizuno's efforts in "promoting sports" involve delivering the joy of sports to as many people as possible, enabling them to experience the inherent spirit of sports, encapsulated in the values of "fair play," "friendship," and "fighting spirit." Moreover, the company seeks to cooperate with relevant organizations to provide solutions that leverage the potential of sports to address societal challenges.

Mizuno has redefined the word "sports" in its Action Principles for SDGs, established in 2020, and in section "1. Contribution to society" of its Mizuno Corporation Ethical Standards. This new definition encompasses not only competitive sports but also everyday physical activities. Guided by this broader understanding of sports, Mizuno aims to develop business models that utilize the power of sports to resolve social issues and contribute to achieving the UN's SDGs.

[Please click here to see Mizuno's Action Principles for SDGs and its Mizuno Corporation Ethical Standards.](#)

Management system

Mizuno has established the Sustainability Operations Council (internal name: MIZUNO CREW21 Council), chaired by the Executive Officer in charge of Human Resources and General Affairs. The main directions of key global sustainability activities are discussed in this committee, and the details of those activities are shared with relevant parties.

[To learn about Mizuno's sustainability operations structure, please click here.](#)

Additionally, we have established the "Cross-departmental Products Committee," chaired by the Managing Executive Officer. This committee convenes representatives from various product departments, including research and development, apparel, footwear, and equipment, for regular meetings. We engage in activities directed towards realizing a sustainable future, discussing perspectives on R & D, future directions, and concrete plan formulation.

[To learn about cross-departmental products committee, please click here.](#)



Materiality

Physical and mental health through sports

Basic Concepts

Our living environment is changing dramatically every day. With the advancement of the information society and the automation of various tasks, convenience has improved, and changes in work patterns have made life more comfortable. On the other hand, challenges such as a lack of physical exercise and a decrease in interpersonal interactions have emerged, raising concerns about their significant impact on the healthy development of society.

Mizuno is committed to supporting more people in accessing sports and contributing to the realization of a richer, more sustainable society where every individual can shine.

Proposing programs designed to help companies support employees to maintain good health

To help companies support employees to maintain good health, Mizuno designed a program called "Nagara Exercise 100" (100 exercises to perform while doing something else), which aims to resolve the lack-of-exercise issue by turning daily activities into light exercises.

Some of the reasons it may seem hard to make exercising a habit are that we tend to think we need to set aside a certain amount of time, be at a specific place to exercise, and do something special. Nagara Exercise 100 was developed based on the belief that daily life is full of opportunities to move our bodies and that there is nothing special we need to do in order to exercise.

Nagara Exercise 100 does not require using any special equipment, going to a gym, or setting aside time just to exercise. Mizuno categorized daily life into 25 scenes, and based on those scenes, it proposed exercises that can be done while doing something else. In addition, to introduce these exercises, Mizuno has developed a special website and held events and training sessions.

The concept of nagara exercise, which proposes that daily life itself can become an exercise if we could simply see it in a different way, is currently being offered in collaboration with various companies and organizations.

[Please click here for more details.](#)

Proposing a walking program that can help maintain and enhance good health

Mizuno offers a walking training program that can be enjoyed individually. The program introduces how shoes should be worn, what posture one should maintain when walking, how one should walk, and what kind of stretching exercises there are for our toes, and it is designed for the elderly, who may not like exercising.

■ Results of the walking program

	FY 2019	FY 2020	FY 2021	FY 2022
No. of facilities	38	27	34	34
No. of participants (persons)	2,801	2,866	2,687	2,705

"Motion DNA" - Scientifically Understanding "Walking"

Mizuno has developed the "Motion DNA" walking ability and walking type analysis system as part of its services to embody the POWERED LIFE vision, "Bringing good performance to your life." By utilizing "Motion DNA," Mizuno aims to make people’s "walking" more enjoyable, thereby supporting a life where they can "go wherever they want on their own feet, forever."

"Walking" is a fundamental aspect of life. Therefore, when walking ability declines, it leads to a decrease in the Quality of Life (QOL). There is a correlation between walking speed and healthy life expectancy; it has been found that individuals with a faster walking pace tend to have a longer healthy lifespan, while those with a slower pace have a shorter one.

To lead a more vibrant and longer life, effective measures to maintain walking ability are essential. "Motion DNA" measures walking ability using simple and highly accurate specialized equipment, and estimates walking type through a standing posture measurement system and application. By understanding the differences in walking ability and walking type, individuals can identify training methods and support products suited to them, contributing to the extension of their healthy lifespan.



Walking Ability Measurement

For more details, please refer to the link below.

Link: [Mizuno Motion DNA](#)

Making Exercise a Convenient Habit in the Living Room to Support Health Creation

Focusing on feedback such as "I want to move my body for health, but I don't have time" and "Storing training equipment is a hassle," Mizuno has been selling the "Mizuno Healthy Interior" training goods series since 2018, designed to be placed in the living room. With the concept of "adding to your usual time and space," it supports the creation of health by making it a habit to exercise easily in the living room, even for those who find it hard to make time due to work, housework, or childcare.

In the context of increased time at home due to the impact of the COVID-19 pandemic, sales have been favorable as the Mizuno Healthy Interior allows individuals to continue exercising easily without being affected by external conditions. Mizuno is aiming for sales of approximately 900 million yen in the fiscal year 2025 for the Mizuno Healthy Interior line.

Future issues to be addressed

Mizuno is committed to taking on the challenge of expanding its business domain with sports at its core. In line with the changing times and leveraging digital transformation (DX), Mizuno aims to foster a habit of casual exercise and to expand into business areas that support comfortable lifestyles, with the goal of broadening its user base.



Materiality

Developing communities based on sports

Basic Concepts

Today, we are able to indirectly enjoy sports by watching real-time games and matches both in our own country and abroad thanks to the development of digital technology. However, since actually playing sports requires having equipment, a facility, teammates, and/or instructors, there are people who cannot play sports even if they want to.

Mizuno believes it needs to help create equal opportunities to play sports, regardless of age, physical disability, and place of residence, if it wants to help as many people as possible enjoy sports by maximizing the potential of sports. Therefore, Mizuno puts effort into improving the accessibility of sports and promoting regional sports. By doing so, Mizuno also aims to help people connect and communicate with one another through sports.

It's important to note that Mizuno Group's efforts to promote sports are carried out with commercial purposes in mind, and as a rule, the provision of services or products free of charge is not implemented.

Participating in the Amsterdam Marathon

One of the most well-known activities aimed at promoting sports overseas is the Amsterdam Marathon, held in the Netherlands. Mizuno has been supporting this event since 2000, offering various categories including a full marathon, a half marathon, and an eight-kilometer run, making it an event where participants can enjoy running according to their abilities.

Although the 2020 edition was held as a "virtual run" event considering the COVID-19 pandemic, the real event was resumed in 2021 after two years. The Amsterdam Marathon is held every year on the third Sunday of October, and the 2022 edition took place on October 16. Over 30,000 runners from more than 90 countries entered, and Mizuno, as the main sponsor, set up flags bearing its name over a 2-kilometer stretch around the venue. During the event, Mizuno also set up a sales stand adjacent to the stadium for the display and sale of apparel and footwear.

Nearly half of the participants in this event are runners from outside the Netherlands, making it a distinctly international and Pan-European event, setting it apart from other races. Through the participation of various runners, Mizuno looks forward to revitalizing the local area and furthering the recognition and penetration of the Mizuno brand, with plans to continue sponsoring the event in the future.

[Please click here for more details on this event.](#)



Amsterdam Marathon 2022

Mizuno’s Booth at the Amsterdam Marathon 2022

To help all kinds of people, from children to adults, as well as beginners to those advanced, in Europe, the U.S., Australia, Taiwan, South Korea, and China, as well as other countries around the world, Mizuno co-hosts competitions and holds sports clinics relating to running, rugby, badminton and other sports.

Regional sports promotion by top athletes

Holding Mizuno Victory Clinics

In 2007, Mizuno began promoting regional sports, with help from current and former male and female top athletes, by holding Mizuno Victory Clinics, which have top athletes give demonstrations and advice to help participants recognize the fun of sports.

About 300 current and former athletes of 20 types of sports, who participated in domestic and international sports competitions, including the Olympics and world championships, are registered as clinic instructors, and they directly pass on their skills and spirit to participants. In addition, Mizuno Victory Clinics aim to promote interaction between participants. Mizuno Victory Clinics, which welcome top athletes as instructors, not only promote regional sports but also provide athletes with opportunities to demonstrate their skills. The Clinics also serve as venues for top sports athletes and regional sports athletes to interact with one another.

In FY 2021, Mizuno was only able to hold 45 Clinics due to the COVID-19 pandemic. However, as the response to the coronavirus has gradually eased, the number of clinics held in FY 2022 increased to 111.

	FY 2019	FY 2020	FY 2021	FY 2022
No. of times held	89	24	45	111

Collaboration with municipalities in promoting regional sports

Regional sports not only help people improve their physical and mental health but also help residents build communities. By combining the insights and expertise of the public, private, and educational sectors, it becomes possible to carry out more effective activities that meet the specific needs of the region. Mizuno collaborates with municipalities and universities in promoting regional sports.

Operating Sports Facilities

To create opportunities for enjoying sports, it is essential to have places in the community where people can participate in sports activities. Since 2006, Mizuno has been involved in the designated management of sports facilities across Japan. Through the operation and management of these facilities, as well as the provision of age-appropriate programs, Mizuno fosters community interaction and supports the creation of opportunities for people in the region to easily engage in sports. As of March 2023, there are 1,205 contracted facilities in 185 locations nationwide.

Business project aimed at solving social issues through sports and community bonds

In August 2021, Mizuno and Consadole Co., Ltd. jointly launched PROJECT 179, a collaboration project aimed at revitalizing all 179 municipalities in Hokkaido. When companies and organizations that support the project purchase Mizuno products, part of income from the purchases is used to cover the cost of implementing regional revitalization measures. In the near future, the project will be open to participants from among the general public as well.

As a first measure of this project, stationery items created especially for PROJECT 179 were provided to all first-year elementary school students around Hokkaido who enrolled in 2022 and 2023.

Mizuno will leverage the power of sports to contribute to regional revitalization by promoting this business project aimed at solving social issues through sports and community bonds.

Future issues to be addressed

With the aim of promoting sports and increasing the number of people involved in sports, we will provide opportunities, venues, and services not only for "playing sports" but also for "watching sports" and "supporting sports." By doing so, we will create "joy, excitement, and dreams" that contribute to the revitalization of the community. Additionally, by further increasing opportunities for children to enjoy sports freely and joyfully not only in school physical education classes and club activities but anywhere, we will strive to maintain and increase the future sports population and contribute to the realization of a society where people can lead healthy and fulfilling lives.



Materiality

Equality and diversity through sports

Basic Concepts

Mizuno is advancing the research and development of products and services that enable diverse individuals to enjoy exercise and sports together, transcending differences such as age, gender, and physical disability.

Research and development of products and services for diverse individuals to enjoy exercise and sports together

Mizuno conducts research into ways to run and walk with less physical burden and is engaged in developing products designed to enable easier running and walking.

In addition, to develop products that reduce the burden placed on the human body, Mizuno pursues the following types of research and development.

- **Trolley bags that make walking easier (reduce wrist and arm burden)**

Mizuno’s trolley bags allow walking straight despite small differences in level because their handles are L-shaped and transfer power equally to the wheels when the carrier leans forward to proceed. When the carrier is walking uphill, holding the L-shaped handle at an angle allows reducing 40% of his / her wrist muscle burden compared to when the handle is held vertically.



- **Knee supporter "Good Moving Knee Supporter" (reduces knee burden)**

Mizuno’s support gear is equipped with built-in flex tube bones that reduce the wobbling of the knee and thereby ensure stability. In addition, because they are originally "dynamotion-fit" designed by Mizuno, they do not slip off easily and thereby can be comfortably worn.

- **Carbon white cane "MizunoCane ST" (Enhanced Comfort and Safety)**

In March 2022, Mizuno released the straight-type white cane "MizunoCane ST," utilizing carbon design and processing technologies honed in the development of sports equipment. This cane is designed with increased stiffness near the handle, making it easier for users to detect uneven surfaces. Additionally, a teardrop-shaped tip at the end that comes into contact with the ground minimizes snagging on road surfaces. The cane was developed in collaboration with the general incorporated association PLAYERS*1, and manufactured by Mizuno Technics Corporation*2.

The "MizunoCane ST" was honored with the Good Design Award for fiscal year 2022 (sponsored by the Japan Institute of Design Promotion), and it also received the Excellence Award in the "2022 Nikkei Superior Products and Services Awards.

For more details, please refer to the link here: [Link](#)
For information about the Good Design Award, please see here as well: [Link](#)

- * 1. A prototyping team with the slogan "Be excited together to address issues in society"
[https://www.players.or.jp \(in Japanese\).](https://www.players.or.jp (in Japanese).)
- * 2. A Mizuno Group company that manufactures sporting goods and carbon products
[https://www.mizuno-technics.co.jp/ \(in Japanese\).](https://www.mizuno-technics.co.jp/ (in Japanese).)



Carbon white cane "MizunoCane ST"

Support for sports for the physically challenged

To create opportunities for the physically challenged to actively enjoy sports, Mizuno puts effort into developing and offering sports equipment designed for the physically challenged and provides athletes and teams with support.

Development of a plate spring for sports prostheses

Since 2016, Mizuno, in collaboration with Imasen Engineering Corporation, has been working on developing carbon sports foot prosthesis plate springs for track-and-field events, leveraging their expertise in carbon design and processing technology. This carbon plate spring is designed for all kinds of short-distance track-and-field athletes, from beginners to top athletes, and it was developed by examining and reexamining the distribution of rigidity of the entire plate spring in order to respond to athletes' need for plate-spring deformation and repulsion, and this was done based on data gathered by analyzing athletes' motion when running, the relation between plate-spring deformation and load, and the plate-spring structure. In addition, effort was put into making the plate spring as light as possible so that it could be used with ease.



KATANAS (katana sigma), a sports plate spring jointly developed by Imasen Engineering Corporation and Mizuno

In September 2020, Mizuno and Imasen Engineering Corporation jointly developed a carbon sports foot prosthetic plate spring called KATANAS (katana sigma), featuring a hole in the middle tip part of the plate spring to reduce air resistance. By adding an air hole from the contact area where the spike pins are located to the upper part, the hole allows for a 31% reduction in air resistance.*1 The mass of this plate spring is about 15% lighter than previous models, and its moment of inertia, which indicates ease of swinging, is designed to be about 10% smaller.*2

- *1. Compared with plate springs without an air hole. The comparison was based on an experiment conducted by Mizuno, using wind tunnel experimental equipment. In the experiment, the wind was set at 18.2 m/s, and participants swung out their prosthesis legs. Measurements were made when the foot plate springs, being swung, reached their maximum speed (when the foot plate springs were tilted forward 30 degrees perpendicular).
- *2. Compared with previous models. The comparison was based on an experiment conducted by Mizuno, using a moment-of-inertia measuring instrument. In the experiment, measurements were made at a position 460 mm above ground and 80 mm forward from where the plate springs are attached, being set as the knee rotation axis.

For entry-level sports prostheses

In September 2021, Mizuno, in collaboration with Imasen Engineering Corporation, jointly developed a carbon plate spring called "KATANAα" (katana alpha) for entry-level sports prostheses. Utilizing the know-how gained from creating competition-grade plate springs, this new model is designed as a lightweight and easy-to-use plate spring for those who are running with prosthetic legs for the first time. By attaching a dedicated sole, it replicates the same spring characteristics as the top models. Furthermore, KATANAα can be easily switched from regular prosthetic legs, and is more affordably priced compared to conventional competition models.

In Japan, there are approximately 60,000 lower limb amputees*3. According to a survey by the Tetsudo Kosaikai Foundation Prosthetics and Orthotics Support Center, around 30% of users who had prosthetic legs made at the facility expressed an interest in trying competition prosthetics.

Mizuno, along with Imasen Engineering Corporation, will continue their research and development efforts in the field of sports prosthetic plate springs, supporting the sports lives of lower limb amputees, and contributing towards enhancing health and welfare.

*3. Source: The 2006 Ministry of Health, Labor and Welfare Survey of Childhood and Adult Disability



KATANAα (katana alpha) jointly developed by Imasen Engineering Corporation and Mizuno For children (left) and for adults (right)

Future issues to be addressed

The Mizuno Group has business bases in 12 countries and regions overseas and has been globally expanding the Mizuno brand, while also promoting sports promotion activities rooted in each region. Going forward, we will continue to expand our efforts to contribute to the realization of a peaceful society through the power of sports, and to bring smiles to people and children all over the world.

Additionally, we will utilize the technology and materials cultivated in the field of competitive sports to strive towards a society where everyone can enjoy moving their bodies and a world where we can contribute to solving social issues through the power of sports.



Materiality

Extension of healthy life expectancy through the maintenance of motor function

Basic Concepts

In an era where aging is becoming more prevalent, there is an expectation that sports can extend healthy life expectancy (the period one can live without limitations in daily life due to health issues). Mizuno is committed to maintaining the quality of life for each individual and enriching their lives. Moreover, in an effort to reduce the social burden of medical expenses, Mizuno will strive to maintain the physical function of the senior generation through sports, thereby contributing to the extension of healthy life expectancy.

Mizuno elderly people healthy exercise program

The Mizuno elderly people healthy exercise program was developed by Mizuno and is based on the three concepts of being doable, enjoyable, and maintainable.

LaLaLa Fit

LaLaLa Fit is a self-weight exercise program designed to help people train body parts, such as muscles and joints, which they use in their daily life. The program aims to help people reinforce their sense of balance by using Mizuno's functional tools and also use muscles that are not being used daily.

LaLaLa Circuit

LaLaLa Circuit allows people to train their balance, muscles, and brain at their own level and at their own pace with help from trainers. This program is designed for people who want to exercise hard. The program aims to activate both the body and the brain with a dual task exercise comprising a muscle workout using hydraulic machines and a rhythmic, aerobic exercise.

LaLaLa Circuit Lite

LaLaLa Circuit Lite aims to also activate the brain with a dual task exercise comprising self-weight training and a rhythmic, aerobic exercise. This program is designed for people who want to enjoy a light workout.

Regional collaboration in extending healthy life expectancy

Mizuno is actively involved in care prevention projects and initiatives for specific health guidance recipients being carried out by municipalities across Japan. These efforts are aimed at those who perceive high barriers to going to fitness facilities, and Mizuno works to create opportunities for them to engage in exercise. In the classes, techniques such as group work are used to foster community building among participants and to encourage continued physical activity at the designated management facilities where the programs are conducted.

For FY 2022, Mizuno plans to hold 25 care prevention projects nationwide. The aim is not only to encourage participation in care prevention classes but also to ensure that, after the classes are over, the participants themselves can undertake exercises and master exercise routines that they can continue to follow.

Promoting the spread of Mizuno Active Leaders

Mizuno holds training sessions for everyone involved in administering elderly people exercise programs, which help participants become Mizuno Active Leaders able to help elderly people acquire a basic knowledge of the body, essential to exercising, instruct elderly people based on a training program, and give demonstrations. Training sessions for cultivating Mizuno Active Leaders grant completers with licenses, which certify that the holder is aware of what points he / she needs to be careful about when helping elderly people exercise and is able to instruct elderly people on how they should train their muscles and perform stretching exercises.

NPOs, sports associations, and companies have so far acquired the Mizuno Active Leader license and begun helping elderly people exercise at facilities in their own communities.

Performance of Mizuno’s healthy life expectancy extension programs

Name of Session		Unit	FY 2019	FY 2020	FY 2021	FY 2022
Walking training sessions	This is a walking lesson that can be easily undertaken even alone. It includes proper posture, walking techniques, rehabilitation exercises, and toe stretches, making it accessible even for elderly people who may find exercise challenging.	Number of Facilities	38	27	34	37
		Number of Participants	2,801	2,866	2,984	2,620
LaLaLa Fit	Please refer to the descriptions under the heading "LaLaLa Fit" above.	Number of Facilities	23	28	33	38
		Number of Participants	17,684	10,389	14,674	16,437
LaLaLa Circuit	Please refer to the descriptions under the heading "LaLaLa Circuit" above.	Number of Facilities	2	2	2	5
		Number of Participants	6,028	1,876	4,672	8,513
Shakeen (Improving one’s posture)	This is a posture improvement program. It mainly focuses on core training and uses Mizuno’s original exercise tools.	Number of Participants	1,020	1,184	2,218	3,605



Walking training sessions



LaLaLa Circuit

Cultivating care prevention leaders in collaboration with the government

Mizuno collaborates with local governments to train care prevention leaders for the community. Incorporating elements of the Mizuno Active Leader program, Mizuno conducts training sessions and provides on-the-job training at core facilities, along with support to help trained leaders thrive in their respective communities.

In a collaborative project with Habikino City, Mizuno has trained 106 health support volunteers at four locations within the city, contributing to community-led health initiatives. In the fiscal year 2022, the residents led a total of 2,318 classes at four locations within the city, with a total of 21,082 class participants.

Future issues to be addressed

Mizuno is advancing the development of products such as clothing and equipment for seniors, whose bodily functions may decline due to aging and muscle weakening. These products apply the motion analysis technology used on athletes.

Furthermore, Mizuno plans to create training programs that can be easily carried out at home, catering to those who may struggle with physical activities or those who find it difficult to leave their homes. The goal is to develop a sense of enjoyment from using these tools and help evolve it into a habit of exercise.

Additionally, Mizuno aims to promote the spread of Mizuno Active Leaders, with the goal of helping everyone create communities through exercise. The focus is on supporting daily body-building and health improvement activities within local areas, allowing for a more active and enjoyable lifestyle.



Materiality

Improving physical fitness and athletic abilities of children

Basic Concepts

The physical strength and athletic ability of children are continually declining around the world due to the advancement of the information society. This decline in children’s physical strength may not only affect the future health of the next generation but also impact the vitality of society as a whole by leading to an increase in medical expenses. Efforts are desired at all levels of society, including educational institutions and families, to address this issue.

In Japan, the decline in children’s physical strength and athletic ability is believed to be due to the following factors: 1) a decrease in accessible and safe outdoor areas where children can play safely whenever they want; 2) the underdevelopment of basic athletic skills that should be acquired during childhood; and 3) children’s reluctance or lack of confidence in sports. Mizuno puts effort into developing and offering an exercise program that aims to help children improve their athletic ability and physical strength.

The development of Mizuno’s exercise program "Hexathlon"

Mizuno has developed "Hexathlon," a program combining playful exercise menus that allow even children who are not good at sports to enjoy learning basic athletic movements, with an athletic ability measurement test. In collaboration with municipalities across Japan, Mizuno provides the program to various facilities, including elementary schools. "Hexathlon" is designed using Mizuno’s original equipment, which takes into consideration safety and functionality, and allows children to acquire the basic actions of "running," "jumping," and "throwing," tailored to their individual abilities. By offering the location, program, and services as a package, it has become possible to connect children’s enjoyment with the steady improvement of their physical strength and athletic abilities.

The development of Mizuno’s exercise program: Other

Improving children’s physical fitness and athletic abilities requires them to become accustomed to physical activity from a young age and overcome any reluctance or lack of confidence in sports.

Mizuno’s experienced staff, rich in sports knowledge, act as instructors and conduct programs such as "Mizuno Sports School" and "Sports Day Victory School" in various locations. These programs are designed to overcome basic movements that should be learned in early childhood through short, concentrated efforts, and by letting children experience the joy of exercise, aim to increase the number of children who enjoy physical activity.

For children who struggle with sports, Mizuno started the "Overcoming Weakness Classroom Series" in the fiscal year 2022, including classes for overcoming challenges with jumping boxes, mats, and horizontal bars, along with a Mizuno rope-jumping class. The focus of the rope-jumping class is not necessarily on "jumping well," but rather on creating a love for "enjoying jumping," with the initiative centered around playful exercise.

Additionally, Mizuno offers a playful exercise program called "PLAY! CIRCUS" for children aged 3 to 5 and their parents. "PLAY! CIRCUS" is a 60-minute program set in the world of the circus where the children become members of the circus troupe and enjoy activities with the ringmaster and clowns, incorporating movements that are appropriate for their age group.

Performance of Mizuno’s programs for improving the athletic ability and physical strength of children

Name of Session	Outline		FY 2019	FY 2020	FY 2021	FY 2022
Hexathlon	A program that combines fun learning menus for basic sports movements with athletic ability assessment (* The numbers are for domestic use only.)	No.of Schools Introduced	8	9	7	8
		No. of Times Held	150	17	13	13
		No. of Participants	5,656	1,446	631	661
Mizuno Ninja School (Starting in the fiscal year 2021, the "Aim for the Stealthy Pokémon Greninja!" program is also being implemented.)	A story-based playful exercise program modeled after ninja training, incorporating 36 basic movements necessary for childhood growth, such as "running," "jumping," and "throwing."	No. of Times Held	144	63	24	54
		No. of Participants	4,289	789 (in total)	487 (in total)	865 (in total)
Mizuno Sports School	A program for children who struggle with physical activities, incorporating exercises such as mat exercises, horizontal bars, and vaulting boxes.	No. of Times Held	985	182	60	45
		No. of Participants	8,093	1,760	1,018	455
Sports Day Victory School	A hands-on lesson program aimed at winning first prize in relay races and sprints at sports festivals.	No. of Times Held	26	7	8	5
		No. of Participants	380	98	259	215
Overcoming Weakness Class - Jump Rope	A program for children who struggle with jump rope, aimed at enabling them to jump even once and helping them to enjoy jump roping.	No. of Times Held				62
		No. of Participants				879

* Since FY 2020, only a limited number of events for all these exercise programs have been held in consideration of the impact of the COVID-19 pandemic.



Hexathlon



Mizuno Ninja School



Mizuno Sports School



Sports Day Victory School



PLAY! CIRCUS



Project aimed at promoting Mizuno Hexathlon Exercise Program in Vietnam

Mizuno has been putting effort into promoting its Mizuno Hexathlon Exercise Program in Vietnam since 2015. In Vietnam, not much time was given to physical education during the country's compulsory school years compared to developed countries. In addition, the country lacked variety in its exercise programs and thereby required giving more consideration to how such basic moves as running, jumping, and throwing things could be better incorporated.

In September 2018, Mizuno concluded an agreement with the Vietnamese Ministry of Education and Training, saying that the ministry would incorporate Mizuno Hexathlon exercise program into its new curriculum guideline, and Mizuno provided 1,000 Vietnamese elementary schools with its sports equipment.

In addition, in October of the same year, Mizuno and the ministry officially concluded a memorandum of cooperation on introducing Mizuno Hexathlon exercise program into the country and ensuring that performing the Hexathlon becomes a regular practice. The memorandum of cooperation laid the foundations needed to construct models across Vietnam of how Mizuno Hexathlon exercise program could be introduced into the country's new educational curriculum guidelines and be developed into a regular practice. Subsequently, in December, Mizuno began promoting the introduction of its Hexathlon exercise program in all 63 provinces of Vietnam.

Mizuno also offers workshops designed to help elementary school teachers become Hexathlon instructors and has so far welcomed about 1,700 teachers as participants, who currently teach many students at their elementary schools how to perform the Mizuno Hexathlon in physical education classes.

Since March 2020, to prevent the spread of the COVID-19 pandemic, Mizuno has suspended its workshops, which would normally involve a large number of people gathering in one place. However, local teachers who previously participated in Mizuno workshops have reported that their schools have incorporated the Mizuno Hexathlon in physical education classes.

In October 2021, Mizuno Hexathlon equipment was listed in the "National Designated Equipment List", and in June 2022, Mizuno was awarded a special commendation from the Vietnamese Presidential Office.

We will continue to spread the joy of engaging in sports and the pleasure of physical activity among Vietnamese children. By leveraging the power of sports, we aim to address social challenges and work towards the achievement of "Sports SDGs." We remain committed to advancing this initiative.



Awarded a special commendation from the Vietnamese Presidential Office

Please refer to the following link for information about the special commendation awarded by the Vietnamese Presidential Office.
Link: (<https://corp.mizuno.com/jp/news-release/2022/20220627>)

Promoting a Mizuno Original License named the "Mizuno Play Leader"

To help create an environment where children can play lively, Mizuno puts effort into cultivating Mizuno Play Leaders, whose job is to watch children while they play on their own initiative. Mizuno offers play-based basic exercise training programs designed to help companies, universities, governments, and educational institutions, which have many opportunities to interact with children, acquire the basic knowledge and skills needed to be certified as Play Leaders. Mizuno puts effort into promoting its training programs internally and externally, and so far it has helped about 700 people across the nation become Play Leaders. Play Leaders devote themselves to interacting with children, winning children’s trust and protecting them when necessary.



Mizuno Play Leader

	In-house	Outside	Total
Grade 1	3	0	4
Grade 2	31	5	36
Grade 3	346	774	1,120
Total	381	779	1,160

Future issues to be addressed

Children today are said to lack spaces to play in, friends to play with, and time to play. In addition, parents are often heard saying that they do not know how they should play with their own children.

Mizuno puts effort into helping create an environment where children can play livelily and also puts effort into cultivating Mizuno Play Leaders, whose job is to look after children playing.

The job of a Play Leader is to come up with fun ideas and exercises that children will greatly enjoy and create an environment where children can play with one another on their own initiative. To help children grow with a healthy mentality and body through enjoying play-based exercises, Mizuno will put effort into promoting its Play Leader program internally and externally.

In addition, it will put effort into creating opportunities for Play Leaders to demonstrate their skills. In order to do so, Mizuno will put effort into having as many people as possible find out about its Play Leader program, and to do so, it will identify what issues there may be in promoting its Play Leader program and also inform parents about its Play Leader system. To have as many people as possible find out about its Play Leader system, Mizuno will promote its system by offering play-based exercise programs and events.



Materiality

Contributing to the SDGs by applying Mizuno's technologies

Basic Concepts

Mizuno is not only focused on competitive sports products but is also expanding its business to cater to various scenes, including lifestyle products and work business. Leveraging its strengths in the sports field, Mizuno is committed to enhancing physical and mental health, promoting diverse communication within communities, and contributing to the resolution of social issues and the healthy development of local societies.

Additionally, utilizing the strengths gained in the competitive sports field, such as the ability to develop new functions and materials, and the technological capability to realize high-quality manufacturing, Mizuno is challenging itself to create various innovations. Moving forward, Mizuno will continue to aim for contributions to sustainability, with the resolution of social challenges as the starting point, including the achievement of the UN's SDGs.

Research into ways to apply carbon technology

Mizuno has always placed people at the center by conducting research into people's motions and forms. Mizuno will continue placing people at the center of its research efforts, and it will continue conducting research with the aim of creating new value, such as products and services that can help achieve the UN's SDGs. Mizuno will not only put effort into developing good products and services as a manufacturer but also ensure that it pursues research themes that will help achieve the UN's SDGs. As its medium- to long-term goal, it will aim at achieving carbon neutrality, and by doing so, it will aim at helping create a sustainable world.

As part of its research efforts to apply carbon technology, Mizuno currently puts effort into the following: 1) developing more products that use recycled carbon technology, 2) conducting research into thermoplastic carbon-fiber-reinforced polymers (CFRPs), and 3) conducting research into ways to reinforce CFRPs by using nanofillers.

- Developing products by using recycled carbon technology
One example is the insole, which is a product designed to reduce foot fatigue. Mizuno hopes to utilize recycled carbon as a spring material for insoles that support the feet of walkers, workers, and elderly people.
- Research into thermoplastic CFRPs
Thermoplastic CFRPs are used in the same way as conventional thermosetting CFRPs, which are used in plate springs for prostheses, but the former can be molded faster and recycled more easily than the latter. Mizuno aims to help create a sustainable society by developing practical CFRP products.
- Research into ways to reinforce CFRPs by using nanofillers
Mizuno believes that adding nano-sized ingredients will improve the material itself and enable the development of high-function sports equipment.

Research into the development of new sports and services

Mizuno puts effort into conducting research into the development of new sports and services that will allow people to enjoy sports together, regardless of their age, gender, and physical disability.

Mizuno can contact its customers with relative ease when it needs help with conducting research into the development of new services because it operates facilities, including designated management facilities, used by its customers. In conducting research into the development of new services, Mizuno also uses data it has accumulated from previous research into sports equipment with help from actual people.

Expanding Work Business Leveraging the Functional Value of Sports Equipment

Mizuno has positioned its work business domain as one of its strategic focuses and is offering corporate uniforms, shoes, and other products that leverage the functional value of sports equipment to workers across various industries. In recent years, there has been a growing focus on "health management" in corporate activities, where the health care of employees is strategically viewed and implemented from a managerial perspective. There has been an increase in companies emphasizing the safety and comfort of employee-provided items such as uniforms, from a welfare perspective.

We are also working on proposals tailored to harsh working environments, such as "Airy Jacket" (a work jacket with a fan) for heat countermeasures and "Tech Shield Jacket" for cold countermeasures. In addition, by advancing the development of environmentally conscious products, such as corporate uniforms using recycled PET bottle threads and work apparel using chemical recycling threads, we aim to improve labor productivity and contribute to the realization of Sustainable Development Goals (SDGs).

The Background of Mizuno's Work Business Division

In 1997, Mizuno established a specialized department to plan and sell custom corporate uniforms, utilizing the technology and expertise cultivated through sports equipment development, delivering to over 1,200 companies to date. In response to recent corporate demand, they started full-scale deployment of work shoes in March 2016, and work apparel in February 2018. In April 2019, Mizuno founded a new Work Business Division, focusing on strengthening this area.

Furthermore, in April 2019, with the aim of strengthening BtoB (Business to Business), Mizuno increased the Corporate Sales Department from around 20 to 90 members and established corporate sales teams in all branches from Hokkaido to Kyushu, intensifying their sales activities to businesses.

Mizuno is aiming for sales of 17 billion yen by the fiscal year 2025.

The features of Mizuno work apparel

Work apparel needs to be equipped with the functionality that will enable it to help workers work more easily and comfortably by taking into consideration environmental changes, such as outdoor and indoor temperature differences. Mizuno work apparel is equipped with the following functions needed in today's work environment:

1) "Dynamotion fit," which is designed to maximize mobility; 2) "Dry aeroflow," material which deals with sweat effectively; and 3) "BREATH THERMO," a moisture absorption and heat generation material that generates heat by absorbing body moisture.

- "Dynamotion fit," designed to maximize mobility
"Dynamotion fit" is designed to maximize mobility, based on ergonomic motion analysis. "Dynamotion fit" allows wearers to move about freely by reducing tension and pressure.
- "Dry aeroflow," designed to deal with sweat effectively
"Dry aeroflow" was developed with the aim of reducing the discomfort that occurs when sweat reduces the cloth's air permeability. "Dry aeroflow" ensures air permeability even when the wearer is sweating profusely, and it reduces the stickiness that comes from sweat and also has a cooling function. "Dry aeroflow" is great for working comfortably during the rainy season or under the burning heat during the summer.

Applying body movement technology and know-how to the medical and nursing industries

Mizuno has been conducting research into people's body movements for more than a century and has supported countless athletes with its sports equipment. Mizuno's technology and know-how, which have been accumulated by closely working with athletes in the sports industry, can be applied to the medical and nursing industries, where workers work in harsh environments to care for patients.

As part of its medical and nursing business, Mizuno sells medical shoes and apparel. Mizuno aims to expand its business by selling its Dynamotion-fit-designed "Scrub Pants," made of hydro silver titanium, which disassembles unsanitary protein.

Infrared blocking fabric developed to protect athletes from illicit photography

Mizuno has developed an infrared blocking fabric to address the problem of illicit photography, particularly targeting female athletes at competition venues. In recent years, these athletes have increasingly become victims of hidden photography and filming taken for sexual purposes, the images and videos of which are then disseminated over the internet.

In response, Mizuno launched a new research and development project to solve the problem of illicit photography, leading to the development of the "infrared blocking fabric." This fabric was born as a co-creation between Sumitomo Metal Mining Co., Ltd., an expert in functional materials, Kyodo Printing Co., Ltd., an expert in composite material technology, and Mizuno, an expert in sports-focused fabric development and product design.

Protecting athletes and providing an environment where they can concentrate on competition connects with supporting the "mind" of "mind, technique, and body," and is also an essential effort from a player-first perspective.

Research into play-based exercise programs designed to help children make exercising a habit

Sports and other exercises, in addition to play-based exercises, need to be fun if they are to be made a habit. Experiences that we undergo during our childhood are known to last for a lifetime. Therefore, in addition to conducting research into children's physical strength and athletic abilities, when examining the effects of its play-based exercises, Mizuno conducts research into the relationship between its play-based exercise programs and children's minds. Mizuno aims to develop play-based exercise programs that will allow children who believe they are not good at sports or do not like to exercise to enjoy it with relative ease.

Offering a Physical Play Program to Promote Children's Development

We offer a physical play program targeted at children who struggle with precise movements in sports or daily life, such as frequently dropping objects or having difficulty handling scissors or sharp tools. Through this program, we aim to enhance the way children move their bodies and their dexterity, thereby promoting their overall development.

Research into exercise programs that aim to help elderly people improve (or prevent the decline of) their cognitive skills

The concerns that elderly people have regarding their health are as follows: 1) becoming bedridden after falling down and 2) coming to have difficulty in their daily lives due to a decline in their cognitive skills. The more elderly people become permanently bedridden or hospitalized, the higher medical bills and long-term care costs will become. Mizuno believes that extending healthy life expectancy depends on whether we can enjoy exercising throughout life. Mizuno conducts research into the development of exercise programs for elderly people based on the belief that moving our bodies rhythmically and coordinating movements of our hands and feet help prevent our cognitive skills from declining.

Research into the development of new play-based sports

Mizuno is actively engaged in the research and development of new sports, in collaboration with various associations and universities. For example, "500 Steps Soccer" is a game where players are limited to a certain number of steps, monitored by digital devices. This rule allows individuals who may feel less skilled or less confident in their athletic abilities to enjoy moving their bodies and scoring goals.

Mizuno will continue to harness its strengths in combining sports science with digital technology, as well as its ability to demonstrate and manage sports facilities with staff, to persist in the research and development of innovative sports experiences.

Future issues to be addressed

Mizuno has formulated the "MIZUNO MIRAI VISION," a guiding principle for creating products and services, and made it publicly available on our website. We define sports as "enjoying moving the body" and aim to fulfill our mission of "making people happy through sports." Our goal is to realize a society where everyone enjoys moving their bodies and a world where sports can solve societal challenges.

As a venue for this ambition, we established the innovation center "MIZUNO ENGINE" and commenced full-scale operations in November 2022. We will pursue what can be achieved in sports within five domains: "Competition," "Health," "Environment," "Education," and "Work," aiming for transformation through the power of sports.

To enhance "focus" and "motivation" that propel individuals to greater heights, we believe that challenges must be met in unraveling the yet unexplained mechanisms within the realm of the mind. We will further evolve our core technology, which we have long cherished and honed, that centers on "understanding the human mechanism and designing products and services to suit the purpose." Along with this, we will also accelerate co-creation with external partner companies and expedite research leading to the elucidation of the mechanisms within the realm of the mind.

For more information about MIZUNO MIRAI VISION, please refer to the following link:

Link: <https://corp.mizuno.com/en/technology/vision>



Innovation center "MIZUNO ENGINE"



Climate Change Strategy

Disclosures in accordance with the TCFD recommendations

Companies today have been seeing an unbearable increase in the direct risk to their profitability from natural disasters, including unprecedented torrential rainfalls, life-threatening heatwaves, and massive typhoons. The field of sports has also faced the serious and visible impact of climate change, as seen by increased temperatures forcing summer sports events to be rescheduled and causing a lack of the snow necessary for winter sports.

The Mizuno Group has reviewed the current status of climate-related risks and opportunities based on the framework provided by the Task Force on Climate-Related Financial Disclosures (TCFD), which was established by the Financial Stability Board (FSB) at the request of the G20.

In addition, we declared its support for the TCFD recommendations in March 2022. Subsequently, we have disclosed related information in accordance with the TCFD recommendations. We will further enhance its governance related to climate change and develop and formulate strategies based on the analysis of risks and opportunities in our business to further increase the transparency of our disclosures.

[TCFD recommendations’ thematic area: 1. Governance]

The Mizuno Group has a system whereby the Sustainability Operations Council (internal name: MIZUNO CREW21＊ Council), chaired by the executive officer in charge of human resources and general affairs meets four times a year in principle to discuss matters related to climate change. The discussion details are reported together with the current progress of sustainability activities to the Board of Directors, which thus oversees climate change-related matters.

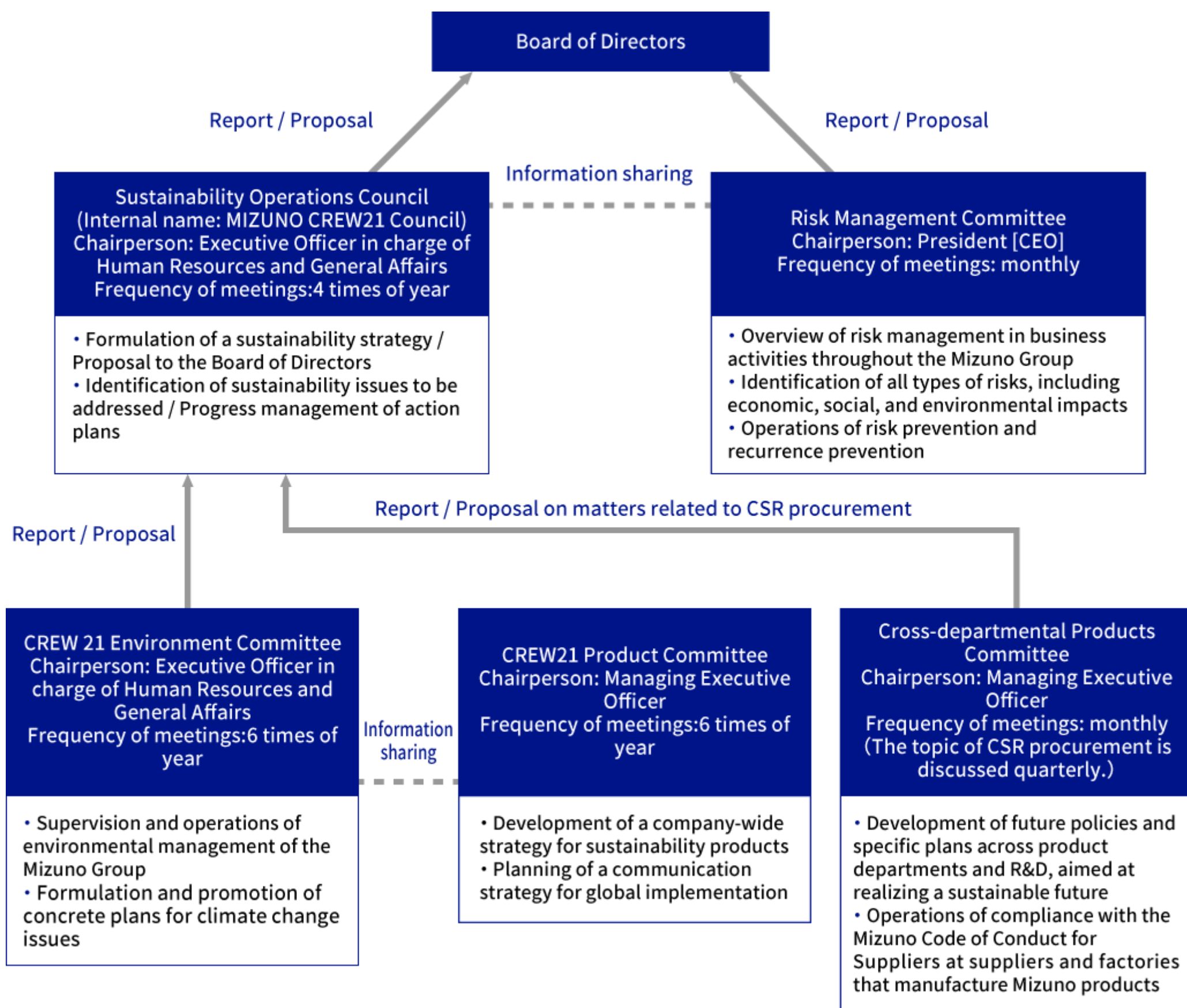
In FY2021-2022, matters related to climate change were reported four times to the Board of Directors, twice to the Executive Board, whose meetings were attended by directors and executive officers, four times to the Management Council, whose meetings were attended by directors, executive officers, and division general managers. These deliberative bodies make decisions on management strategy (six times), information sharing, and information disclosure, and their decisions are incorporated into the Group’s business activities. In addition, the Sustainability Operations Council has as its subcommittees the CREW21 Environment Committee, the CREW21 Product Committee, and the Cross-departmental Products Committee, each of which independently deals with cross-departmental issues among the identified priority issues (materiality) related to social responsibility and sustainability.

Specific measures to address issues related to climate change are devised by the CREW21 Environment Committee.

＊ "CREW21" represents Mizuno’s hope that, as members of the "crew of the spaceship earth," all of us will play a role in conserving resources and the environment.

CREW: <https://corp.mizuno.com/en/sustainability/>
<https://corp.mizuno.com/en/sustainability/sustainability-report/management/system/>





■ Sustainability Operations Council (internal name: MIZUNO CREW21 Council)

The Sustainability Operations Council (internal name: MIZUNO CREW21 main committee) is chaired by the executive officer in charge of human resources and general affairs, and is composed of a diverse range of members, including the executive officers responsible for product development, comprehensive planning, and finance & legal affairs, as well as heads of closely related departments such as the legal and quality assurance offices.

The Sustainability Operations Council leads discussions on Mizuno's sustainability strategy, formulates specific action plans, and sets goals. Important issues identified by the council are presented to the Board of Directors, and upon their resolution, are implemented across all departments and locations within the Group.

■ CREW21 Environment Committee

This committee consists of the executive officers responsible for human resources and general affairs, product development, as well as general managers from key departments such as product planning, development, facility services, logistics, retail, quality assurance, legal affairs, manufacturing, and others. The committee discusses the formulation and revision of environmental policies, the establishment of short-, medium-, and long-term environmental goals, and the development of specific measures to achieve these targets. From the perspective of reducing environmental impacts, such as decreasing greenhouse gas emissions, and providing environmentally considerate products and services, it has been positioned as a forum to facilitate cross-company communication on the orientation and planning of environmentally friendly products and climate-change-related items.

Moreover, to promote environmental conservation activities throughout the Group, the Mizuno Group has established an environmental management system (EMS), headed by an executive officer in charge of legal affairs.

* With keen awareness of the environmental impacts of all corporate activities, in September 1991, the Mizuno Group launched the Crew21 Project to contribute to conserving the global environment. Since then, the Group has been actively engaged in environmental conservation activities. Since April 2021, the 30th anniversary of the launch of the project, the Group has placed an increased focus on the management issue of sustainability in general, which encompass not only environmental conservation activities but also the Group's contribution to society and the economy. The "MIZUNO CREW21" logo symbolizes the Group's overall sustainability initiatives.

[TCFD recommendations' thematic area: 2. Strategy]

With regard to climate-related risks and opportunities over the short, medium, and long term, the Mizuno Group has identified issues of materiality in its overall sustainability initiatives. One of the issues of materiality is defined as "Responsibility for global environmental issues throughout the product lifecycle," where the Group's efforts to solve climate-related issues are included. In addition to the EMS, the Group has appointed the Risk Management Committee (chaired by the representative director and president and composed of three executive officers and five general managers of divisions in charge of promoting internal control) and the Business Continuity Plan (BCP) Working Group, which is under the supervision of the Global Human Resources & General Affairs Department, to discuss related matters. The product and development divisions treat the need to develop and market environmentally friendly products and climate-change-conscious products (products that help mitigate the impact of climate change or help adapt to climate change) as an excellent area of opportunity to be explored.

Since FY 2015, the Group has examined the impact of identified climate-related risks and opportunities on its businesses, strategy, and financial planning as part of EMS risks and opportunities, with more active discussions since FY 2021. Specific impacts include the need for a logistics BCP for the businesses; the research and development of environmentally friendly products, climate-change-conscious products, and new materials for strategy; and the introduction of renewable energy for financial planning. In FY 2022, the Risk Management Committee has discussed the impact of climate-related issues on the apparel and footwear divisions, analyzed under BCP, on businesses, strategy, and finance. The Group will continue these considerations across departments and disclose information, classifying the risks and opportunities related to climate change into physical, regulatory, and other categories.

The Mizuno Group is also currently examining what climate-related scenarios to choose, including analyzing the risks, opportunities, and impacts of climate change, incorporating them into organizational strategies. The Group aims to disclose information based on the selected scenarios by FY 2024.

[TCFD recommendations' thematic area: 3. Risk Management]

Applying an EMS approach based on ISO 14001, the Mizuno Group has assigned the EMS Promotion Bureau (Environmental Promotion Bureau), part of the Compliance Division, to identify and assess environmental risks and opportunities, including climate-related issues, at least once a year. The identified risks and opportunities are submitted by the EMS Promotion Bureau to the CREW21 Environment Subcommittee for approval by the chairman, vice-chairman, and committee members.

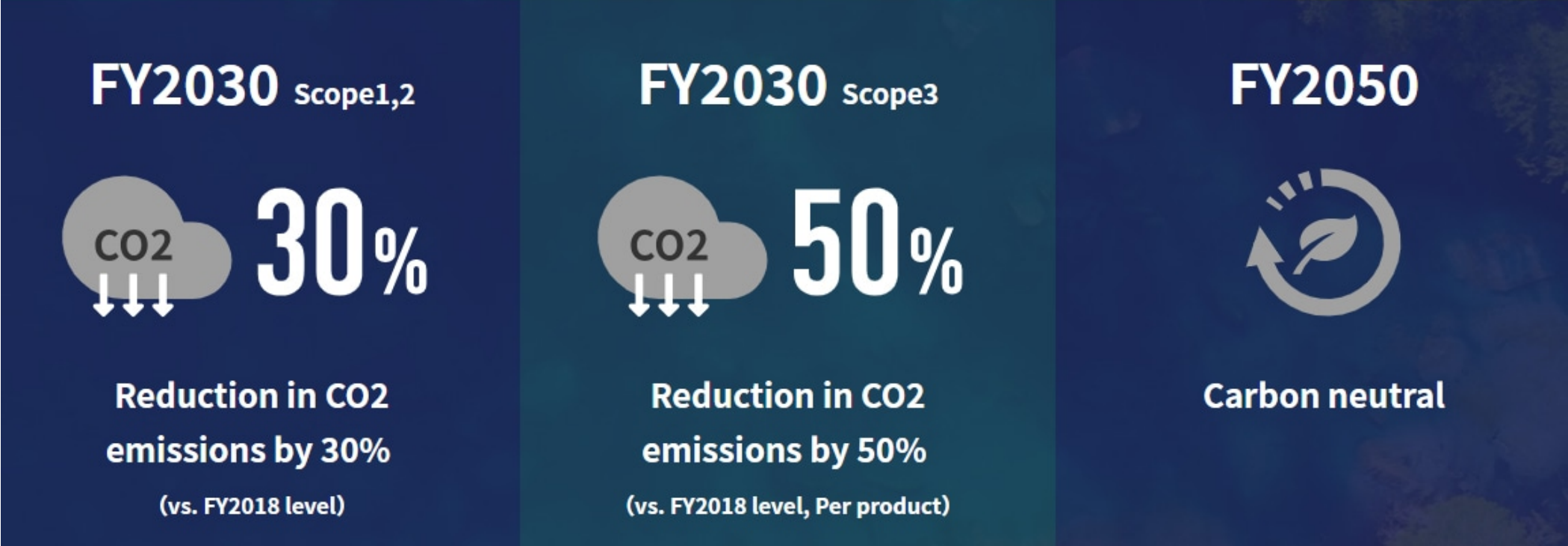
Specific climate-related risks, such as damage from heavy rainfalls, typhoons, and other wind and flood disasters, are also addressed as part of BCP measures.

The identified risks are managed within the EMS framework. The EMS Promotion Bureau collaborates with the Risk Management Committee and the Global Human Resources & General Affairs Department to monitor these risks.

[TCFD recommendations' thematic area: 4. Metrics and Targets]

To accelerate its efforts to mitigate climate change, in August 2020, the Mizuno Group revised its long-term environmental targets. The revised environmental targets are 1) achieving carbon neutrality by 2050, 2) achieving a 30% reduction in Scope 1 and 2 CO₂ emissions from the 2018 level by 2030, and 3) achieving a 50% reduction in the intensity of Scope 3 CO₂ emissions (Categories 1 and 12) per product from the 2018 level by 2030.

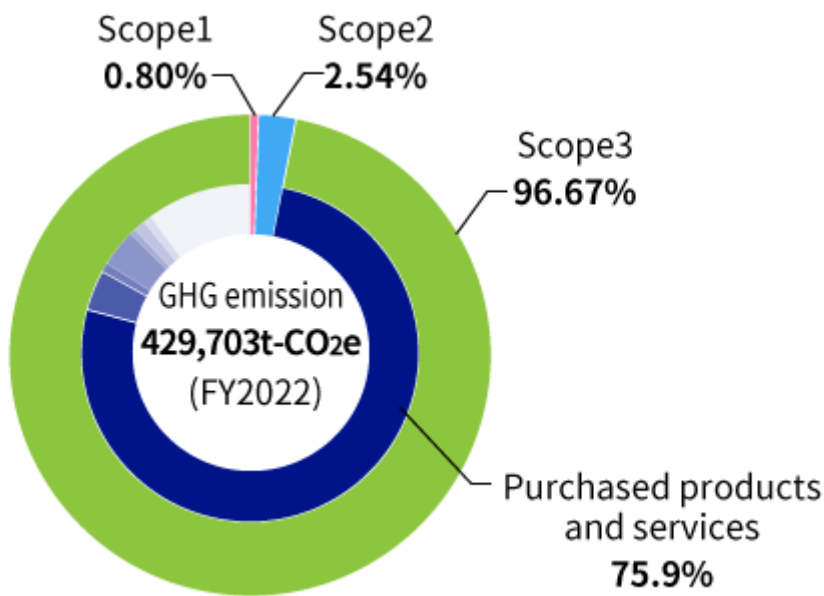
Environmental Targets



To achieve these environmental targets, a Group-wide cross-departmental Carbon Neutrality Subcommittee was established under the CREW21 Environment Committee in January 2021. The related divisions devise specific measures to achieve the targets of reducing GHG emissions from the Group’s business activities and product and service lifecycles (such as using materials with smaller environmental impacts, improving design and manufacturing processes, and researching, developing, and adopting new manufacturing methods). The Group has calculated and disclosed Scope 1 and 2 emissions since 2000 and Scope 3 emissions since 2015 according to the Greenhouse Gas Protocol standards. In FY 2021, to ensure that the calculation of Scope 3 Category 1 and 12 emissions will be closer to reality, the Group replaced its calculation method based on data on purchase amounts and shipments in Japan with an LCA-based calculation method. The Group therefore established a calculation method for GHG emissions from its business bases worldwide with a view to broadening the scope of disclosure. Furthermore, the Group has disclosed its total Scope 1, 2 and 3 emissions since FY 2022.

[For details of the Group’s GHG emissions, refer to the web page below.](#)

Other indirect greenhouse gas emissions generated in FY 2022 [*a]



Scope	Category	Category name	CO ₂ emissions (t-CO ₂ e)	Breakdown ratio
Scope1		Mizuno’s direct emissions	3,420	0.80%
Scope2		Mizuno’s indirect emissions	10,907	2.54%
Scope3		Others’ indirect emissions	415,377	96.67%
Breakdown	Category 1	Purchased products and services	326,338	75.9%
	Category 2	Capital goods	16,896	3.9%
	Category 3	Fuel- and energy-related activities	3,663	0.9%
	Category 4	Upstream transportation and distribution	15,286	3.6%
	Category 5	Waste generated in operations	364	0.1%
	Category 6	Business travel	2,533	0.6%
	Category 7	Employee commuting	4,161	1.0%
	Category 8	Upstream leased assets	3,885	0.9%
	Category 9	Downstream transportation and distribution	137	0.0%
	Category 12	End-of-life treatment of sold products	42,114	9.8%
Total			429,703	

* Calculations of purchased electricity emissions are location based.
 * The calculation scope is the domestic Mizuno Group and overseas Mizuno Group.
 * Scope 1: Greenhouse gas (GHG) emissions from a company’s direct operations, such as the in-house use of fuel
 * Scope 2: A company’s indirect GHG emissions from purchased electricity, heat, and steam
 * Scope 3: A company’s indirect GHG emissions coming from product manufacturing, transportation, employees’ business travel and commuting within the supply chain
 * For Scopes 1 and 2, emissions are from energy sources.
 * For Scope 3, non-energy source greenhouse gases are partly included according to the guidelines from the Ministry of the Environment.
 * The data marked with check mark has been assured by a third party in Japanese version of report.
 * Scope1, 2
 Direct and indirect GHG emissions from corporate activities as defined by the GHG Protocol

* Scope3 / Category 1

The following three methods are used to calculate emission factors according to the characteristics of product categories.

LCA of the representative model of the product sold by Mizuno in the relevant fiscal year was carried out and the emission factor of the product was calculated. GHG emissions were calculated by multiplying the sales volume with the emission factor. - ①

In the manufacturing department, GHG emissions were calculated by multiplying the amount of substances used in manufacturing with the emission factor. - ②

GHG emissions were calculated by multiplying the cost of products sold by Mizuno in the relevant fiscal year with the emission factor specified by the Ministry of the Environment. - ③

Total GHG emissions = ① + ② + ③

* For LCA calculation, the emission factor of LCI database IDEA version3.3 and Database on Emissions Unit Values for Accounting of Greenhouse Gas Emissions, etc., by Organizations Throughout the Supply Chain.

* Scope3 / Category 12

The following three methods are used for calculation according to the characteristics of product categories.

LCA of the representative model of the product sold by Mizuno in the relevant fiscal year was carried out and the emission factor of the product for disposal specified by the Ministry of the Environment was calculated. GHG emissions were calculated by multiplying the sales volume with the emission factor. - ①

In the manufacturing department, GHG emissions were calculated by multiplying the amount of substances used in manufacturing with the emission factor for disposal. - ②

GHG emissions estimated from sales amount based on the GHG emissions calculated from ①. - ③

Total GHG emissions = ① + ② + ③

* For LCA calculation, the emission factor of LCI database IDEA version 3.3 and Database on Emissions Unit Values for Accounting of Greenhouse Gas Emissions, etc., by Organizations Throughout the Supply Chain.

【Third Party Assurance】

In order to ensure a higher level of transparency and reliability while disclosing information on environmental data, Mizuno has obtained third-party assurance for the Japanese version of environmental data for FY2022 with this report from SGS Japan Inc PDF of Assurance Report

【Scope of Assurance】

GHG emissions in FY2022 (Scope 3, Category 1, 12)



Policies and Systems

Management policy

Mizuno Environmental Policy

To create a sustainable community and environment for the future, where all of us around the world can play sports safely and vigorously, the Mizuno Group will actively help preserve the global environment through all of its business activities and actions of each and every one of its employees.

- 1. Prevention of environmental pollution
We will reduce the impacts of chemicals on people, the environment and the ecosystem.
We will endeavor to reduce and recycle waste.
- 2. Sustainable use of resources
We will endeavor to make effective use of limited resources.
- 3. Mitigation of climate change
We will endeavor to reduce greenhouse gas emissions.
- 4. Coexistence with society
We will endeavor to develop and offer products and services that take the environment into consideration.
We will broaden communications with local communities.
We will endeavor to preserve biodiversity.

To ensure realization of the above policies, we will set specific environmental objectives and targets so that systematic efforts can be made to achieve the targets.

1 July, 2021

Akito Mizuno
President
Mizuno Corporation

Management system

To promote environmental protection activities as a Group, Mizuno has established an environment management system, led by its operating officer.

[For more information on Mizuno’s management system, please refer to Mizuno’s Environmental Management System.](#)



Environmental Management System

Basic Concepts

Mizuno started the unique environmental conservation activities "Crew21 Project" ahead of the rest of the industry in 1991 when global environmental issues began to attract attention. This project was named with the idea of "taking on the role of a crew member of the [Spaceship Earth] and carrying out activities to conserve resources and preserve the environment." Since the project's inception, Mizuno has been continuing efforts for over 30 years to make effective use of resources, reduce greenhouse gas emissions, and adopt environmentally friendly materials and manufacturing processes in their product planning.

In recent years, as the impact of climate change is increasingly felt, the company's group set a goal in 2021 to achieve carbon neutrality in corporate activities by 2050, making greenhouse gas emissions virtually zero. Towards the realization of carbon neutrality, they will further strengthen efforts such as innovations in manufacturing processes and the use of renewable energy. Alongside this, they will continue to promote recycling and the reduction of waste, and the efficient use of water, in line with their ongoing commitment to environmental considerations.

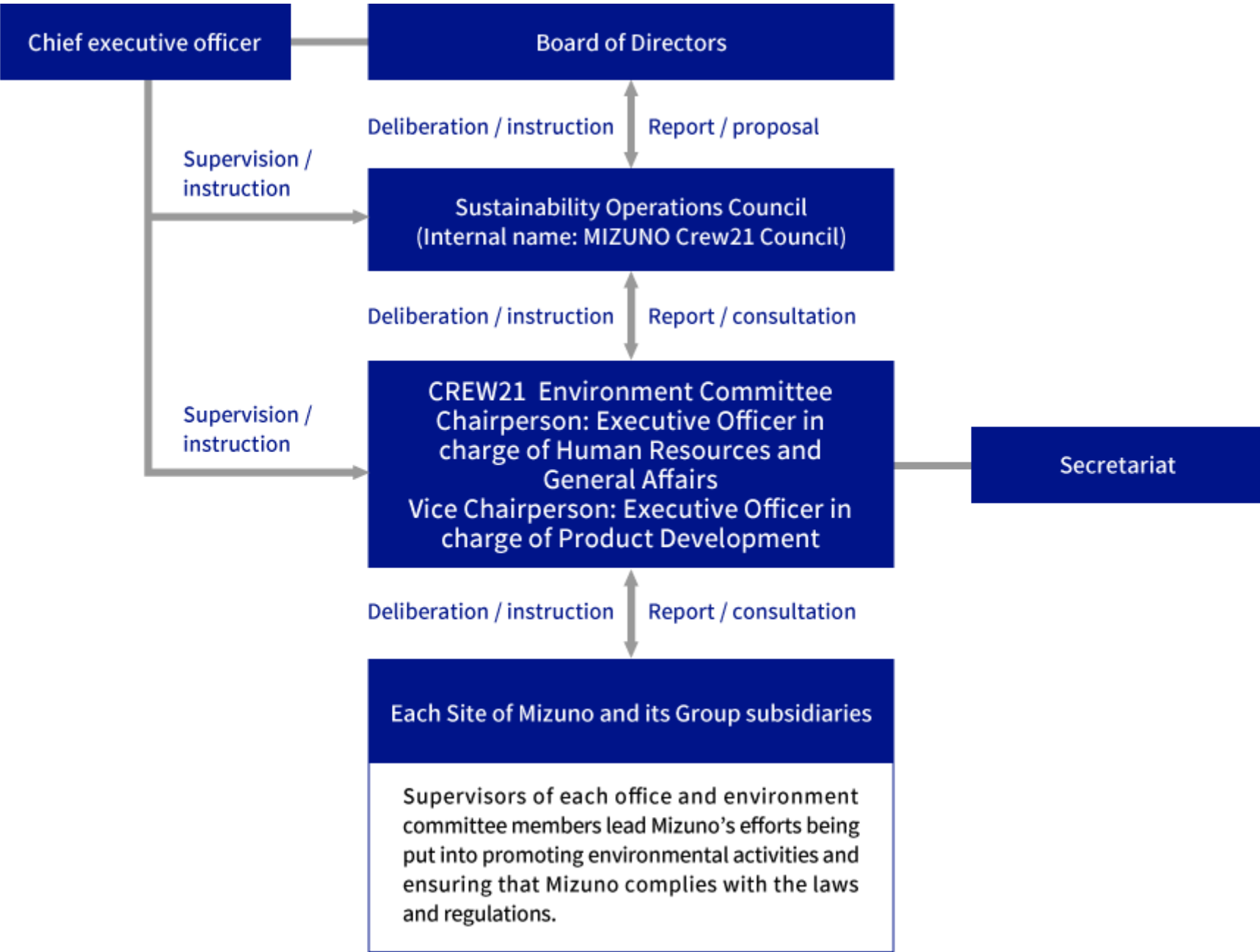
System for promoting environmental protection activities

To promote environmental protection activities across the Group, Mizuno has established an environment management system, led by its executive officer.

Mizuno has formed a Crew21 Environment Committee to promote environmental management activities, which is comprised of supervisors of relevant departments. The committee is led by the Executive Officer in charge of Human Resources and General Affairs, serving as the chairman, and the Executive Officer in charge of Product Development, acting as the vice-chairman. The Committee discusses matters such as: 1) formulating an environmental policy and revising it, 2) setting short-term, medium-term, and long-term environmental goals, and 3) instituting measures for achieving environmental goals. The Crew21 Environment Committee meets regularly, fostering communication across the entire company as it advances environmental protection activities.

[For information on the roles served by each organization, please refer to Management and Sustainability.](#)

Environment Operations Structure



The History of Mizuno’s global environment protection activities

Mizuno recognizes that all business activities have the potential of adversely affecting the environment. Accordingly, to help protect the global environment, in September 1991, Mizuno established a global environment protection activity project titled "Crew21," and ever since then, it has been putting effort into conducting environmental protection activities. In celebration of the 30th anniversary since initiating the Crew21 project, in April 2021, Mizuno created the logo "MIZUNO CREW21," which symbolizes all of Mizuno’s sustainability activities, including not only its environmental protection activities but also social and economic activities. Mizuno will continue putting effort into helping create a sustainable world as a crew member of the Spaceship Earth.

[History of Mizuno’s activities for the conservation of the global environment \(timeline\)](#)

ISO 14001 certification

The Mizuno Yoro Factory (now Mizuno Technics Corporation), which is Mizuno’s main factory in Japan, obtained ISO 14001 certification in 1997 before other companies in the sports industry, following which other offices in Japan also obtained certification. Subsequently, Shanghai Mizuno, which is Mizuno’s largest manufacturing base overseas, obtained certification in 2004, followed by Taiwan Mizuno in 2008. In addition, Senoh Corporation and Senotech Corporation, which are part of the Mizuno Group, obtained certification in 2015.



List of offices that have obtained ISO 14001 certification

Year of acquisition	Offices that have obtained certification and the scope of application＊ (as of March 2022)
1997	Mizuno Technics Corporation Yoro Factory of Mizuno’s Head Office, Haga Factory, Yamazaki RunBird Factory, and Hikami Factory
2002	Mizuno Corporation Osaka Head Office, Tokyo Head Office, Chubu Branch, Kyushu Branch, Yodoyabashi Store, and MIZUNO TOKYO
2004	Shanghai Mizuno Corporation Ltd.
2008	Taiwan Mizuno Corporation
2015	Senoh Corporation Matsudo Head Office and Fukuoka Branch Senohtech Corporation
2020	Osaka Chayamachi Store

＊ The scope of application of ISO 14001 primarily covers offices with a greater risk of causing environmental harm.
As of the end of March 2023, ISO 14001-certified offices account for 90.5% of offices in Japan and 36.9% of offices overseas (on the basis of the number of employees).

Environmental audit

The Mizuno Group conducts an internal audit and has the ISO 14001 certification body examine itself annually. According to the examination conducted by the certification body in FY 2022, Mizuno had no major issues. In addition, Mizuno has already completed resolving all minor issues.

	Issues pointed out by Mizuno’s internal audit (No. of issues)	Issues pointed out by the certification body’s examination (No. of issues)
Major issues	0	0
Minor issues	27	3
Opportunities to resolve issues	0	5

By "Opportunities to resolve issues," Mizuno means the number of times it received advice on how it could resolve its issues, and every time it had such opportunities, Mizuno carefully examined the advice it received and applied it to resolving issues as necessary.



Complying with environmental laws and regulations

To comply with environmental laws and regulations, Mizuno maximizes its environment management system and identifies environmental risks that could be underlying its business. Whenever a risk is identified, to prevent accidents and minimize danger, Mizuno regularly performs maintenance and inspection of equipment and facilities and also conducts emergency response drills.

In FY 2022, Mizuno was not found as violating any environmental laws and regulations, did not experience any major accidents, and was not charged any penalties.

Preventive approaches and precautionary principles

Mizuno strives to prevent environmental impact and reduce the environmental burden at every stage of the process, from planning and development to manufacturing.

In FY 2018, Mizuno conducted an analysis using a life-cycle assessment (LCA) for WAVE RIDER 21, a representative model of running shoes in its footwear business, identifying the processes and environmental aspects that have significant impacts within the product's lifecycle. In FY 2021, Mizuno carried out LCA analyses on representative products by category, estimated their respective greenhouse gas emissions, and is utilizing these findings in future measures.

Environmental education

The Mizuno Group provides its entire staff with environmental education to help each and every one of them improve their environmental attitude. The Mizuno Group's environmental education being provided at each of its departments deals with a large number of topics every year and aims to help employees familiarize themselves with Mizuno's philosophy and goals relating to its environmental protection activities.

In addition, the site of each department provides waste managers and organic solvent users with information on specialized education helpful in improving the skills and knowledge needed at work.

Disclosure of Environmental Information

Mizuno discloses environmental information on its website. The sustainability report, which includes environmental information, is available in both Japanese and English. The information disclosed on the website can be downloaded as a PDF.

Factory Tours

Mizuno conducts factory tours at production bases such as the Yoro Factory and Senotech, where visitors can observe the know-how of manufacturing and the in-factory 3S (Sort, Set in order, Shine) conditions. In addition, in response to World Environment Day on June 5th, Mizuno has designated June as Mizuno Environment Month and has been carrying out cleanup activities around its domestic and overseas business sites since 1997. In FY 2022, as measures against the Covid-19 have gradually eased, activities such as factory tours have resumed. In September 2022, Mizuno's Yoro Factory was visited as part of the Overseas Market Workshops (OMWs) Japan Tour sponsored by the Singapore Enterprise Agency, with participation from approximately 30 members from the Singapore Chamber of Commerce and Industries. On the day of the visit, in addition to the factory tour, the company explained its corporate activities and sustainability efforts based on the Mizuno Corporate philosophy.

Risk Communication

Mizuno Technics is engaged in risk communication through regular dialogue with stakeholders. This effort involves inviting local government officials and residents to actually tour the factory and explaining how the factory operates using various equipment, what products and waste are created, and what environmental conservation activities are being conducted. It's a proactive initiative where information is openly shared with community representatives, and their opinions and requests are actively solicited and incorporated into ongoing activities.

Environmental Workshop

Mizuno conducts environmental workshops with the aim of nurturing children's environmental awareness through its manufacturing and environmental conservation activities. In the workshops, the history of sports equipment and Mizuno's initiatives at the factory are introduced, and participants engage in crafting original keyholders using wooden bat offcuts and leftover leather from baseball gloves.

Moreover, starting from FY 2020, the workshop has been expanded as part of the experiential program "Kotopro," as an event program.

Solar panels installed at Mizuno Technics Yoro Factory

The Mizuno Technics Yoro Factory manufactures baseball and golf products, which are Mizuno's core products and other sporting goods. We installed solar panels on the roof of the factory's largest building, the golf manufacturing building, in January 2023. This will generate approximately 400,000 kw of electricity per year, which will be used in the manufacturing processes of golf and other products. We also installed emergency power supply equipment along with the solar panels to ensure a stable power supply even in the event of a natural disaster. This emergency equipment not only serves the factory, but is also aimed at benefiting the local community by supplying power to neighboring areas in the event of an emergency.





Mitigation of Environmental Impact in Products

Basic Concepts

Toward the achievement of its medium- to long-term environmental targets, Mizuno conducts life cycle assessment (LCA) for representative products in each product division. They analyze and understand the environmental burden throughout the entire life cycle of the products, from the procurement of raw materials to disposal, and promote the mitigation of the environmental burden across the entire life cycle. On procuring raw materials, Mizuno selects recycled materials and plant-based materials. It is also committed to extending the lifetime of its products by increasing their durability and providing high-quality maintenance and repair services.

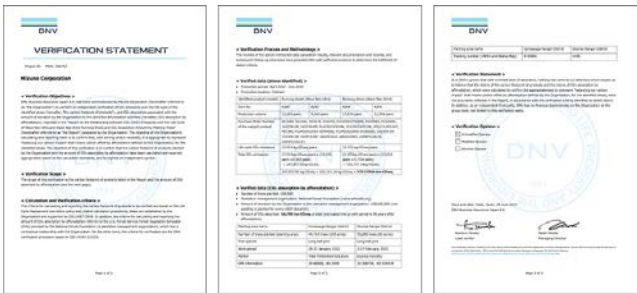
Understanding the Environmental Impact Throughout the Product Lifecycle

In September 2022, Mizuno launched the Wave Neo Collection, the company’s first running shoes designed to offset CO₂ emissions throughout the product’s lifecycle (from raw material procurement to manufacturing, transportation, sales, use, and disposal). The Wave Neo Collection maintains the performance features of traditional running shoes suitable for full marathons while aiming to reduce environmental impact. These shoes reduce CO₂ emissions by using environmentally friendly materials such as recycled polyester and plant-derived materials as raw materials, and by using non-dyed upper knit materials to conserve water resources and reduce environmental impact. Furthermore, in collaboration with the National Forest Foundation in the United States, Mizuno planted approximately 100,000 long pine trees in Chattahoochee, Georgia, between January and February 2022. The purpose of this afforestation project is to absorb the CO₂ emitted during the life cycle of these shoes. These trees will continue to absorb atmospheric CO₂ for nearly 90 years. As a result, the CO₂ emissions from the global sales of the Wave Neo Collection in this fiscal year will be offset by the absorption through tree planting. This initiative marks the first time in Mizuno’s history that a product has been developed to offset CO₂ emissions.

Mizuno has disclosed information for balancing the carbon impact. And it has been verified by a third-party organization, DNV Business Assurance Japan K.K.

[Mizuno’s disclosure for balancing carbon impact](#) 

[Third-party verification for balancing carbon impact](#) 



For further information,
visit, <https://corp.mizuno.com/en/sustainability/environment/waveneocollection>

Use of Raw Materials and Recycling

At Mizuno, due to the wide variety of products, it is difficult to list all the types of raw materials used in manufacturing. Therefore, we report on the main raw materials used in our major products, such as shoes and apparel. These materials include plant-derived and recycled materials.

Shoes: We utilize recycled polyester for the upper part, plant-derived materials (Pebax® Rnew® / Rilsan®) for the WAVE PLATE, non-dyed upper knit materials, and algae-based materials called "BLOOM" for the midsole and insole, among others.

Apparel: We use materials recycled from PET bottles, plant-derived synthetic fibers, biodegradable synthetic fibers, and materials reused from rice husks, among others.

On the other hand, we are also advancing efforts in recycling, reusing, and regenerating raw materials, products, and packaging materials. For example, we have started using materials regenerated from discarded plastic films and used PET bottle caps for the packaging of some domestically produced sports apparel. We will gradually transition to this recycled material starting from June 2022, and within a year, we plan to switch the packaging for about 1.04 million apparel products to this recycled material. As approximately 98% of the material per package will be regenerated, we anticipate a reduction of 29.6 tons in CO₂ emissions annually.

Mitigating the Outflow of Microplastics from Artificial Turf

Mizuno engages in the development and sale of products related to artificial turf to provide a comfortable sports environment and is committed to environmental conservation through its business. In recent years, one of the issues raised is that microplastics originating from artificial turf become marine debris.

●Artificial Turf "MS CRAFT"

that Reduces Rubber Chip Scattering Mizuno has developed artificial turf named "MS CRAFT" that utilizes specially curled processed piles (blades of grass), resulting in less scattering of rubber chips and a reduced likelihood of outflow. This contributes to the control of microplastics leakage. MS CRAFT employs these special curled processed piles. Compared to conventional straight long-pile artificial turf, by optimizing the amount of curled processed piles, it suppresses the dispersion of infill materials during rainfall, ball bouncing, and other such events. This technology was demonstrated in the fiscal year of Reiwa 4 under the Environmental Technology Verification (ETV) Program by the Ministry of the Environment of Japan, within the realms of climate change mitigation technology as well as water and soil environmental preservation technology.



●Eco line paint for artificial turf ground

Mizuno has developed "ECOMELT-LINE," a water-soluble line paint for artificial turf grounds, responding to the demand to "draw lines freely on artificial turf grounds and cleanly erase them after an event."

While general paints often use resin (plastic) to enhance durability and adhesion, ECOMELT-LINE does not use resin, and even when rinsed with water, it does not become a source of microplastic discharge. Additionally, ECOMELT-LINE is a neutral paint (pH 7.5) made without volatile organic compounds or similar materials, making it friendly to both people and the environment. There’s no need for special chemicals to remove the lines, and they can be easily cleared from artificial turf, allowing for repeated and worry-free use.



White lines (image) created by "ECOMELT-LINE"

Developing artificial turf fillers by recycling used tea leaves

Mizuno collaborated with Ito En Ltd. (hereinafter, Ito En) in developing an artificial turf filler named "Field Chip G (Greentea)," and it did so by using Ito En’s used tea leaf recycling system.* 1

Producing enough Field Chip G to cover an entire long pile artificial turf soccer field requires using used tea leaves worth 430,000 pet bottles of Ito En’s 525 ml sized Oi Ocha green tea. Used tea leaves contain carbon dioxide absorbed by their trees. Therefore, covering an entire soccer field with Field Chip G made from used tea leaves would enable reducing about 4.3 t-CO₂of carbon dioxide in the atmosphere.* 2 In addition, Field Chip G does not smell like rubber and allows reducing the increase of surface temperature by about 7°C compared to that of black rubber chip fillers.

Field Chip G is currently used in the following places, helping protect the environment and making artificial turfs more comfortable: 1) the Play Ground of Mizuno’s after-school care facility "Asolete AFTER SCHOOL" (in Tokyo), 2) a part of the Tokiwabashi area currently under development (in Tokyo), 3) Kashihara Athletic Park (in Nara Prefecture), and 4) the soccer field at Teikyo Nagaoka High School (in Niigata Prefecture).

* 1 [Used tea leaf recycling system](#)

* 2 The carbon content was measured using Yanaco Technical Science Corporation’s Yanaco HCN Coder MT-700 HCN.



Corporate uniforms

Mizuno currently helps workers in various industries, including the construction, manufacturing, and transportation industries, work comfortably by applying the functionality that it has acquired in the sports industry to offering corporate uniforms. Companies have recently come to recognize the importance of valuing their employees’ health from the perspective of company management and have begun paying more attention to the need for strategic health management. Accordingly, more companies now place importance on the safety and comfort of the uniforms that they ask their employees to wear. In addition, to help companies become more environmentally friendly, Mizuno uses environmentally friendly materials, such as recycled polyester and plant-derived polyester, and it also recycles used uniforms. Recycled uniforms are recycled as industrial materials, such as car interior material and polyester fiber.

Initiatives to effectively utilize the offcuts produced in the manufacturing process

●Reusing offcuts from wooden baseball bats

One of Mizuno’s main products is wooden baseball bats. Since wood is a natural material, it may have knots or other imperfections, leading to the creation of offcuts that are unsuitable for use as bats during the manufacturing process. To make effective use of these offcuts, Mizuno leverages its connections with partner companies to process them into various items such as wooden key holders, transforming them into new products.



For further information,
visit, <https://corp.mizuno.com/en/articles/0051>

●Reusing leftover leather from baseball gloves

Baseball gloves are one of Mizuno's main products. One issue has been that a large amount of leather material is left unused for making baseball gloves, due to wrinkles or scratches, making it unsuitable for use. Therefore, Mizuno continuously recycles this leftover leather, transforming it into small items such as wallets and business card holders for sale.



For further information,

visit, <https://corp.mizuno.com/en/articles/0052>

Research into the development of environmentally friendly raw material

Mizuno conducts research into the development of nonpetroleum-derived raw materials as a substitute for petroleum-derived raw materials. Mizuno currently puts effort into conducting research into the development of plant-derived raw materials, and it sees nanomaterials, such as cellulose nanofibers, as being promising candidates.

Future issues to be addressed

Of the entire amount of GHG emissions that Mizuno's business activities currently generate, indirect emissions that fall into the category of Scope 3 account for about 97%. Particularly, because about 80% of those indirect emissions are related to purchased products and services, Mizuno recognizes the importance of reducing greenhouse gas emissions through their products. We will continue to promote product planning and development aimed at reducing GHG emissions.



Materiality

Climate Change

Basic Concepts

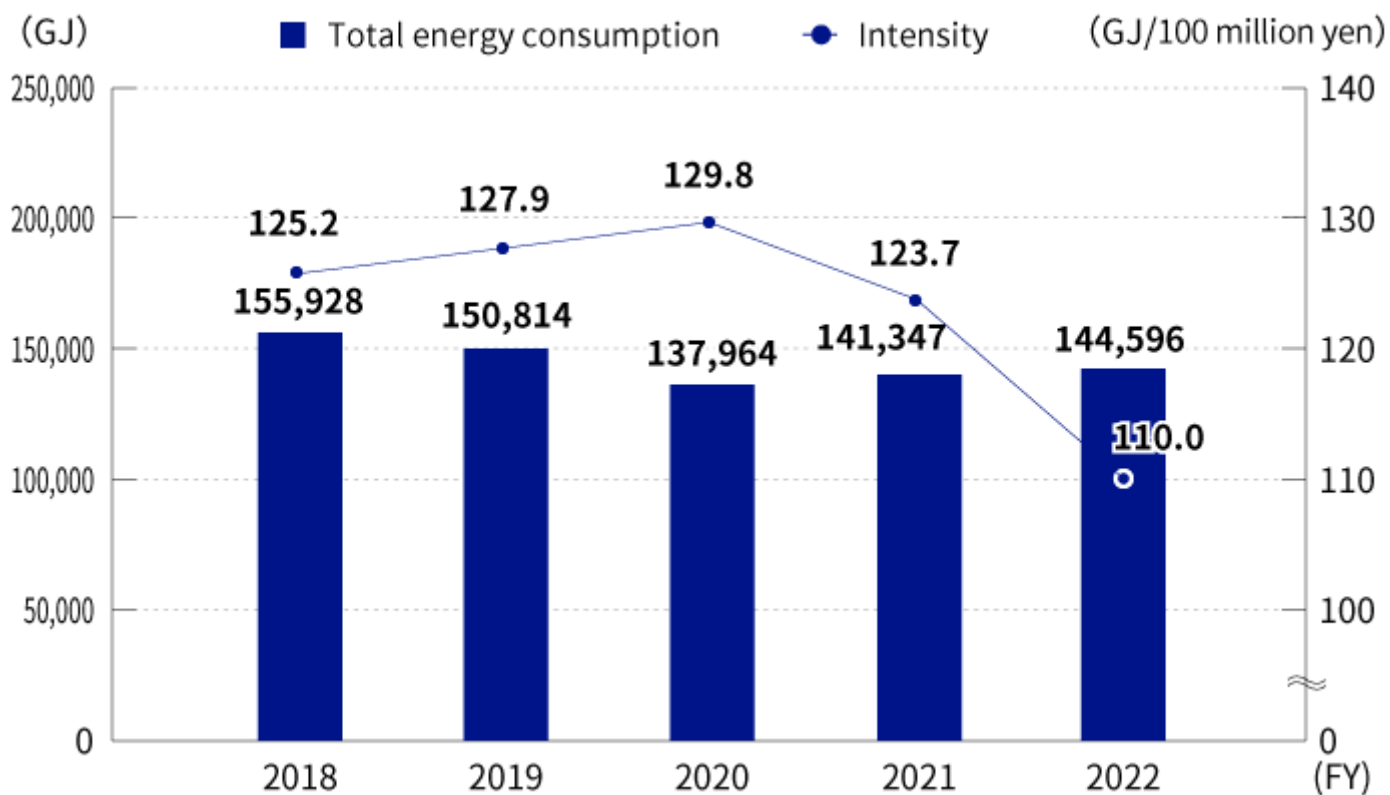
To help create a decarbonized world, the Mizuno Group will put effort into reducing energy consumption and energy-derived CO₂ emissions. In addition, since it believes that reducing GHG emissions effectively requires doing so in collaboration with its entire value chain, Mizuno will put effort into reducing GHG emissions generated when developing products.

Energy consumption

Mizuno currently makes various efforts with the aim of achieving its long-term environmental targets. Key examples include solar power generation at domestic factories and the installation of LED equipment at its offices in Japan and overseas. To reduce its energy consumption, Mizuno currently puts effort into strategically installing LED equipment at offices that have a higher risk of imposing environmental burden, such as its headquarters' buildings and factories. In addition, Mizuno currently puts effort into switching its company cars from gasoline cars to hybrid and other fuel-efficient cars. Furthermore, electric cars have also been introduced and been proving to be safe and environment friendly. Mizuno's company cars are equipped with Telematics, which allows visualizing how cars are being driven. This has proven to be useful in not only helping drivers pay more attention to driving safely but also improving fuel economy and reducing CO₂ emissions.

Mizuno's total domestic energy consumption in FY 2022 was 144,596 GJ. The intensity of energy consumption* was 110.0, a decrease of 13 points year on year.

Total energy consumption [*b]

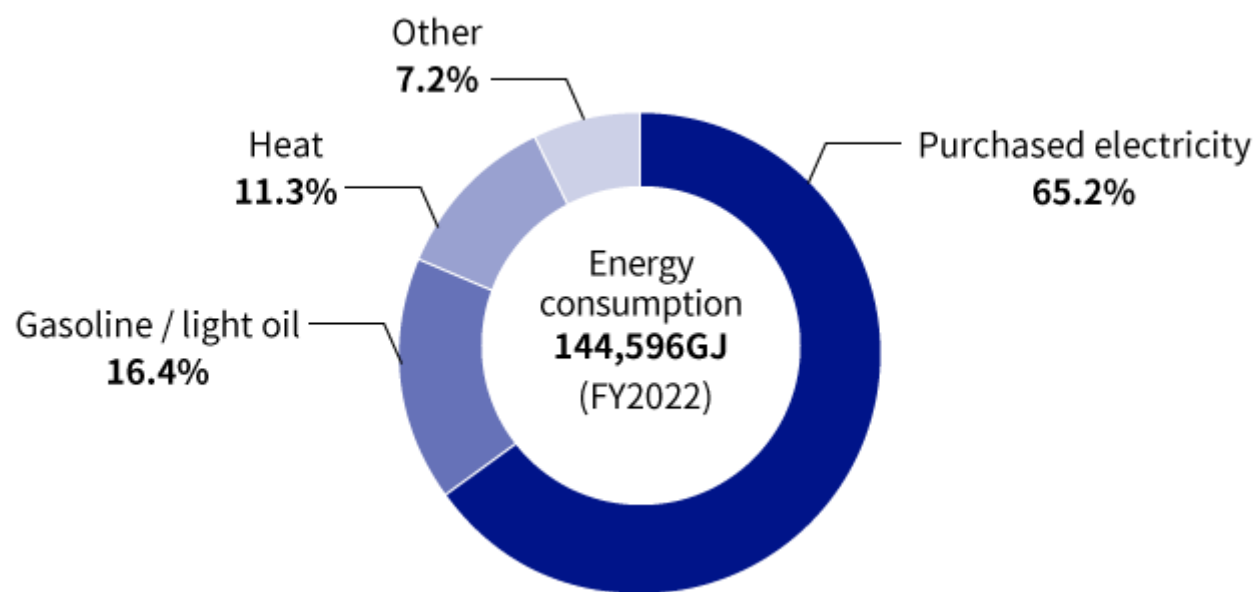


* The breakdown of energy consumption includes non-renewable fuel sources, electricity, heating, cooling, and steam. At this point, fuel sources from renewable energy, such as biofuels, have not been identified.

* Energy consumption does not include external energy consumption within the organization.

* Intensity of energy consumption: Domestic energy consumption (GJ) / Total domestic sales revenue (hundred million yen)

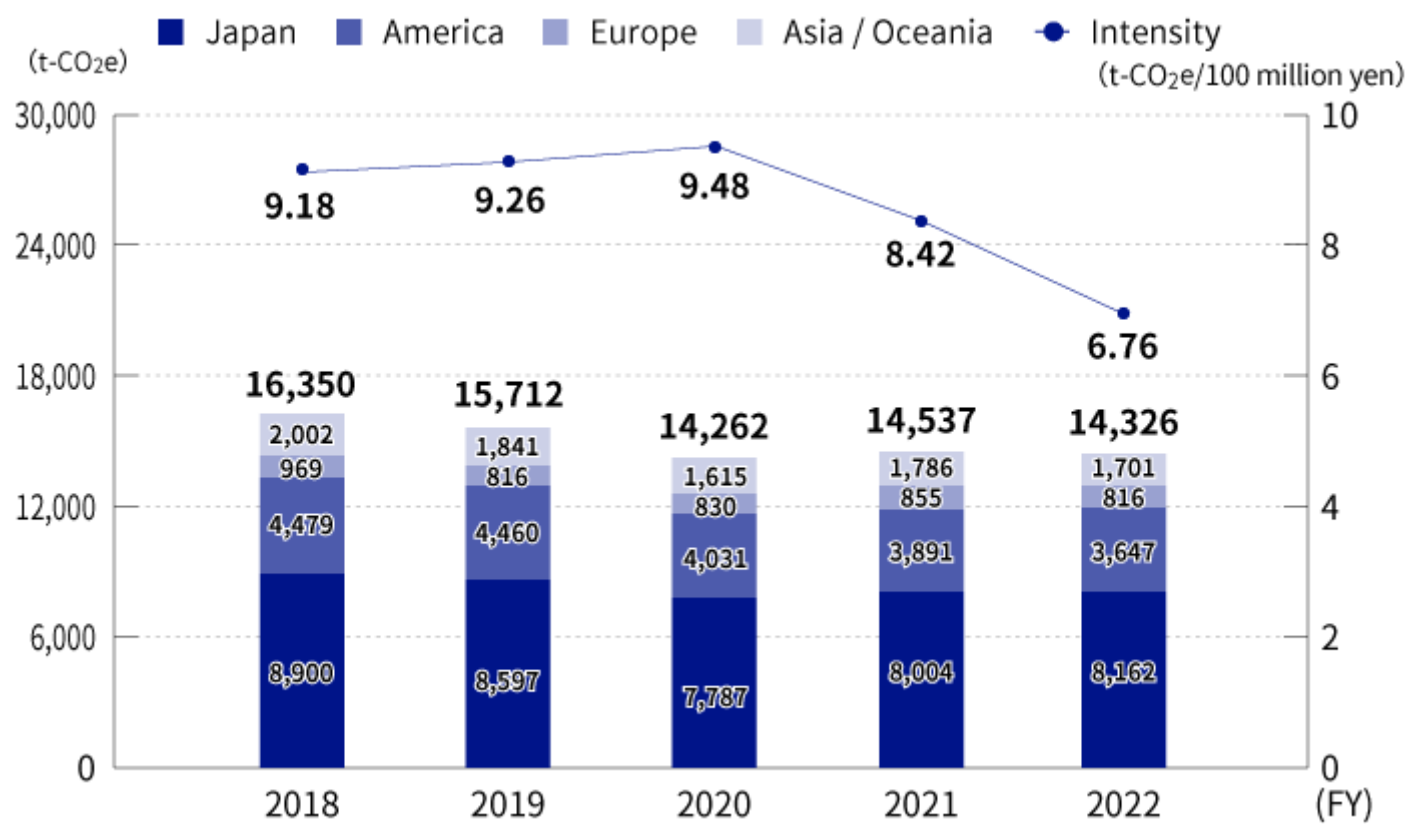
Breakdown of energy consumption [*b]



Energy-derived CO₂ emissions

In FY 2022, the Mizuno Group set a goal for its total energy-derived CO₂ emissions of 14,111 t-CO₂ (a 2.9% reduction compared to the previous fiscal year), but the actual result was 14,326 t-CO₂. The increase in electricity and gasoline consumption, influenced by the relaxation of restrictions and the resumption of activities following COVID-19 both in Japan and overseas, affected the results for the fiscal year. Going forward, Mizuno aims to reduce its CO₂ emissions through the introduction of energy-saving equipment and the promotion of efficient operations. Additionally, the occurrence of CO₂ emissions from biological sources, such as the combustion of biomass, has not been identified.

Regional GHG emissions and intensity*2



*2 Intensity: GHG emissions (t-CO₂e) / consolidated sales (100 million yen)

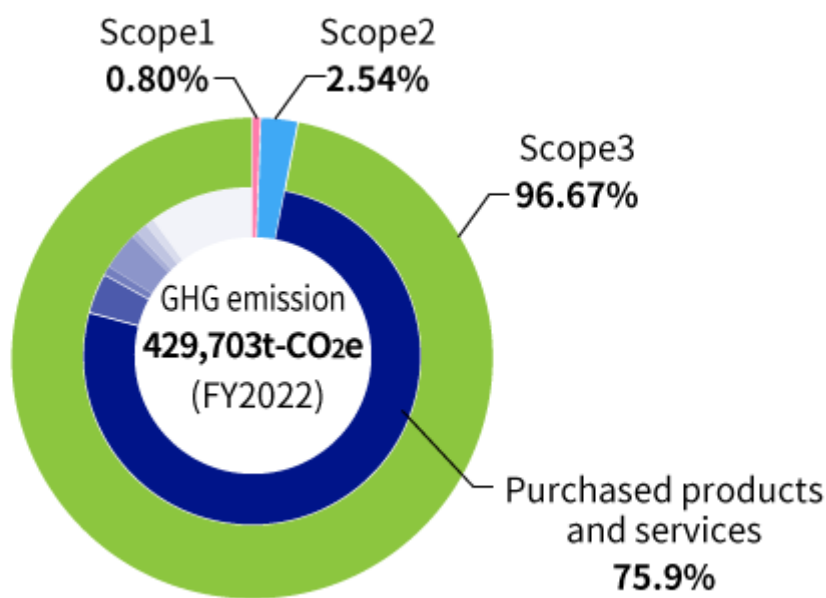
Other indirect greenhouse gas emissions

Mizuno recognizes that to achieve a decarbonized society, it is essential not only to reduce greenhouse gas emissions generated by the company itself but also to engage in initiatives across the entire value chain. Therefore, Mizuno calculates emissions across the entire value chain based on the Scope 3 standards of the GHG protocol.

In FY 2022, Mizuno’s Scope 3 CO₂ emissions accounted for 96.67% of its total CO₂ emissions. To reduce the amount of Scope 3 CO₂ emissions, Mizuno is making efforts such as collaborating with Sumitomo Warehouse, which operates Mizuno’s main warehouses, to promote the installation of LED lighting, and partially advancing a modal shift in transportation between its major warehouses in Western and Eastern Japan.

Among Scope 3, Category 1 "Purchased products and services" and Category 12 "End-of-life treatment of sold products," which together account for about 80%, were recalculated in FY 2021 using an LCA-based method, revising the traditional calculation approach. To reduce emissions in Category 1, Mizuno will continue to promote the use of environmentally friendly materials such as recycled and plant-based materials, while also considering additional measures for further reductions.

Other indirect greenhouse gas emissions generated in FY 2022 [*a]



Scope	Category	Category name	CO ₂ emissions (t-CO ₂ e)	Breakdown ratio
Scope1		Mizuno’s direct emissions	3,420	0.80%
Scope2		Mizuno’s indirect emissions	10,907	2.54%
Scope3		Others’ indirect emissions	415,377	96.67%
Breakdown	Category 1	Purchased products and services	326,338	75.9%
	Category 2	Capital goods	16,896	3.9%
	Category 3	Fuel- and energy-related activities	3,663	0.9%
	Category 4	Upstream transportation and distribution	15,286	3.6%
	Category 5	Waste generated in operations	364	0.1%
	Category 6	Business travel	2,533	0.6%
	Category 7	Employee commuting	4,161	1.0%
	Category 8	Upstream leased assets	3,885	0.9%
	Category 9	Downstream transportation and distribution	137	0.0%
	Category 12	End-of-life treatment of sold products	42,114	9.8%
Total			429,703	

* Calculations of purchased electricity emissions are location based.
 * The calculation scope is the domestic Mizuno Group and overseas Mizuno Group.
 * Scope 1: Greenhouse gas (GHG) emissions from a company’s direct operations, such as the in-house use of fuel
 * Scope 2: A company’s indirect GHG emissions from purchased electricity, heat, and steam
 * Scope 3: A company’s indirect GHG emissions coming from product manufacturing, transportation, employees’ business travel and commuting within the supply chain
 * For Scopes 1 and 2, emissions are from energy sources.
 * For Scope 3, non-energy source greenhouse gases are partly included according to the guidelines from the Ministry of the Environment.
 * The data marked with check mark has been assured by a third party in Japanese version of report.
 * Scope1, 2
 Direct and indirect GHG emissions from corporate activities as defined by the GHG Protocol

＊ Scope3 / Category 1

The following three methods are used to calculate emission factors according to the characteristics of product categories.

LCA of the representative model of the product sold by Mizuno in the relevant fiscal year was carried out and the emission factor of the product was calculated. GHG emissions were calculated by multiplying the sales volume with the emission factor. - ①

In the manufacturing department, GHG emissions were calculated by multiplying the amount of substances used in manufacturing with the emission factor. - ②

GHG emissions were calculated by multiplying the cost of products sold by Mizuno in the relevant fiscal year with the emission factor specified by the Ministry of the Environment. - ③

Total GHG emissions = ① + ② + ③

＊ For LCA calculation, the emission factor of LCI database IDEA version3.3 and Database on Emissions Unit Values for Accounting of Greenhouse Gas Emissions, etc., by Organizations Throughout the Supply Chain.

＊ Scope3/ Category 12

The following three methods are used for calculation according to the characteristics of product categories.

LCA of the representative model of the product sold by Mizuno in the relevant fiscal year was carried out and the emission factor of the product for disposal specified by the Ministry of the Environment was calculated. GHG emissions were calculated by multiplying the sales volume with the emission factor. - ①

In the manufacturing department, GHG emissions were calculated by multiplying the amount of substances used in manufacturing with the emission factor for disposal. - ②

GHG emissions estimated from sales amount based on the GHG emissions calculated from ①. - ③

Total GHG emissions = ① + ② + ③

＊ For LCA calculation, the emission factor of LCI database IDEA version 3.3 and Database on Emissions Unit Values for Accounting of Greenhouse Gas Emissions, etc., by Organizations Throughout the Supply Chain.

【Third Party Assurance】

In order to ensure a higher level of transparency and reliability while disclosing information on environmental data, Mizuno has obtained third-party assurance for the Japanese version of environmental data for FY2022 with this report from SGS Japan Inc

【Scope of Assurance】

GHG emissions in FY2022 (Scope 3, Category 1, 12)

Other Emissions to the Atmosphere

There are no relevant emissions of ozone-depleting substances (ODS), nitrogen oxides (NOx), sulfur oxides (SOx), and other significant atmospheric emissions, so reporting on these is not being conducted.

Future issues to be addressed

- Mizuno will strive to not only reduce Scopes 1 and 2 GHG emissions but also aim for initiatives to cut down Scope 3 emissions, and continue to strengthen these activities moving forward.
- Mizuno will promote measures designed to switch to renewable energy sources.
- Mizuno will promote efforts throughout the supply chain to reduce Scope 3 emissions.
- Mizuno will work to create a circular economy.



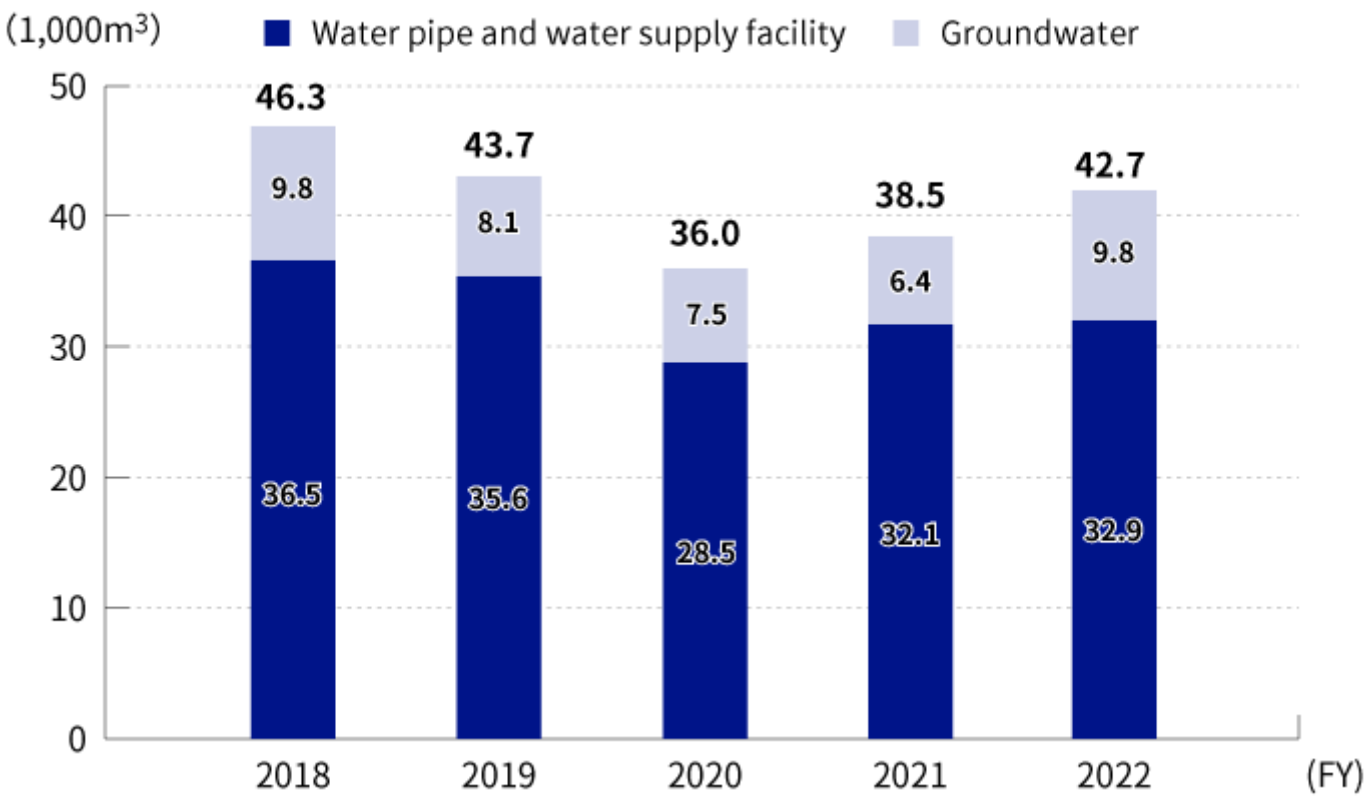
Water Use and Management

Basic Concepts

Water resources are not only essential to conducting business but also essential to everyday life and the production of food of the regional community and the maintenance of biodiversity. In the manufacturing of sports equipment, the production of raw materials and the manufacturing process of products have a great impact on water resources. Mizuno puts effort into reducing the amount of water use, including the developing of manufacturing technologies that will allow the reduction of water use.

To play its part in the circulation of water resources responsibly, Mizuno will pay even greater attention to the effluent its manufacturing bases discharge into the sewage and general rivers and also ensure that it complies with laws relating to septic tanks and water quality management.

Water intake by water source [*b]



Water-resource measures taken in supply chains

Since supply chains are expanding globally, water pollution in manufacturing countries is an important issue that needs to be addressed. Mizuno uses the World Resources Institute (WRI)’s Aqueduct, which provides a world atlas that maps data on water risks, to identify current and potential water risks at its offices and factories around the world. A water risk survey has been completed at all 37 Mizuno offices: 18 in Japan (including subsidiary offices) and 19 abroad.

In addition, as part of its CSR procurement audit, Mizuno checks whether its suppliers are properly managing effluent and whether employees have safe access to water.

Future issues to be addressed

- Mizuno will seek to fully grasp the facts of its water use from multiple perspectives, including the current levels of its global water usage and water-related impacts, as well as future water-related impacts on its business activities.
- If a water risk proves to exist, Mizuno will adopt appropriate countermeasures according to the nature of the risk and the social situation.



Materiality

Reduction of hazardous chemical substances

Basic Concepts

Mizuno puts effort into reducing its use of chemical substances that could be harmful to the human body and ecosystem, and it also puts effort into finding substitutes to replace such chemical substances. Mizuno’s offices conduct risk assessments into chemical substances according to categories, based on their hazardousness and harmfulness, and put effort into finding substitutes with lower risks.

In FY 2022, there were no major cases of leakage of hazardous chemical substances from Mizuno’s manufacturing factories. In addition to Mizuno’s manufacturing bases, Mizuno’s offices and stores also performed risk assessments of chemical substances used to repair products.

＊ Mizuno has a system for managing hazardous chemical substances to ensure that it offers safe and proper quality products. To find out more about the system, please visit Mizuno’s Responsibility for Safe and High-quality Products website.

Reducing organic solvent (toluene) emissions

As a measure to reduce the adverse effect that toluene could have on the health of its employees, Mizuno puts effort into reducing toluene emissions by replacing currently used adhesives containing toluene at shoe manufacturing sites with water soluble adhesives.

Storing PCB

The Law Concerning Special Measures against PCB Waste requires business operators who store PCB waste to annually report the condition under which PCB waste is being stored and to dispose of PCB waste by the end of March 2027. At Senotech, one transformer with low PCB content is being stored. Therefore, the company submits an annual report in June to the local municipalities on the storage and disposal status of the polychlorinated biphenyl (PCB) waste.

Future issues to be addressed

- Mizuno is committed to using materials that do not contain hazardous chemical substances, starting from the design stage of the manufacturing process.
- Mizuno’s ultimate goal is to switch to paints and adhesives that do not contain organic solvents. If an immediate switch is not possible, Mizuno will transition to ones that contain solvents with lower levels of hazard.



Materiality

Reduction of waste

Basic Concepts

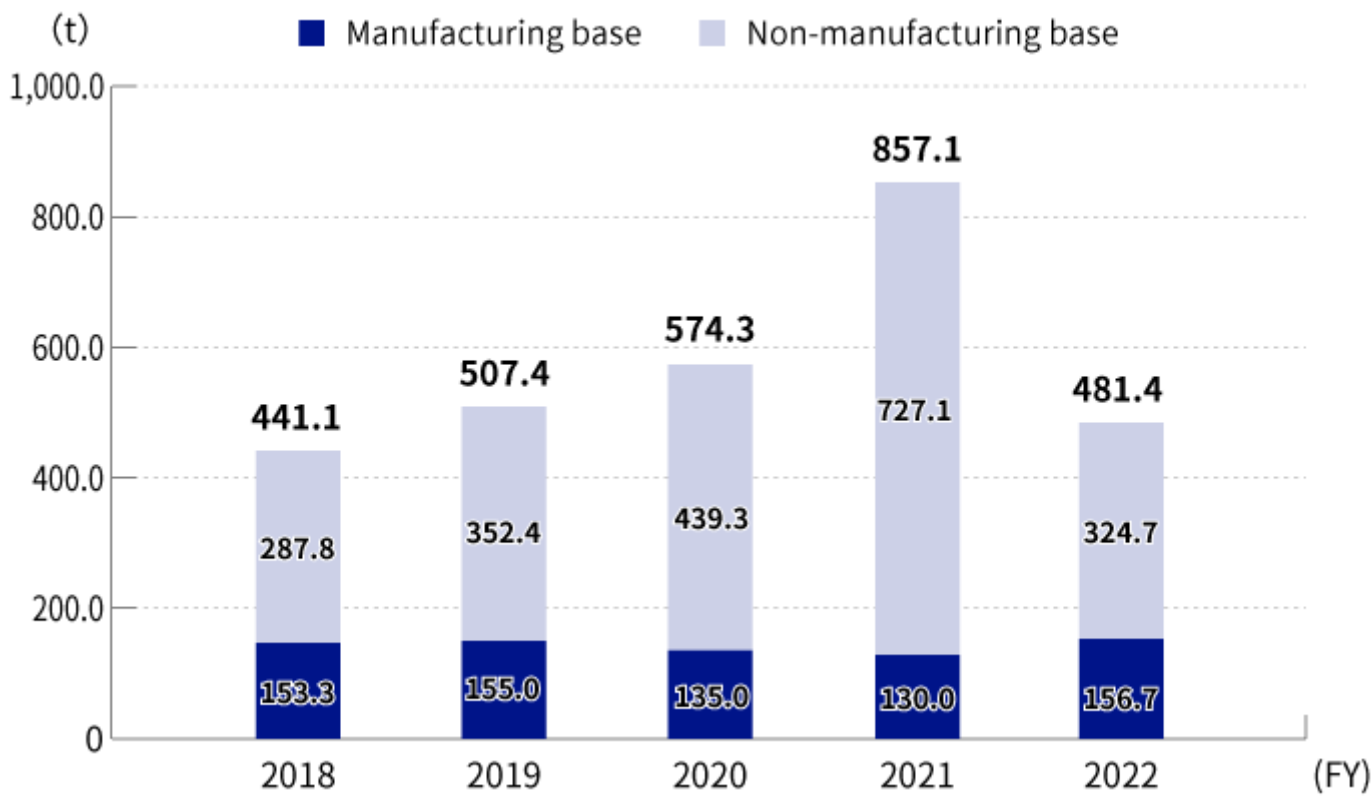
To help prevent environmental pollution and create a world that uses sustainable resources, Mizuno puts effort into reducing waste by taking into consideration its products’ life cycles, from the designing and manufacturing stages to product use and disposal. In addition, Mizuno ensures that industrial waste generated at each of its offices is disposed of properly by checking manifests and regularly visiting offices. Mizuno’s main offices operate based on digital manifests.

Reduction of Industrial Waste

Mizuno’s manufacturing bases have long been committed to reducing industrial waste. For FY 2022, the target for industrial waste emissions was set at 126.8 tons, but the actual result was 156.7 tons. This was a 20.6% increase over the target and a 23.6% increase compared to the previous fiscal year.

This was largely due to the need to dispose of leather scraps that became subject to valuable trading, particularly as demand decreased in the wake of the COVID-19 pandemic.

Gross weight of industrial waste by base [*b]



Efforts Towards Resource Recycling

Mizuno is committed to reducing the total amount of waste at its domestic manufacturing bases, emphasizing reuse and separation, and sharing information between business locations to turn waste into valuables for recycling as resources. Mizuno Technics recycles 99.8% of the industrial waste it generates. Starting in fiscal year 2020, leftover leather from glove manufacturing has been recycled and sold as valuable material, and at sales locations, it is processed into DIY leather sheets for effective use.

＊ General waste is not included in Mizuno’s zero emission goal.

Reducing the environmental impact of apparel product tags

Mizuno will start using mixed paper that contains offcuts generated during the cutting of the apparel fabric, for the product tags of new apparel introduced in the 2023 spring / summer season for the Japanese market. Through this initiative, we aim to reduce wastage of apparel material and minimize the use of paper resources. We are also working on reducing the use of product tags itself by simplifying, consolidating and digitalizing tags, with a view to reducing the number of product tags by approximately 4 million pieces per year. Through these efforts, it is expected that we will reduce CO₂ emissions by approximately 11.8 tons annually.



For more information, please refer to <https://corp.mizuno.com/en/articles/0045>

Gross weight of waste by treatment method being adopted at Mizuno’s domestic manufacturing bases (four factories) and waste sold as valuables [*e]

[Please refer to our ESG data.](#)

Mizuno’s plastic waste zero declaration

Mizuno puts effort into reducing plastic waste in collaboration with its entire value chain. Mizuno promotes the use of recycled plastics in its manufacturing process. Mizuno’s factories and offices put effort into sorting waste and recycling plastic waste to produce solid fuel and manufacture various kinds of equipment. In addition, Mizuno’s stores put effort into reducing garbage by promoting simple packaging. Furthermore, Mizuno’s Osaka Head Office puts effort into helping reduce garbage in the following ways: 1) cleaning the streets of the Cosmo-square district and 2) helping the local community clean the riverbed of the Yamato River in collaboration with Kansai University.

All stores around the world directly managed by the Mizuno Group have switched to packaging purchased goods in environmentally friendly paper bags, instead of plastic bags, which are more likely to be disposed of immediately. Mizuno also aims to switch to packaging caddie bags and golf clubs, which require bags relatively more durable than regular paper bags, in environmentally friendly bags as soon as possible.

Future issues to be addressed

- Mizuno aims to not only reduce emissions generated during its manufacturing process but also reduce its use of packing material and packages, and it aims to do so by planning ahead how it could reduce waste, beginning at the designing stage of its manufacturing process.
- Up until now, efforts to reduce waste have primarily been made by manufacturing bases. However, to reduce as much waste as possible, Mizuno will apply what it has learned through such efforts to reducing waste at its non-manufacturing bases that currently generate relatively large amounts of waste.
- Mizuno will also encourage Sharp Sangyo Co., Ltd., a group company, to adopt digital manifesting, a technology it has not yet implemented.



Business activities and environmental burden

Business activities and environmental burden (input and output) [*b]

Below are data on Mizuno’s input of energy and resources and output of GHG emissions and waste in Japan in FY 2022. Mizuno strives to enhance the efficiency of its business activities and resource use.

INPUT

Energy	
Electricity	9.5 GWh
Regional air conditioning	11,989 GJ
City gas	47,000 m³
LP gas	74.3 t
Kerosene	32.2 Kl
Gasoline	548.4 Kl
Light oil	124.6 Kl

Water resources	
Total water intake	43,000 m³

Resources	
Cardboard	1,241.0 t



Mizuno (domestic offices and manufacturing bases)



OUTPUT

Energy	
CO2	8,162 t-CO2
NO2	6,777 kg

Effluent	
Total effluent	43,000 m³

Chemical substances	
Emissions of substances subject to the PRTR law	3.7 t
Transportation of substances subject to the PRTR law	0 t

Waste	
Industrial waste (manufacturing bases)	156.7 t
Industrial waste (non-manufacturing bases)	324.7 t
General combustible waste	42.8 t

* Data on manufacturing bases in Japan, including Senoh Group bases

Respect for Human Rights (Policies and Systems)

Management Policy

We respect the Universal Declaration of Human Rights and the labor-related international code of conduct, including labor standards defined in the ILO’s fundamental conventions. We also recognize, support, and put into practice essential values expressed in the UN Global Compact’s Ten Principles in four areas (human rights, labor, environment, and anti-corruption), which the international community supports and recognizes as globally adopted and agreed universal values.

We comply with all labor-related laws and regulations, which govern working hours, compensation, trade union choice, collective bargaining rights, working conditions, and other job issues, of the countries where we operate, and we aim to create a workplace where individuals are treated with dignity, fairness, and respect. We have established the Mizuno Code of Conduct for Suppliers, which adopts the perspective of ISO 26000, international guidance on social responsibility, to convey our CSR approaches to suppliers, and we ask them to comply with its principles.

[The Mizuno Code of Conduct for Suppliers](#) has been translated into the language of each country where major factories are located, and we ask them to post it so that workers in the factories can understand its content.

Formulation of the "Mizuno Group Human Rights Policy"

Since initiating CSR procurement audits in 2004, the Mizuno Group has continuously worked on "responsible procurement with due respect human rights" as a materiality (important issue). However, we had not disclosed a policy corresponding to the "Human Rights Policy," which is listed as Step 1 in the "Guidelines for Respecting Human Rights in Responsible Supply Chains," published by the Ministry of Economy, Trade, and Industry in September 2022. Therefore, we decided to formulate a new one.

In formulating this policy, we based it on the "Mizuno Code of Ethics" and the "CSR Procurement Code of Conduct," which have long articulated our group’s approach to compliance with international norms and standards on human rights. The contents of the policy, such as items and wording, refer to the Ministry of Economy, Trade and Industry, Keidanren, and other company examples.

The content of this policy has been reviewed not only internally but also by third-party experts, namely lawyers. After drafting and verification in the Sustainability Operations Council, it was approved by the Board of Directors and then announced.

We will continue to carry out human rights due diligence in accordance with this policy. If changes in the external environment make it necessary to update the content of this policy, we will discuss it in the Sustainability Operations Council, obtain approval from the Board of Directors, and then disclose the revised content.

Please refer to the following for our Human Rights Policy.

Link: [Mizuno Group Human Rights Policy PDF](#) 

Please refer to the following for our "Mizuno Code of Ethics":

Link: (<https://corp.mizuno.com/jp/sustainability/sustainability-report/management/policy>)

Please refer to the following for our "Mizuno CSR Procurement Code of Conduct":

Link: (<https://corp.mizuno.com/sites/corp/files/2022-08/english.pdf> )



Management system

The Cross-departmental Products Committee is responsible for promoting CSR procurement activities. This committee, chaired by the Managing Executive Officer, consists of members selected from the planning and production departments for apparel, footwear, equipment, factory departments, the Quality Assurance Office, and various management departments throughout the company. The committee not only reports on the progress of CSR procurement audits but also discusses promoting compliance with the "Mizuno CSR Procurement Code of Conduct" and the global response to CSR procurement activities.

Human Rights Due Diligence

The Mizuno Group has been promoting CSR procurement since 2004, based on the belief that "good manufacturing" is not only about producing safe, reliable, and high-quality products, but also about ensuring that human rights, labor, and environmental aspects of the production process meet international standards. We believe that the continuous implementation of CSR procurement contributes to the exercise of human rights due diligence and the prevention of human rights violations. As our group aims to further expand its business globally, we recognize that implementing human rights due diligence with respect for human rights at the forefront is one of the most critical issues. Based on the "Mizuno Group Human Rights Policy" established in April 2023, we will continue to work diligently, keeping an eye on the legislative trends in various countries.



Materiality

Supply Chain Management

Basic Concept

Mizuno acknowledges the crucial role of supply chain management, and in light of this, we have instituted the "Mizuno CSR Procurement Code of Conduct". We are implementing CSR procurement activities that strictly adhere to this code. After obtaining understanding from our domestic and international suppliers, we persist in conducting CSR audits. These audits ensure not only compliance with laws and regulations but also adherence to standards pertaining to human rights, working conditions, safety, hygiene, and environmental preservation. In the event of any issues, we are committed to undertaking necessary corrections.

Status of the supply chain

We seek to supply better sports products through cooperation with a variety of outside organizations. Our products, including sports shoes, sportswear, and golf clubs, are manufactured in our own factories and subcontracted factories. Major subcontracted factories are located in Japan, China, South Korea, Taiwan, Indonesia, Vietnam, Thailand, the Philippines, Myanmar, and Cambodia.

Status of the entire Supply chain

Please refer to our [ESG data](#) for the breakdown of our Tier 1 suppliers by procurement category, as well as by country and region.

Status of important suppliers

From the perspective of annual transaction amount, occupancy rate, and the importance of procured goods, we categorize suppliers that have a significant impact on our business continuity and business value as important suppliers. Please refer to our [ESG data](#) for the status of these important suppliers (Tier 1 suppliers).

Disclosure of supplier information

Since FY 2017, we have disclosed a factory list as part of our efforts to make the supply chain more transparent.

Implementation of CSR Procurement Audits and Initiatives for Improvement Both Domestically and Internationally

Our CSR procurement covers not only Mizuno Corporation but also overseas branches / subsidiaries and licensed sales agencies. CSR procurement activities are composed of two parts: CSR evaluation of suppliers before the commencement of business and regular CSR audits of suppliers doing business with us.

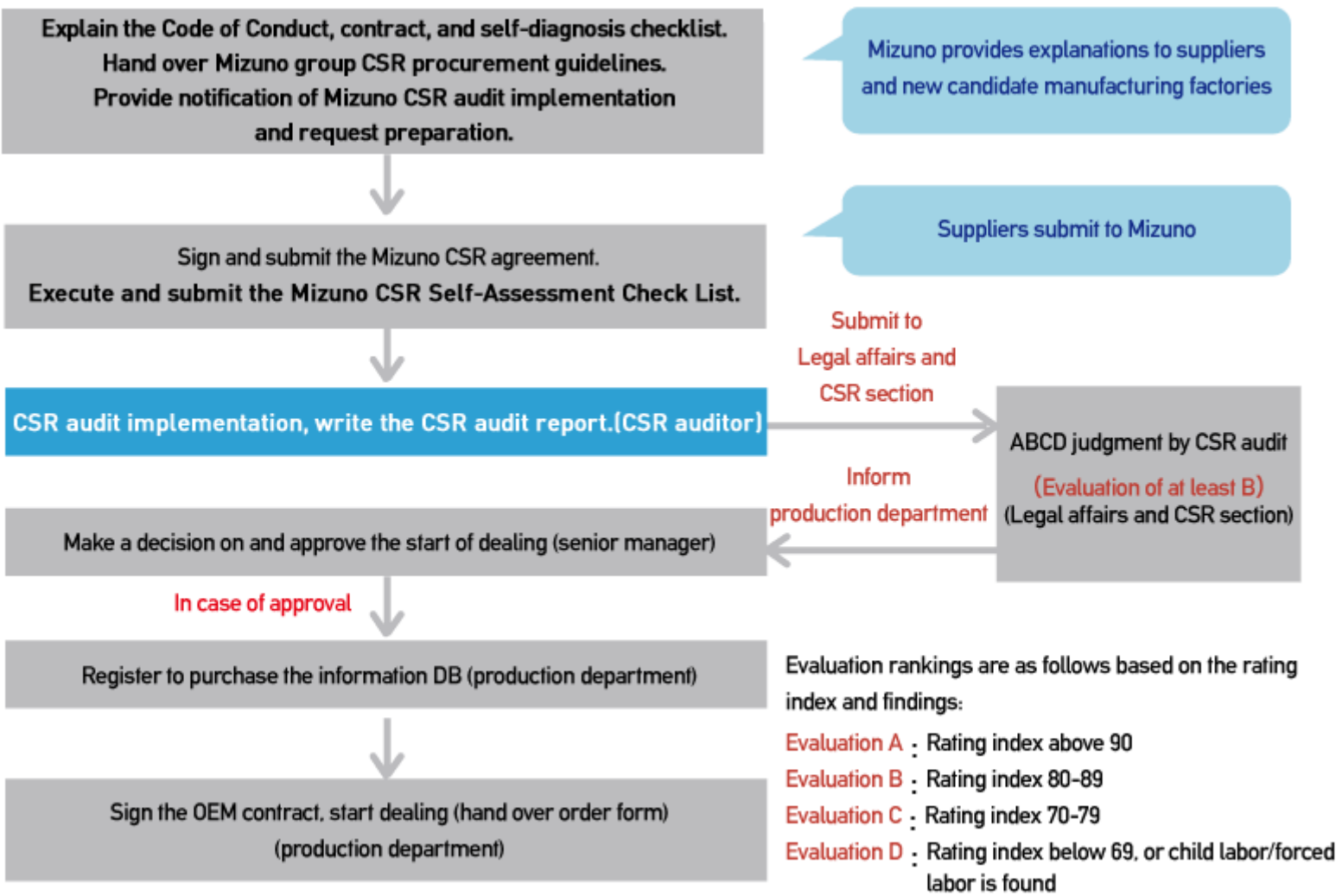
Moreover, we believe that to improve the CSR procurement status in our overseas subcontracted factories, it's fruitful to work collaboratively with organizations and other businesses in the same industry that have expertise in this area. As a result, we are proactive in collaborating with external entities to promote improvements in our suppliers' CSR procurement practices.

CSR evaluation of new candidate supplier factories before the commencement of business

We believe that evaluation of suppliers before the commencement of business is important to ensure CSR procurement. To this end, we have established a system for a CSR evaluation of new suppliers before the commencement of business based on the Mizuno CSR Procurement Regulations and have evaluated major new candidate supplier factories in terms of human rights, labor practices, and the environment before commencing production. Before conducting an audit for a CSR evaluation before the commencement of business, we present new candidate supplier factories with three documents – the Mizuno Code of Conduct for Suppliers, the Mizuno CSR Pledge Statement, and the Mizuno CSR Self-Assessment Check List – and ask for a signature on the CSR Pledge Statement.

In addition, we hold a briefing session using the Mizuno Group CSR Procurement Guidelines, which explain our CSR procurement policy, to seek their understanding of CSR procurement before an audit. For factories that do not reach Evaluation B (Evaluation:80–89) in an audit, which is requisite to commence business, we send a corrective action plan and report created based on the CSR audit report. Subsequently, we discuss with them about the content of the corrective action plan, provide corrective guidance and, in some cases, visit the relevant factories. To ensure CSR procurement, we do not start business until we confirm that they meet the conditions required by us through these corrective actions.

Flow of CSR evaluation of new candidate supplier factories before the commencement of business



Implementation rate of a CSR evaluation of new candidate supplier factories before the commencement of business (Implementation rate of monitoring in terms of human rights, labor practices, and the environment)

In FY 2022, all 22 new supplier candidates underwent Mizuno's prior evaluation (audit) or other audit programs, resulting in three rated as A and one as B in Mizuno's evaluation and 16 rated as equivalent to B or higher in the other audit programs. For suppliers rated as C, we have created corrective action plans based on the audit results and are tracking their progress. An increasing number of candidate supplier factories now complete external CSR audits before Mizuno requests them to undergo CSR evaluation. Therefore, Mizuno allows new supplier candidates to use a wide range of qualification evaluation programs and examines evaluation results in order to avoid overlapping audits and appropriately evaluate the level of each supplier candidate's fulfillment of the requirements imposed by Mizuno.

Corrective action when the CSR audit result is C or lower

If a supplier factory is evaluated as C or lower in a prior evaluation, the division in charge of CSR provides feedback on the audit results through the staff in charge of the relevant supplier. We also offer follow-up support, including providing advice to the supplier about specific improvement measures for items pointed out as inadequate, until the supplier reaches evaluation level B or higher, which is a prerequisite to commencing business.

Translation of the Mizuno Code of Conduct for Suppliers into the local language of the respective countries and its distribution

The Mizuno Code of Conduct for Suppliers had been prepared in three languages – Japanese, Chinese and English – to be distributed to suppliers and subcontracted factories. In 2018, it was further translated into the local language of each country where factories are located in order to promote understanding among employees working in the factories.

The following languages are available as of the end of FY 2021:

Italian, Indonesian, Urdu, English, Korean, Khmer, Spanish, Thai, Chinese (Traditional and Simplified), German, Turkish, Japanese, Bulgarian, Vietnamese, Portuguese, Bengali, Malay, Burmese, Lao, Lithuanian, Romanian (22 languages).

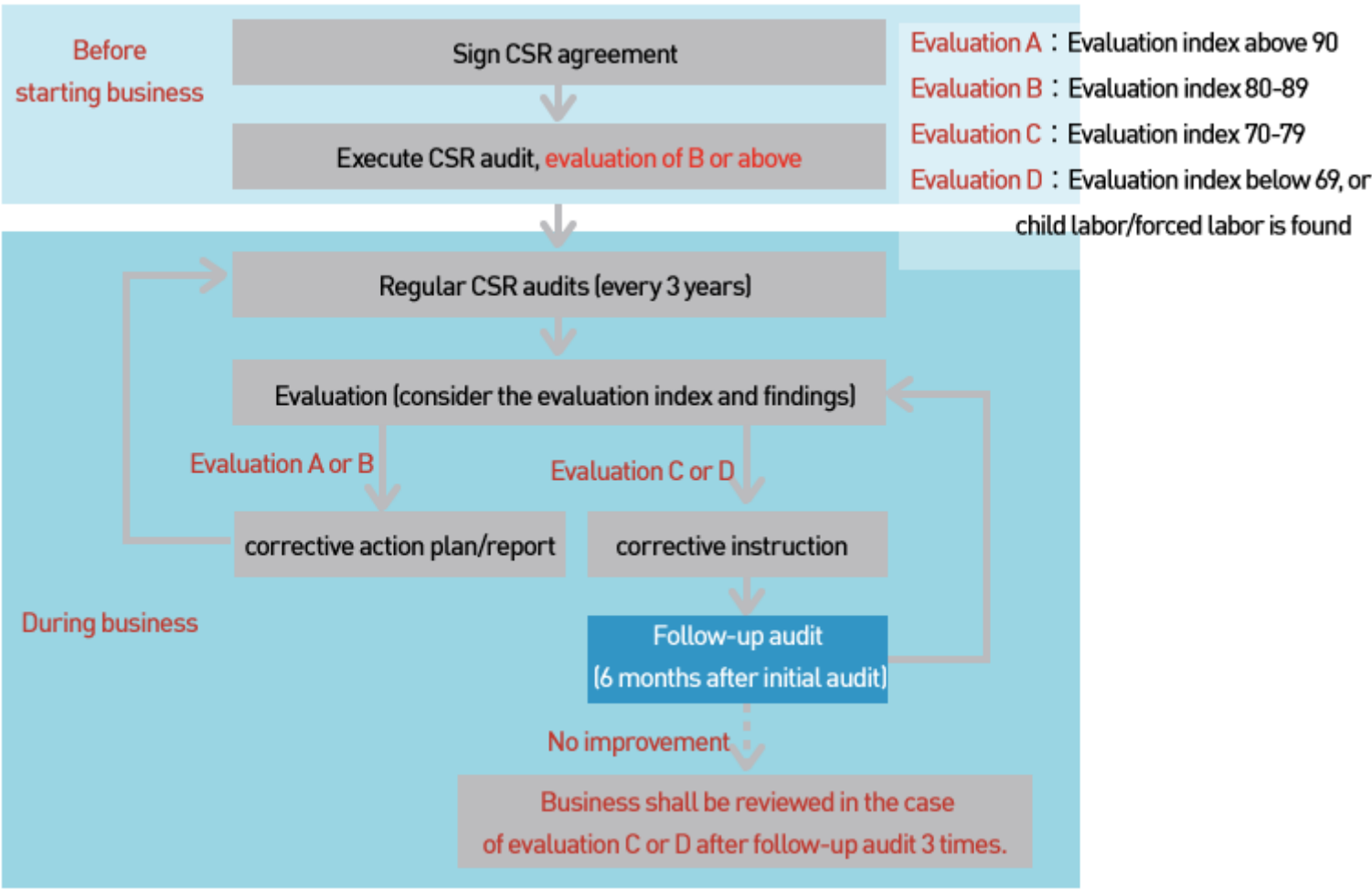
[Please click here for the translated versions of the Mizuno Code of Conduct for Suppliers.](#)

Implementation of CSR audits of Tier 1 suppliers and improvement efforts

For CSR audits of suppliers doing business with us, we conduct regular monitoring (CSR audits on a three-year cycle) of compliance with the Mizuno Code of Conduct for Suppliers based on the Mizuno CSR Procurement Regulations, targeting more than 150 factories that serve as our major suppliers. In FY 2022, 57 factories (56 Tier 1 factories, 9 in Japan, 47 abroad and 1 Tier 2 factory) were audited.

Since a CSR audit consists of on-site audits, document audits, and employee interviews, it is usually conducted by multiple auditors over one to several days. To check the compliance status of suppliers, a globally common monitoring sheet based on ISO 26000 is used. The audit items on the monitoring sheet are classified into three categories – "critical," "major," and "general" depending on the degree of importance and urgency. If the item requirements are met, the points set for each category are aggregated and quantified for evaluation.

System for CSR audits and corrective actions



One of the conditions for CSR auditing

We conduct a CSR audit in countries that are considered to have high human rights risks based on the Worldwide Governance Indicators released by the World Bank as well as our own perspectives. Target countries are reviewed annually with reference to the latest Worldwide Governance Indicators.

A CSR audit is not conducted in countries that are ranked higher overall in terms of "Voice and Accountability," "Political Stability and Absence of Violence," "Government Effectiveness," "Regulatory Quality," "Rule of Law," and "Control of Corruption." Basically, we do not conduct a CSR audit in Japan. However, for factories that employ foreign technical intern trainees, who are potential victims of human rights violations, we conduct a CSR audit even if they are located in Japan.

[Please click here for details of the Worldwide Governance Indicators.](#)

Survey of audited factories that employ foreign technical intern trainees

As of April 1, 2022, We have 125 OEM factories in Japan, out of which 37 employ a total of 324 foreign technical intern trainees. Among these factories employing foreign trainees, 22 factories, with a total of 201 trainees, are subject to audits based on our standards.

In FY 2022, out of 37 factories in Japan, 16 factories were subject to audits. Due to circumstances such as business closures, 3 were cancelled and 4 were postponed to the next fiscal year, but audits were carried out at 9 factories in FY 2022. The evaluations of the 9 factories where CSR audits were conducted in FY2022 were all rated as A. The breakdown of nationalities of the foreign technical intern trainees employed at these 9 factories was as follows: 8 from China, 68 from Vietnam, 12 from Indonesia, 1 from Thailand, 13 from Cambodia, and 9 from Myanmar.

Major monitoring Content

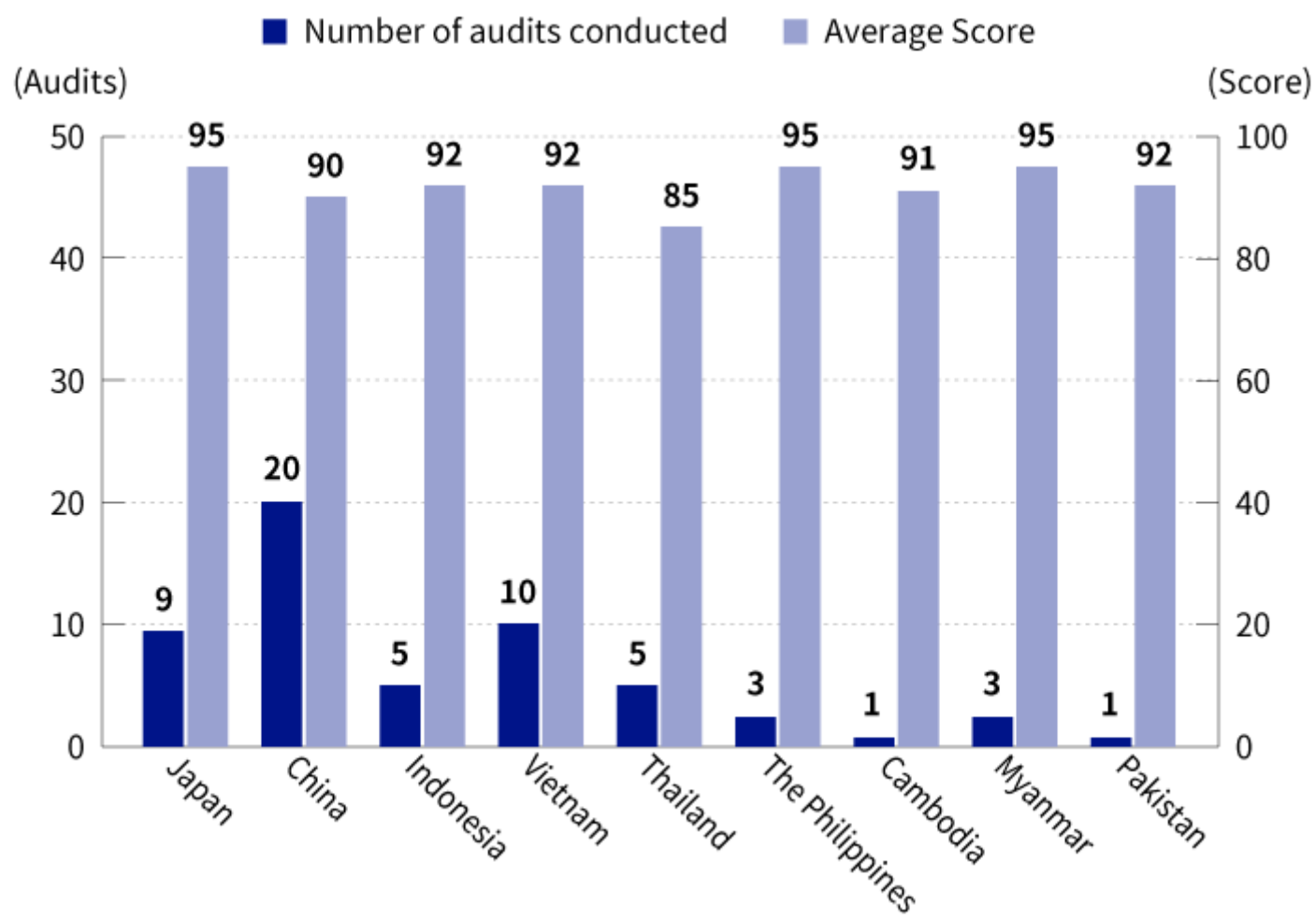
Our audits revolve around specific themes such as human rights, labor practices, safety and hygiene, and environmental factors. Each audit item is categorized based on its urgency and importance into one of three classifications: "critical," "major," or "general". In FY 2022, we identified "critical" and "major" non-conformities in the items below. However, we have completed the guidance process towards rectification for each of these items at the respective factories.



Number and Percentage of Factories with Non-Conformities in Critical and Major Items in Audits (FY2022)

	Audit item	Number of Critical Items	Number of Major Items	Total	Number of Factories with Non-Conformities	Percentage
Human Rights	Child and underage workers	1	2	3	2	3.5%
	Slave labor / Forced labor / Migrant labor	3	8	11	2	3.5%
	Freedom of association		4	4	4	7.0%
	Discrimination / Harassment / Gender	1	2	3	4	7.0%
Labor Practices	Employment contract / Employment conditions		2	2	5	8.8%
	Working hours		4	4	30	52.6%
	Compensation	1	4	5	26	45.6%
Safety and Health	Work environment		3	3	23	40.4%
	Chemical substances		2	2	13	22.8%
	Fire safety	2	7	9	39	68.4%
	Dormitory	3	1	4	3	5.3%
Environment	Management system		2	2	8	14.0%
	Pollution prevention		7	7	20	35.1%
	Chemical substances		4	4	3	5.3%
				63		

Number of audits conducted and Average score by country



Non-conformities with the requirements related to human rights

item	Requirements	Nonconformity	Correction complete	Correction Incomplete	remarks	Country name	product
Freedom of association	Are mechanisms fair and effective to ventilate and resolve grievances of workers in place?	3	1	2	Follow-up audit scheduled	Thailand China	protectors for baseball bags
Freedom of association	Do workers elect their own representatives / spokesperson ?	1	1	0	Correction completed	China	bags
Freedom of association	Is workers’ right to form and join workers’ associations acknowledged by the management to the workers ?	1	0	1		China	sportswears

item	Requirements	Nonconformity	Correction complete	Correction Incomplete	remarks	Country name	product
Discrimination / Harassment / Gender	Was it found that there was no evidence of discrimination in employment, promotion, compensation, welfare, dismissal and retirement based on race, social class, national origin, religion, age, disability, gender, marital status, sexual orientation, union membership or political affiliation ?	4	1	3	Follow-up audit scheduled	Thailand Thailand China	protector for baseball baseball gloves golf parts
Child and Juvenile Workers	Does the factory register all the young workers working at the factory with the local labor bureau ?	1	1	0	Correction completed	China	golf bags
Child and Juvenile Workers	Are there no child labor working at the factory ?	1	0	1	Follow-up audit scheduled	China	golf parts
Bonded Labor / Forced Labor / Migrant Labor	Do all of migrant workers or foreign workers inhabit in the country legally, and have work permits for all period of employment of the factory ?	2	0	2	Follow-up audit scheduled	Thailand	Protectors for baseball
Bonded Labor / Forced Labor / Migrant Labor	Was it found that there was no evidence of money deduction for non-fulfilling production target or sickness ?	2	0	2	Follow-up audit scheduled	Thailand	Protectors for baseball

Evaluation rank of the audit results

We evaluate the CSR audit results in four stages based on the evaluation index. We consider an evaluation index of 90 or higher as A, an evaluation index of 80-89 as B, an evaluation index of 70-79 as C, and an evaluation index of 69 or less, or a case where child labor or forced labor is found, as D.

The evaluation ranks of the factories subject to an audit in FY 2022 are as follows.

Evaluation rank	No. of factories
A	45
B	6
C	4
D	2
Total	57

Corrective action status of suppliers where violations were confirmed

Items with many non-conformities

The FY 2022 audits detected many non-conformities mainly in the following items: safety and hygiene (electricity / machinery / equipment, fire safety, emergency treatment, working environment - chemical substances), labor practices (working hours, compensation) and environment (pollution prevention, resource usage / climate change mitigation), among others.

Specifically, we found many non-conformities in areas such as the installation of protective devices on hazardous parts of machinery, placement of signs and indicator lights at exits and emergency exits, availability of emergency treatment kits, obstacles on emergency exits and evacuation routes, provision of Personal Protective Equipment (PPE) to workers, storage methods for dangerous / hazardous materials / industrial equipment, fire-fighting facilities in chemical and hazardous waste storage areas, fire inspection certification and other permits, regular health check-ups for workers exposed to hazardous environments, working hours - overtime, vacation acquisition, overtime allowance, and energy consumption management and control.

	Middle item	item	ratio
1	Health and Safety > Electricity / Machine / Equipment	Are adequate guards or devices installed for moving / rotating parts of machine, pulleys and belts or any other dangerous parts of machines ?	49.1%
2	Labour Practice > Working Hours	Does the working hour of factory meet law requirements ?	42.1%
3	Health and Safety > Fire Safety	Are exits and fire exits identified with sign or indicator lamps ?	31.6%
4	Health and Safety > First Aide	Are adequate first aid kits located at each factory floor and marked with signs ?	24.6%
5	Health and Safety > Fire Safety	Are fire exits and escape routes unblocked and adequate at each factory floor ?	24.6%
6	Health and Safety > Labour Environment	Does the factory arrange regular health examination for workers exposed to hazardous environment ?	24.6%
7	Labour Practice > Compensation	Does the factory overtime pay meet law requirements ?	24.6%
8	Labour Practice > Working Hours	Are workers available to take one day off in seven ?	24.6%

	Middle item	item	ratio
9	Health and Safety > Labour Environment	Is personal protective equipment (PPE) in fully acceptable condition provided for workers ?	22.8%
10	Health and Safety > Chemical Substances	Are dangerous / hazardous substances safely and securely stored ? And is fire-extinguishing equipment appropriate there ?	21.1%
10	Health and Safety > Fire Safety	Are all site buildings structurally safe, inspected and have certificate / license issued by local government authority ?	21.1%
10	Health and Safety > Fire Safety	Are fire exits open outward ?	21.1%
10	Environment > Preventing Pollution	Are the hazardous waste properly managed (written procedure for hazardous handling, specific storage, appropriate containers, clear labels, evidence of correct destruction...) ? Are hazardous wastes properly categorized, handled, and stored ?	21.1%
10	Environment > Usage of Resources / Mitigation Climate Change	Does the supplier control its energy consumption ? Does the supplier take action plan to reduce this energy consumption ?	21.1%

Corrective action status for non-conformities

Please refer to [ESG data](#) for the status of correction of nonconforming items.

Responses for Tier 2 and Tier 3 suppliers

We are advancing efforts to understand the status of human rights, labor, and environmental impacts at Tier 1 suppliers that have a direct relationship with us and to take corrective action as needed as our top priority initiatives.

For Tier 2 and Tier 3 suppliers that do not have direct transactions with us but deliver parts and materials to our subcontracted factories, we are also proceeding with efforts, focusing on areas with high risk of significant human rights and labor issues and environmental impacts. Since FY 2017, we have begun to grasp the current status of Tier 2 and Tier 3 suppliers that perform plating of iron heads for golf clubs, dyeing of textile materials, and leather tanning for baseball gloves and shoes, which are considered to be high risk.

FY	Content
2017	We audited two factories that manufacture golf components. In order to understand the realities of the metal processing factories in Japan and the fabric dyeing and processing factories in Thailand, which are our Tier 2 and Tier 3 suppliers apart from component factories, we visited the local areas and inspected the sites.
2018	We conducted CSR audits at a total of five factories: a golf club component factory in China, a golf club plating factory, a leather tanning factory in Vietnam, a shoe upper (vamp material) factory, and a rubber sole factory for shoes.
2019	We carried out CSR audits at a total of six factories that included golf component factories and factories manufacturing vamp materials and sole materials for shoes. Among these, the audit results for three factories - a golf component factory and factories processing sole materials and vamp materials - fell below Mizuno’s passing standards.

FY	Content
2020	In FY 2018 and 2019, we conducted follow-up audits at two of the three factories that fell below our standards. The two factories subject to the follow-up audits corrected their non-compliant items and achieved an A rank evaluation. In FY 2020, we conducted an audit at one golf club component factory.
2021	Due to preventative measures against the novel coronavirus, such as visitor restrictions from outside, we were unable to conduct audits of our Tier 2 and Tier 3 suppliers.
2022	We conducted an audit at one golf component factory. Since this factory fell below Mizuno’s passing standards, we will conduct a follow-up audit in FY 2023.
2023	Since 2020, we have stopped auditing suppliers other than Tier 2 and Tier 3 suppliers for golf clubs. We will investigate the transaction conditions and realities of Tier 2 and Tier 3 suppliers and consider management methods for 2024 and beyond.

Responses other than CSR audits

Currently, in Southeast Asia, where many of our subcontracted factories are located, environmental problems and labor-management disputes are more likely to occur than ever before due to the rapid economic growth of the region. Under such circumstances of social changes, it is difficult to resolve fundamental human rights, labor, and environmental issues simply by correcting non-conformities identified in CSR audits. Accordingly, we need to focus on capacity building (capacity improvement) of factories as activities other than CSR auditing in the future.

In FY 2022, externally, we presented at JP-MIRAI, ESG seminars of client companies, and events of the Japan Bar Association, introducing Mizuno’s CSR activities and an overview of CSR procurement management. Internally, as part of the Human Resources and General Affairs Department’s education programs (for all employees, new employees, overseas trainees, and newly appointed managers), we explained the importance of corporate engagement in human rights issues and explained the mechanism of CSR procurement to overseas subsidiaries such as Mizuno Europe, Mizuno USA, Mizuno Korea, and domestic subsidiary Senoh Corporation, thereby promoting enlightenment activities to our employees both domestically and abroad, including related companies.

Participation in the Japan Platform for Migrant Workers towards Responsible and Inclusive Society

It is reported that there are approximately 1.82 million foreign workers in Japan (of which approximately 340,000 are foreign technical intern trainees) and that approximately 290,000 establishments employ foreign workers.* Foreign workers have become important members of the Japanese economy and society.

Toward 2030, which is the target year for the SDGs, we have voluntarily participated in the Japan Platform for Migrant Workers towards Responsible and Inclusive Society (JP-MIRAI) to promote the improvement of the work and living environments of foreign workers together with companies and organizations that agree with and implement the Platform Principles of Conduct, which meet international standards. We hope that employers and organizations will accept foreign workers steadily and responsibly while complying with laws and regulations.

* As of the end of October 2022, according to a survey by the Ministry of Health, Labour and Welfare

Establishing a Grievance Mechanism

Although CSR audits can ascertain the situation at the time of the audit, they cannot constantly monitor the factories. In order to guarantee access to relief and to detect potential problems in the supply chain at an early stage, we are considering the introduction of a "grievance mechanism", which is regarded as an effective means to supplement CSR audits. We continue to gather information, such as selecting organizations to which we outsource operations, and continue our deliberations.

Efforts to prohibit and eliminate child labor

According to the World Report on Child Labor (Child labor: Global estimates 2020, trends and the road forward), the number of children engaged in child labor increased by 8.4 million since 2016, reaching 160 million worldwide at the beginning of 2020. This constitutes roughly 10% of the world's children, with 63 million girls and 97 million boys involved. This represents the first increase since the International Labour Organization (ILO) published global estimates 20 years ago.

Our sports goods, such as apparel and shoes, are manufactured in the Asia-Pacific region where workers' wages are relatively low. Recent trends show an increase in child labor in Sub-Saharan Africa, while child labor in the Asia-Pacific region continues to decrease. However, due to the impact of COVID-19 related poverty, it is estimated that child labor could increase by an additional 8.9 million by the end of 2022, over half of the anticipated increase being children aged between 5 and 11. Therefore, we believe that enhanced monitoring for child labor is necessary in the Asia-Pacific region where many of our manufacturing subcontractors are located.

According to Principle 5 of the UN Global Compact, child labor constitutes a form of exploitation that infringes on human rights, recognized and defined by international agreements. The international community and most governments have set the abolition of child labor as their policy. We have clearly stated in our Mizuno Code of Ethics that we do not engage in child labor. Furthermore, in the "Mizuno CSR Procurement Code of Conduct", we require suppliers to respect the ILO's "Minimum Age Convention" (No. 138) and "Convention on the Immediate Action for the Prohibition and Elimination of the Worst Forms of Child Labor" (No. 182). We also use the "World Governance Indicators" as a criterion for identifying countries and regions where there is a high risk of child labor and determining which countries require audits.

We regard child labor as one of the most critical audit items. If we find child labor during a CSR audit, we will immediately consider a response and take appropriate action promptly. At the same time, we understand that the occurrence of child labor is deeply related to societal backgrounds such as poverty. Therefore, rather than just recommending rectification, we also investigate the root causes of child labor and consider solutions together with the factories.

In the audits conducted in FY 2022, there were no cases of child labor. However, there was a case in a factory in China that employed three young workers (16-18 years old) without obtaining registration for young workers from the local labor administration bureau and without conducting health examinations. We urged this factory to create a corrective plan based on the audit results, and corrections have already been completed.

Responses to modern slavery (or forced labor)

According to the ILO report on modern slavery (Global Estimates of Modern Slavery: Forced Labor and Forced Marriage 2017), there were 40 million modern slaves and 25 million forced laborers worldwide in 2016. By region, the Asia-Pacific region had the highest number of such people, with 4 persons per 1,000 people. Accordingly, we need to monitor modern slavery and forced labor as well as child labor in the Asia-Pacific region.

In Japan, many factories in labor-intensive industries, such as apparel sewing, employ foreign workers through the foreign technical intern training program. We procure products from such subcontracted factories located in Japan.

Principle Four of the UN Global Compact defines forced or compulsory labor as "any work or service that is exacted from any person under the menace of any penalty, and for which that person has not offered himself or herself voluntarily." There has recently been widespread concern that foreign technical intern trainees working in Japan are not treated appropriately from the perspectives of human rights and working conditions. To contribute to eliminating the practice of forced labor, Mizuno has designated factories that employ foreign technical intern trainees to undergo CSR audits conducted directly by its CSR procurement staff.

In FY 2022, there were no instances of non-compliance corresponding to forced labor in Japan. Overseas, we discovered violations of laws and unfair treatment towards immigrant workers at a factory in Thailand during an audit and took corrective measures.

[Please click here for the actual conditions of audited factories that employ foreign technical intern trainees.](#)

Initiatives on conflict minerals

What are conflict minerals?

Conflict minerals are mineral resources mined in conflict areas mainly in African countries. Residents living near the relevant minerals are forced to engage in mining operations through the use of violence, and this is considered a human rights issue. In addition, it is seen as problematic that the revenue from the mining and trading of these minerals is a source of funding for armed groups.

Under the Dodd-Frank U.S. Financial Regulatory Reform Act, in particular, the following four substances are defined as regulated mineral resources: tin, tantalum, tungsten, and gold (3TG). Listed companies in the U.S. are required to report to the U.S. Securities and Exchange Commission (SEC) on whether they manufacture or outsource products using these minerals and to disclose such information on their website.

Initiatives on conflict minerals

Although we are not listed in the United States and are therefore exempt from reporting and disclosure obligations, we conducted a survey in 2018 to identify the usage of substances defined as conflict minerals, and identified products that use them. Specifically, we found that tungsten was being used in golf club heads, as weights for balancing soft tennis rackets, and at the tips of ultra-hard baseball spikes.

As of 2022, within our corporate group, we conducted a survey using the unified survey form ([CMRT](#): Conflict Minerals Reporting Template) provided by [RMI](#) (Responsible Minerals Initiative) for the tungsten used in golf club heads and identified all the refineries. Furthermore, we confirmed that these refineries are registered in RMI's [Conformant Tungsten Smelters](#) list.

A refinery registered in the RMI’s certified refinery list means a refinery that has been confirmed to have no illegal activities in the process of procurement management of conflict minerals through the RMAP (Responsible Minerals Assurance Process) audit.

In addition to conducting a survey using the CMRT, we concurrently implemented traceability up to the refinery for the tungsten used in golf, created a supply chain map, and ensured transparency in the procurement route of tungsten. We will continue to request our business partners not to use minerals from refineries other than the certified ones.

Compliance with Overseas Laws Regarding Human Rights Respect

We compile with laws in various countries and regions that require companies to disclose their efforts to eliminate human trafficking and slave labor. We actively disclose information in response to the codification of human rights respect, such as the "California Supply Chain Transparency Act" enacted in the United States in 2012 and the "UK Modern Slavery Act" enacted in 2015.

Translation of specified terms:

[California Supply Chain Transparency Act](#)

UK Modern Slavery Act

[MIZUNO CORPORATION MODERN SLAVERY STATEMENT FY2021](#) 

[MIZUNO CORPORATION MODERN SLAVERY STATEMENT FY2020](#) 

[MIZUNO CORPORATION MODERN SLAVERY STATEMENT FY2019](#) 

[MIZUNO CORPORATION MODERN SLAVERY STATEMENT FY2018](#) 

[MIZUNO CORPORATION MODERN SLAVERY STATEMENT FY2017](#) 

[MIZUNO CORPORATION MODERN SLAVERY STATEMENT FY2016](#) 

[MIZUNO CORPORATION MODERN SLAVERY STATEMENT FY2015](#) 

Future issues to be addressed

With the globalization of business, the supply chain is also being globalized. Since procurement from new suppliers is expected to increase further in the future, we will continuously make sure to conduct a CSR evaluation of new suppliers before the commencement of business.

Regular monitoring through CSR procurement audits is fundamental, but correcting the problems identified in the audits is crucial. We will continue to promote correction through dialogue with our suppliers.



Product Safety and Quality (Policies and Systems)

Management policy

Mizuno Quality Policy

We have established the Mizuno Quality Policy based on our corporate philosophy. All employees comply with the Mizuno Quality Policy and strive to provide safe and superior products and services.

Mizuno Quality Policy

In order to gain the trust and satisfaction of customers, MIZUNO Corporation. and its group companies are committed to providing superior products and services, offering accurate information and humbly listening to customers’ comments and continuously promoting the following initiatives.

- 1. We provide attractive, high-quality products and services that satisfy customers.
- 2. We will strive to provide, maintain and improve products of safe and appropriate quality.
- 3. We will provide accurate quality information in accordance with internal and external rules.
- 4. We will humbly listen to customers’ comments and reflect them in improving the quality of our products and services.
- 5. We will comply with relevant laws, regulations, and internal regulations, and respect social demands.
- 6. We will review the quality assurance system regularly to ensure continuous improvement.

Important policies and initiatives relating to quality are discussed and decided at the quality assurance meeting, which is chaired by the officer in charge of quality assurance.

The quality assurance meeting is held regularly every six months. In the meeting, each department sets their quality targets and the initiatives to achieve these targets and works towards accomplishing them. Rules are established for conducting design reviews and inspections, which are implemented across all Mizuno products. The three product divisions that are responsible for production and manufacturing—the Global Footwear Product Division, the Global Apparel Product Division and the Global Equipment Product Division— and Mizuno Technics Corporation and Senoh Group, which are members of the Mizuno Group, hold quality control meetings on a regular basis in an effort to verify the quality control situation, discuss measures for preventing defects, and ensure that these measures are thoroughly implemented. To ensure good quality, the Quality Assurance Office organizes quality workshops so that all Mizuno employees can have numerous opportunities to take part in workshops. To ensure quality, the Quality Assurance Office organizes numerous quality workshops for all employees.

Sustainable Materials Procurement Policy

Our Integrated Value Creation Stories consist of three frameworks: "The strengths of Mizuno," "Mizuno’s business field," and "Social value provided by Mizuno." For "Social value provided by Mizuno." we have been striving to fulfill our CSR in order to respond to the expectations of our stakeholders. We will take on the challenge to contribute to sustainability and the SDGs through new business development that exceeds their expectations.

To this end, we have set the Sustainable Materials Procurement Policy as a concrete policy to address our materiality "Responsible procurement with due respect for human rights" and "Responsibility for the global environment through product lifecycle" identified together with "Responsibility for safe and high-quality products" and "Responsible business practices." We will formulate the guidelines for each material in the company and use them for our product manufacturing. Reviewing these guidelines if necessary, we will contribute to our manufacturing that helps to increase the social value provided by Mizuno.

Sustainable Materials Procurement Policy

We promote the use of sustainable materials, considering what impact materials used by us have on society and the environment.

●Sustainable materials we use

- We will thoroughly control hazardous chemical substances that remain in products based on the Mizuno RSL (Restricted Substances List) to ensure that no hazardous substances remain in products.
- For synthetic fibers in general, we will increase the ratio of recycled synthetic fibers and adopt processing methods that can reduce the amount of water used in the dyeing process.
- For animal-derived materials, we do not use fur (real fur), and for natural leather, we use only rawhide that is a by-product of livestock and rawhide of exterminated noxious animals. We also do not use leather from endangered species or reptile leather. For feather filling for clothing and other items, we are working to use down and feather sourced from animals raised in an animal-friendly manner (e.g. We use materials procured from suppliers that are certified by RDS [Responsible Down Standard]).
- Our maple and white ash lumbers for bats are procured from North American producers who care about forest conservation.
- We do not use so-called conflict minerals for metallic materials.
- For tags used for clothing and other items, we use recycled paper or environmentally friendly materials.
- All major shoe boxes are made from 100% recycled paper, and the printed portion of the logo is made with environmentally friendly water-based ink.

Management system

We have established the following four rules to manage a quality policy and ensure product quality in each process, from planning to sales.

Quality Assurance Regulations

As overall quality management of Mizuno Corporation and its group companies [*c]*, we have set compliance rules for ensuring product quality and safety, including the establishment of a quality policy and a quality system and the implementation of educational training on product quality.

* Mizuno Group companies in Japan (excluding the Senoh Group and Sharp Sangyo Co., Ltd.)

Design Development Regulations

With the aim of clarifying the work performed by the division in charge of design and development and carrying it out smoothly, we have established procedures for developing materials and parts, designing the structure and specifications of products, evaluating these materials and products, and checking their quality before shift to full-scale production.

Manufacture Control Regulations

The Manufacture Control Regulations have been established to ensure product quality by clarifying work procedures and control methods for maintaining product quality in the manufacturing process. These regulations apply to the manufacturing processes of all products handled by us and persons in charge of these processes. They state that the responsibility for controlling the in-house manufacturing process lies with the head of the product division in charge of producing and manufacturing the relevant products and that the responsibility for managing suppliers lies with the head of the division in charge of purchasing the relevant products.

Customer Service Regulations

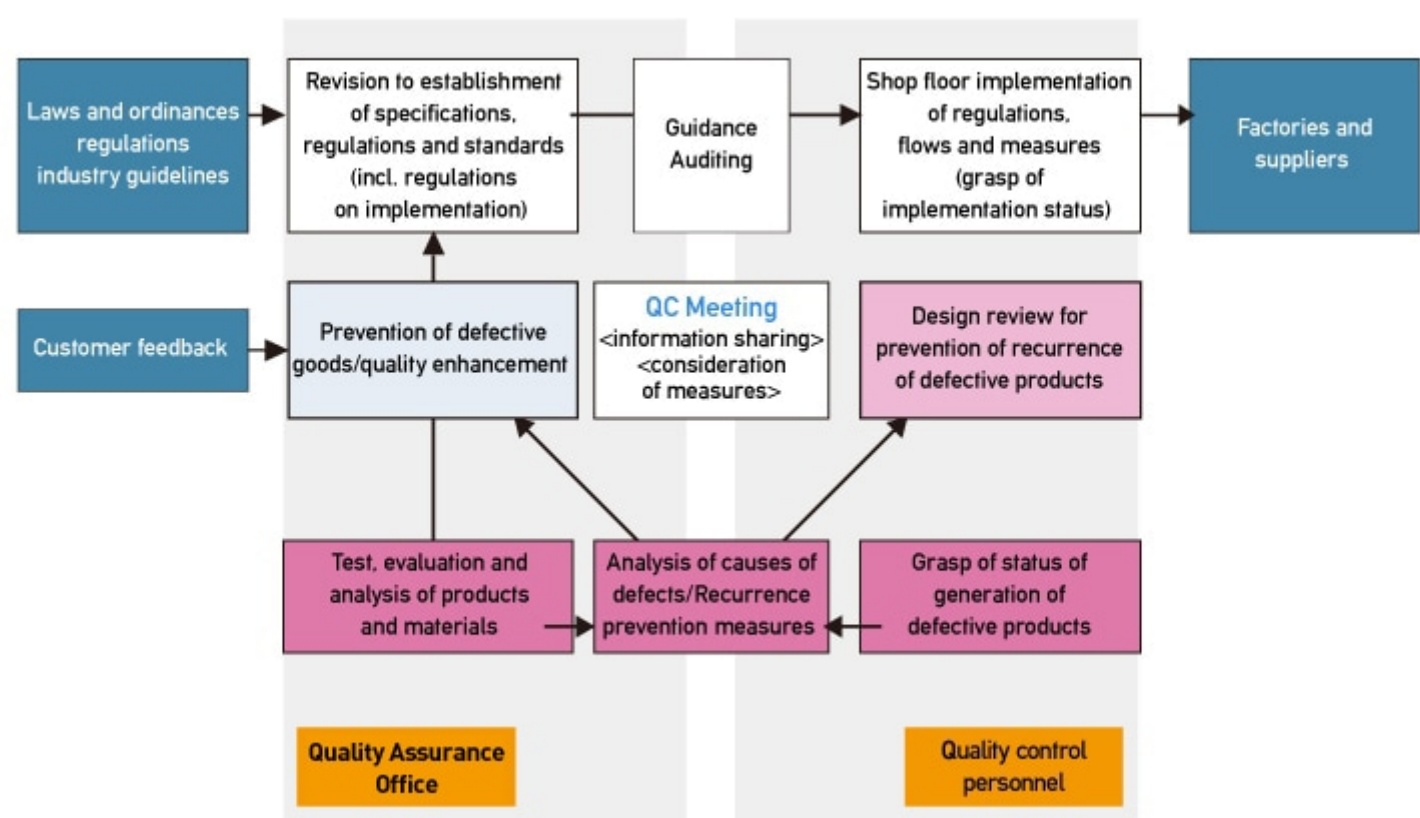
We have clarified the procedures for selling to customers and responding to customer requests after sales and have established a system for determining the cause of requests and preventing their recurrence. We deal with customer requests promptly and reliably to gain customer satisfaction and trust, and work to increase and improve customer satisfaction.

Based on these regulations, each product division strives to ensure higher quality by establishing and enforcing its own rules and procedures for its products to respond to customer requests in more detail. We also conduct a regular maintenance of documents related to product quality and revise or withdraw them, or establish new documents as needed.

Flow of quality control and assurance from planning to sales

Planning	Design & Development	Procurement	Manufacturing	Sales • Customer service
Trial and verification of proposals for planning	Practical use test, evaluation of prototypes, and design review	Material inspection	QC patrol and product inspection	Providing information by advertising and labelling/ Customer support at Mizuno Customer Service Center

Quality control system chart





Materiality

Ensuring of the safety and quality of products

Basic Concepts

Mizuno believes that ensuring the appropriate quality of our products and services is a critical responsibility, in order for our customers to use them with safety and confidence. We also consider it vital to provide sufficient information to assist our customers in making informed product choices, to respond to various feedback we receive, and to leverage these insights for continuous improvement. We continue to cherish the words of our founder, Rihachi Mizuno, "Create the best products for customers," which serve as a fundamental principle underpinning Mizuno's commitment to craftsmanship. We remain dedicated to maintaining and enhancing our product quality.

System for product safety and quality control

We conduct various reviews and inspections to ensure product safety and quality control. Through reviews, we check various items related to product quality, including product design, materials to be used, safety during use, and labeling. In design reviews before the start of manufacturing of new products, we check their structure and materials as well as technical aspects based on the checklist. After products are manufactured, we conduct a pre-shipment inspection before they are shipped from a factory to make a final check for defects in individual products.

We ensure the quality of all products according to the product standards and the material quality standards created for each item. These product and material quality standards are based on laws, standards, and other rules of each country as well as the know-how that we have cultivated through manufacturing over many years and the feedback of our customers.

Since many of our products are manufactured in external subcontracted factories with which we have signed an OEM contract, it is important to ensure product quality in these factories as well. For subcontracted factories with which we enter into a new contract, the person in charge in each product division diagnoses their ability to guarantee product quality to ensure that products manufactured there will meet the quality specified by us. We sign an OEM contract only with factories that satisfy our criteria. As a QC patrol activity, we also regularly visit factories that have already signed a contract and have been involved in producing our major items to check the quality control status and provide guidance. In FY 2022, we conducted a patrol and audit of overseas manufacturing factories using a web conferencing system. In addition, at regular QC meetings, we check the quality status of our products in the market and discuss and thoroughly implement measures to prevent the recurrence of defective products.

In the event of a serious defect, we report it to the relevant administrative bodies, including the Ministry of Economy, Trade and Industry and the Consumer Affairs Agency, and, if necessary, we widely announce it to the public and voluntarily recall the relevant products to prevent the circulation of defective products. No serious defects that require company announcement through a newspaper or other means have occurred since FY 2005.

In FY 2023, we will continue to work to provide safe and high-quality products through the improvement of our quality assurance system from a global perspective and the development of human resources.

Use of quality function deployment (QFD) at the time of development of new products

When developing new products, we conduct quality reviews using quality function deployment (QFD) prescribed in the JIS standard "Performance improvement of management systems Guidelines for quality function deployment" (JIS Q 9025: 2003). QFD is defined as a methodology that uses various transformations and deployments to achieve quality goals for products.

In QFD, a quality function deployment diagram consisting of a required quality deployment table, in which the functions required by the customer are deployed in three stages, and a quality characteristic deployment table, which shows quantitatively measurable characteristics for designing the required quality, is created to clarify the relationship between customer needs and quality characteristics. The purpose of the diagram is to ensure that the quality required for products is incorporated into product design.

Although we have started using QFD for the development of some products, we will expand the scope of use to more products and services, including the enhancement of intangible elements of products and the development of exercise programs through products.

Operation of the certification system for inspectors at overseas group companies

We implemented a certification system for inspectors (Mizuno Footwear Test Instructor Certification System) to enable inspectors of overseas group companies located at subcontracted factories to conduct inspections and make judgments at a certain level.

ISO 9001 certification

The Mizuno Group has acquired and continuously maintained ISO 9001 certification, the international standard for quality management systems, to ensure product safety and quality.

Year of acquisition	Company certified ISO 9001
2001	Senoh Corporation
2004	Shanghai Mizuno Corporation Ltd.
2006	Mizuno Technics Corporation
	Taiwan Mizuno Corporation

Management of restricted chemical substances in our products

Mizuno has established and implemented the Chemical Substances Control Regulations. This set of regulations specifies the rules which must be observed to ensure that restricted chemical substances are well managed in the products we manufacture and sell, thereby keeping our products safe and of the appropriate level of quality. Based on these regulations, we make a list of chemical substances^{*1} that are banned or restricted by national laws and ordinances, and its acceptable standard. Before commercializing products, we refer to this list to research and check them.

The Quality Assurance Office and the Legal Office formulate the regulations and procedures that are necessary for the control of chemical substances and provide education and guidance to the relevant departments in charge of different product lines, such as equipment, apparel and shoes. The Quality Assurance Office coordinates annual targets for the individual product divisions and carries out regular checks of control activities. For certain types of chemical substances that may be used, we require suppliers to fill in and submit a chemical substance questionnaire and / or a written pledge not to use the chemical substances in question. We also have sampling inspection^{*2} conducted by third-party testing bodies of some of the products and materials in a bid to verify their safety. If any substance that raises concern is identified in a report on a chemical substances inspection and in the results of analyses, we request that suppliers reduce the environmental impacts. We also propose remedial action to ensure the proper treatment of chemical substances used at the production site of OEM factories and to replace them with chemical substances with lower environmental impacts.

^{*1} Typical examples of restricted chemical substances with particularly high risks include those specified in the POPs Convention, those designated as Class I Specified Chemical Substances in the Act on the Evaluation of Chemical Substances and Regulation of Their Manufacture, etc., those specified in the Act on Control of Household Products Containing Harmful Substances, and those specified in Annexes XIV and XVII of the European Union's REACH regulation.

^{*2} Such tests include a check to confirm that there is no content of specified azo dyes that generate specified aromatic amines and a test to verify the compliance of products for Europe with the REACH regulation.

Participation in the Apparel and Footwear International RSL Management Group (AFIRM)

In January 2019, we joined the Apparel and Footwear International RSL Management Group (AFIRM) *, an international organization that manages the Restricted Substances List (RSL), to simplify the operation of restricted chemical substances and strengthen the management of them.

Based on information from AFIRM, we have created a restricted chemical substances list, which meets the international standards, to manage the risk of chemical substances remaining in products in the supply chain. We will also promote information sharing and collaboration within the industry to improve compliance.

In cooperation with ASICS Corporation, we have unified the names of restricted chemical substances in Japanese.

This can be expected to facilitate the management of restricted chemical substances in the supply chain in Japan.

We have also jointly created the Japanese version of various materials issued by AFIRM and have published them on the AFIRM website. These materials can be viewed and used freely also by any non-member of AFIRM. We will continue to contribute to improving the management level of residual chemical substances in products in Japan.

We have created the Mizuno Restricted Substances List, which meets the international standards, based on AFIRM materials. It consists of two lists, a restricted substances list for products and a restricted substances list for product packages.

In FY 2022, we created the Mizuno Restricted Substances List 2022 and distributed it to our suppliers.



＊ AFIRM：Apparel and Footwear International RSL Management Group (RSL=Restricted Substances List)

Representative member companies of AFIRM: adidas, Amazon, ASICS, Descente, Decathlon, Esprit, Fast Retailing, Hugo Boss, Lacoste, New Balance, NIKE, Inc., Pentland, PUMA, Skechers, and Under Armour (The company names follow the notation on the official website of AFIRM <https://afirm-group.com/members/>)

Commitment to enhancing employee awareness

Providing education on quality

Mizuno believes that the safety and quality of Mizuno products depend on the awareness and conduct of each employee of the Mizuno Group. Mizuno has formulated the Mizuno Quality Education Outline with the aim of helping the spirit of founder Rihachi Mizuno, best expressed in his own words as "Create the best products for customers," firmly take root inside the company. Following this outline, we also intend to build a system for systematically and unfailingly providing employees with training on quality control. Mizuno believes that quality control is something that must be undertaken by the Mizuno Group as a whole, not just one specific division.

Quality Assurance Office carries out company-wide quality education and department-specific quality education conducted in each department.

Major training courses on quality control [*d]

Company-wide Quality Control Course	
(Outline)	Acquiring knowledge of basic rules regarding quality control [Target] Product, development, business, sales, and indirect departments, etc. and Group companies
(Performance)	In FY 2022, we held two sessions themed "customer service education," with a total of 242 participants. Since FY 2021, we have implemented a recorded viewing format, allowing participation from various departments across our domestic offices.
Study Course for the QC Test	
(Outline)	Implemented by Mizuno Corporation, Mizuno Technics Corporation, Senoh Corporation, and Sharp Industries Corporation to promote self-development for the improvement of quality control skills and problem-solving abilities. [Target] Product, development, business, sales, and manufacturing departments, etc.
(Performance)	275 QC certificate holders as of April 2023 (employees in office)
Product Division Quality Control Education Course	
(Outline)	Organized by each of three product departments to enhance quality-related expertise [Target] Staff in charge of planning, production, sourcing, development, etc. of the product departments
(Performance)	FY 2022: a total of 65 courses / 1,720 participants The course was held in a combined format of on-site group education, online education, and education through a recorded course with the purpose of providing expertise on products handled by each product department.

Handing down of skills that support product quality

Our commitment to quality is supported by improvement activities at Mizuno Technics Corporation, which is engaged in manufacturing many of our products.

In the situation that many sporting goods are produced overseas, the reason why we continue to stick to manufacturing in Japan is to pursue low volume and high mix production so that we can produce and supply a wide variety of products in the required quantity. By doing so, we aim to respond to the globalization of the market, the individualization of consumer needs, and rapid changes in trends in the informatization era.

We create standard operating procedures (SOPs), and based on these "standards," we train workers to promote multi-skill development (so that one worker can carry out multiple tasks). We also strive, with wisdom, to improve productivity by thoroughly eliminating unnecessary work. Through these efforts, we aim to develop human resources specializing in manufacturing.

Moreover, the presence of craftsmen (with the title of "Meister / Craftsman"), who make tools that support athletes, helps pass down the philosophy of "Create the best products for customers," which features the founder's spirit, within the company.

Mizuno Technics Corporation – System for improving product quality

The manufacturing technology and know-how of Mizuno Technics Corporation are highly trusted by professional sports athletes and teams. To continue to meet their expectations, it is essential for all employees to further improve their skills and pass on their skills. To this end, Mizuno Technics has built and operates a system for improving product quality based on ISO 9001 as described below.

1. Quality Management System (QMS) Operations Committee meeting held every two months: Reporting and providing education on QMS matters to QMS Operations Committee members appointed from each section.
2. Mizuno Technics Quality Education program held every two months: The Quality Assurance Section prepares materials and provides education.

Quality Month Initiatives

We have designated each November as Quality Month, during which we conduct various quality-related activities for all employees across the Group. In FY 2022, we held a photo contest about quality (with 62 participants), and a company-wide course on customer support (with 242 participants), resulting in a total of 304 participants in these activities.

These activities provide our employees with an opportunity to reconsider the quality of our products and services, leading to improved quality and customer satisfaction.

Future issues to be addressed

- We will continue to improve the accuracy and efficiency of various reviews to prevent the occurrence of defective products.
- We are considering the creation of a more flexible quality assurance system in order to respond to the diversification of products handled by us and the complexity of the supply chain due to entry into new markets.
- In response to the worldwide trend towards stricter regulations on chemical substances, we will continue developing a global quality assurance system in collaboration with our overseas group companies.
- To provide safe and high-quality products, we will continue to offer educational opportunities about quality assurance that accommodate various work arrangements.

Materiality

Communication related to products

Basic Concepts

For the use of sports equipment, it is crucial for customers to use them properly and to have safety awareness when playing sports. At Mizuno, we strive to avoid using specialized terms in our instruction manuals as much as possible, instead opting for easy-to-understand explanations with illustrations, to communicate information about safe handling to our customers.

Provision of product information

We believe that it is important to provide sufficient product-related information so that customers can select our products appropriately. We actively disclose product-related information through in-store POP materials and our website, in addition to labeling on products and instructions for use.

For the content of disclosed information, we comply with laws, regulations, and industry rules related to labeling and confirm the accuracy and appropriateness of the information in accordance with the labeling control regulations. Specifically, when describing the superiority of a product, we use accurate and easy-to-understand expressions so that there is no misunderstanding, and when expressing functionality, we make it a requirement that there be supporting materials, such as test and experiment results.

If information disclosure about material procurement is needed, we make it available in the product instructions or information. We use our "Sustainable Material Procurement Policy" set according to "Responsible procurement with due respect for human rights" and "Responsibility for global environmental issues throughout the product lifecycle" as guidelines for each material in our product manufacturing, and revise it as needed.

For product disposal, we clearly state in our instruction manual creation guidelines that "For products requiring special disposal methods (those containing substances harmful to the body or the environment, etc.), the appropriate disposal methods, disposal processing, and disposal requesting organizations should be specified. In other cases, follow the disposal rules of each local government." When revising the instruction manual, we always change the content to comply with the guidelines.

We use a workflow application system, so all related departments including the Quality Assurance and Legal Affairs offices can effectively and efficiently verify and evaluate the content. We're also advancing the development of an internal pre-application confirmation system, so the applicant can confirm the appropriateness of functional expressions before applying, to avoid giving misleading impressions. [*c]

In FY 2022, although we conducted three recalls due to inadequate labeling, we identified the problems and reorganized the relevant processes.

Communication concerning defects and the collection of defective products

When a defect occurs, we announce it promptly and accurately on our website. In FY 2022, we announced seven cases, all of which were violations of voluntary standards. Among these, three were related to labeling issues, and the other four were about different issues.

■ When a defect occurs, we announce it promptly and accurately on our websiteTotal number of cases announced as an "Important Notice Regarding Mizuno Products" on the website due to product defects, incorrect quality display, or other reasons

FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
9	5	2	4	7

Communication for the safe use of products

For the use of sports equipment, it is also essential for customers to use it properly and to have safety awareness when playing sports. We provide product information to customers through various means, such as catalogs, user’s manuals, advertisements, news releases, in-store flyers, and customer services through Mizuno Customer Service Center.

To convey information on the safe use of our products in as easy-to-understand manner as possible, we try to avoid the use of technical terms when possible and provide easy-to-understand explanations with illustrations in our user’s manuals.

We also analyze customer inquiries made to Mizuno Customer Service Center and take measures, including adding user’s manuals to products for which usage instructions are difficult to understand. On the User Support page of our website, we have set up the sections "FAQ about Products" and "Useful Information," where we post frequently asked questions and provide tips on how to select and care for our products by product category, such as shoes and sportswear, and by sporting event.

For products that may lead to an accident if used incorrectly, we provide more specific instructions on how to use them, including representations based on the Product Liability Act, and other necessary information.

[Please click here for the website "User Support."](#)

Ensuring safety in the use of our products

All of our sports shoe items come with a user’s manual. To allow for the longer and safer use of sports shoes, we asked JASPO (Association of Japan Sporting Goods Industries) to help with the good use of the Sports Shoes Guidebook, a leaflet used by 11 sporting goods manufacturers that are affiliated with JASPO. The Guidebook is also available on Mizuno’s website.

The Guidebook has easy-to-understand explanations and illustrations providing tips for trying shoes on before purchase, choosing the right shoes, putting them on and taking them off, and ensuring they can be worn for a long time.

New Measure

Although we provide a user manual that describes how to set up and handle our training instruments and health-enhancing instruments, for some products we have started to attach a DVD and publish a video on our website to share detailed information with customers.

Future issues to be addressed

- To provide customers with appropriate information in a timely manner, we will enhance in-house education so that individual employees can surely acquire basic knowledge about product labeling.
- We will carry out regular maintenance of our website so that we can provide the latest information in frequently asked questions posted on the section of Mizuno Customer Service Center.





Materiality

Engagement with Customers

Basic Concepts

To ensure the safety and quality of our products and services, we have established a system that complies with ISO 10002, a complaint management system, and that allows us to respond appropriately to customer feedback and complaints.

System for customer service

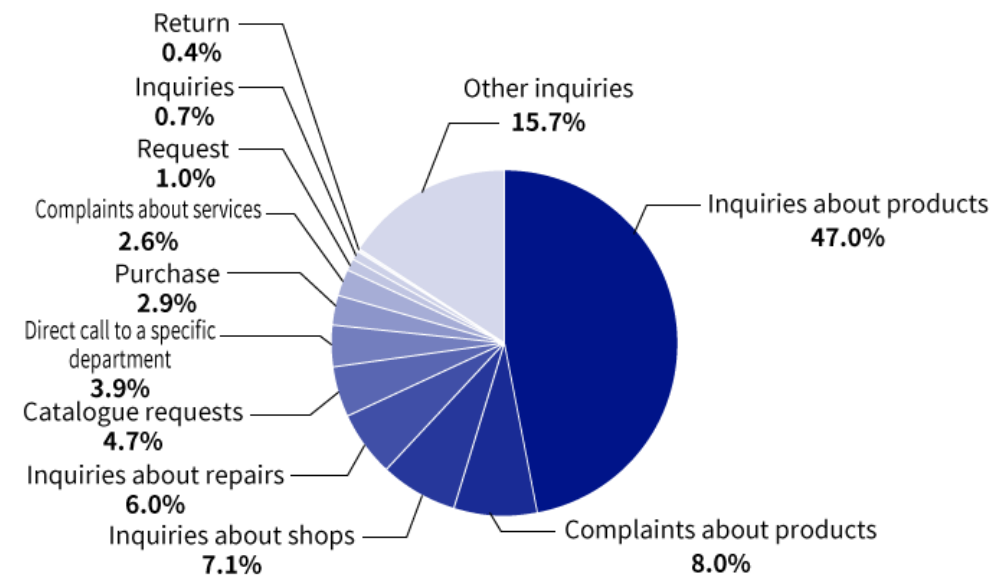
A variety of kinds of feedback from customers is collected at the Mizuno Customer Service Center, where we respond to inquiries and service complaints in cooperation with the relevant departments. Product complaints are forwarded to the Quality Assurance Section, which in turn provides feedback on them to the relevant departments as important information necessary to improve products and systems. The Quality Assurance Office, which consists of the Mizuno Customer Service Center and the Quality Assurance Section, is responsible for building the quality management system and also serves as a liaison to customers.

Customer feedback and major actions

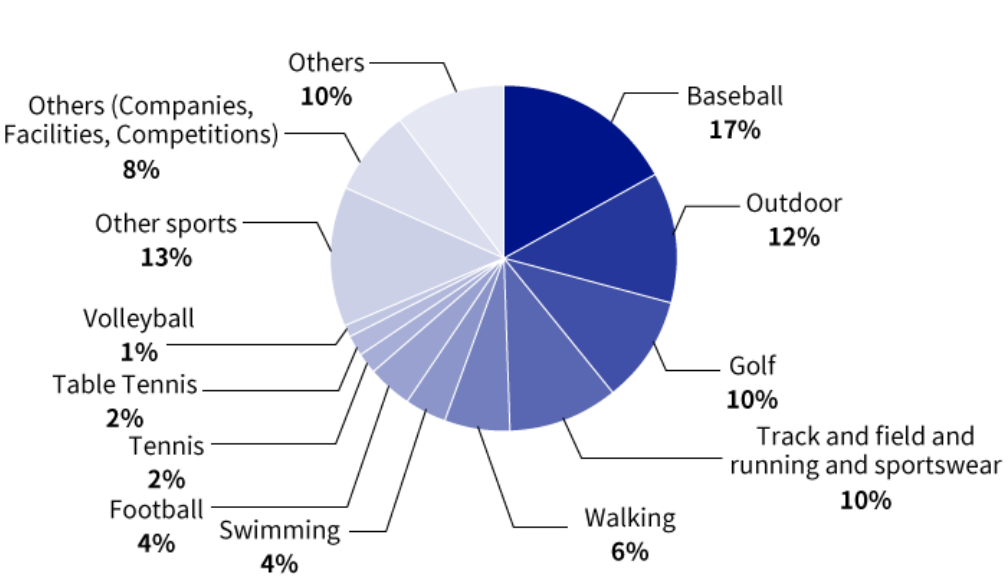
In FY 2022, the Mizuno Customer Service Center received 30,537 calls, of which approximately 47% were inquiries regarding products and approximately 8% were complaints about products.

■ Details of calls from customers in FY 2022

FY 2022 Graph by Consultation Content



FY 2022 Graph by Sport Discipline



Internal sharing of VOC (Voice of Customer)

Many of the customer voices received by the Mizuno Customer Service Center include customer requests, words of joy, and sometimes harsh opinions. We share these valuable voices internally on our internal website and posters. We will continue to make efforts so that individual employees will be aware of the customer's perspective and, as a result, we will provide better products and services for customers.

Responses in the event of a product accident

In the event of a product accident, we will take prompt and appropriate action to resolve the problem in accordance with the Customer Service Regulations. We have reviewed the circulation flow of the accident report database so that information on accidents can be shared promptly between internal staff. After grasping the details of an accident, the Quality Assurance Office consults with and reports to the relevant organizations, including the Consumer Affairs Agency, the Ministry of Economy, Trade and Industry, JASPO (Association of Japan Sporting Goods Industries), and NITE (National Institute of Technology and Evaluation), and takes prompt measures. If a defect that may lead to a product accident is found, we quickly determine measures to prevent the occurrence of an accident.

[Please click here for details of the Customer Service Regulations.](#)

Future issues to be addressed

Recently, the number of inquiries from overseas customers has increased. However, we do not have a sufficient system in place to respond to them, and there are still areas for improvement. We will work to create a system that provides better services to our customers and ensures customer satisfaction both domestically and overseas.

- We will endeavor to provide products and services from a more customer-centric perspective through a mechanism for sharing customer feedback within the company.
- We will strive to overhaul our customer support system to accommodate a variety of communication tools.



Enhancement of Human Capital Value

Management Policy

Mizuno values the three Fs - Fair play, Friendship, and Fighting spirit. We strive to foster a workplace culture in which each individual upholds a fair attitude, demonstrates high morale, acknowledges the "differences" of others, and respects diversity, thereby facilitating shared joy among colleagues. By promoting the pursuit of innovative challenges, we aim to establish a vibrant corporate culture that imbues a sense of purpose and fulfillment in our people.

Management Structure

The Mizuno Group has designated the Chief Human Resources Officer, who is also the executive officer in charge of personnel and general affairs, as the top person responsible for human capital management. This entails promoting the acquisition of the necessary talent and organizational capabilities to realize our management plans. Acting as a corporate function, the Global Human Resources and General Affairs Department ensures alignment and drives group-wide activities, while advancing the formulation and implementation of our talent strategy.

Mizuno Talent Vision

With the declining population in Japan, the number of sports competitors is decreasing, resulting in a largely stagnant domestic sports market for the past few years. Additionally, changes in people’s behaviors and values due to the development of digital technology, and increasing instability in international affairs, have made the environment around us more uncertain than ever. Even in such an environment, we believe that in order for our group to achieve sustainable growth in business and realize our management philosophy of "contributing to society through the advancement of sporting goods and the promotion of sports," it is necessary for each and every employee to work enthusiastically and improve profitability.

Therefore, we believe that it is important for a diverse group of employees from all generations to take on their work with a spirit of challenge, and we aim to improve both financial profit per employee and job satisfaction. In our group, we have made the fostering of talent, which promotes individual employee growth and brings business competitiveness, and improving employee engagement to build better relationships between the company and employees, the pillars of our strategy.

Talent Strategy

Based on our human resources development policy, we support the enhancement and development of each employee's capabilities. We are fostering and utilizing "talents that realize Mizuno's growth" by implementing approaches to raise the basic skills of employees, respond to management issues, and foster a culture of self-learning. In addition, regardless of nationality, race, gender, or age, we provide various career development opportunities on a global scale and plan for the long-term, continuous, and systematic development and training of diverse talents.

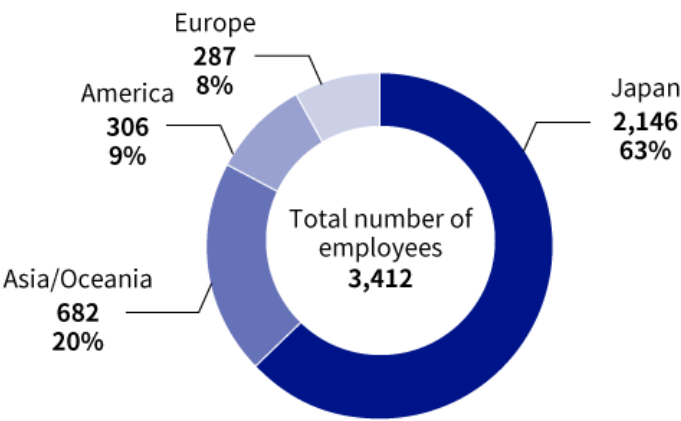
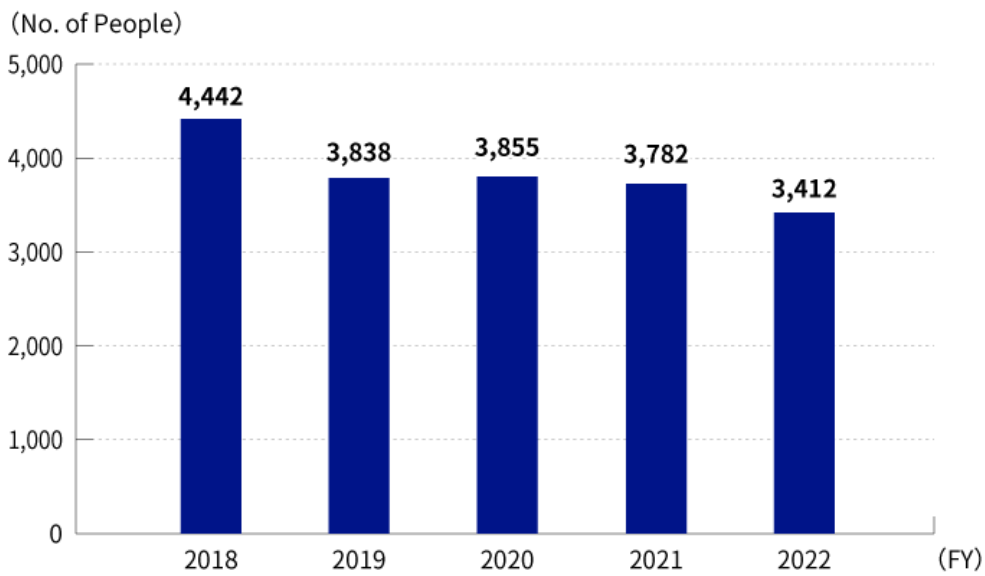
Specifically, we are conducting training and development focusing on three key areas: 1) "Management talent" that will enable business continuity in the future, 2) "Global talent" to generate competitive advantage in global business, and 3) "Innovation talent" for creating better customer experiences through the advancement of digital technology.

Employment status

Mizuno Corporation (Fiscal Year 2022)

		Employees (no. of people)			
		Female	Male	Other	Total
MIZUNO Corporation	Full-time Employee (Managerial Position)	11	220		231
	Full-time Employee (Non-managerial Position)	449	805		1,254
	Total Full-time Employees	460	1,025		1,485
	Contractual Employees	16	180		196
	Temporary Employees	85	87		172
	Part-time Workers	153	93		246
	Total Employees	703	1,385		2,099

Mizuno Group



* The percentages are rounded off to the nearest whole number, so all percentages may not total 100%.



Welfare systems

Mizuno takes employee requests into consideration in deciding what welfare systems to offer and currently offers a number of unique systems, including the following: 1) defined contribution pension plan, 2) long service leave system, 3) club activity promotion system, and 4) self-training support system.

Welfare systems [*b] the Mizuno Group (domestic)

Defined contribution pension plan [*b]*	
Details	This system allows employees to decide what kind of pension plan they want based on the premiums the Company will pay. To help employees improve their CSR attitude, the pension plans that Mizuno allows employees to choose from are funds that invest in companies that actively promote CSR activities.
Performance	Mizuno has invited experts as instructors to provide defined contribution pension subscribers with investment education. As it did the previous year, Mizuno promoted the use of its matching contribution system (where the Company’s premiums are added to premiums paid by employees). Matching contribution subscriber rate: 63.4% Adoption rate of DC Good Company, an investment product targeting companies that actively promote CSR activities: 1.02%
Employee stock ownership association [*b]	
Details	This is a system designed to encourage and assist employees in building their assets by purchasing the company’s own stocks, to which Mizuno adds a 10% bonus to each employee contribution.
Performance	As of the end of March 2023, 751 employees (out of 3,326 eligible group employees) have participated in this system.
Long service leave system [*b]*	
Details	This system offers special leave and travel subsidies to employees every five years with the aim of helping employees take long-term leave and travel around to feel refreshed.
Performance	In FY 2022, 253 employees were eligible for this system (no. of users: 109; user rate: 3.08%). In FY 2022, 253 employees were eligible for this system (no. of users: 109; user rate: 3.08%).
Cafeteria plan system [*b]	
Details	This system aims to cover part of the expenses incurred by employees by giving the same number of points to all employees and allowing them to choose how to use them from a number of menus so that they can use their points in ways that best match their lifestyle
Performance	The Mizuno Group’s employees used a total of 445,000 points.
Promoting club activities and in-house sports events[*b]	
Details	To help employees maintain their good health and to enliven the Company, Mizuno promotes and supports in-house sports and cultural activities.
Performance	About 25 clubs are currently active in the entire domestic Group, which comprise the following types: 1) athletic clubs (including baseball, soccer, and rugby teams); and 2) cultural clubs (including popular music bands). In addition, Mizuno held an online walking event once in FY 2022, which welcomed approximately 1,000 employees nationwide.

Communicating with employee representatives

Mizuno and Mizuno Technics have concluded a union-shop agreement as part of a labor agreement with Mizuno Union (comprising 1,582 union members and 969 non-union members as of March 31, 2023). To create a worker-friendly workplace environment by sharing thoughts on business conditions, checking whether working conditions are fair, and ensuring that necessary welfare systems are being offered, monthly meetings are being held multiple times by the following committees: 1) the Central Labor Management Council and Block Labor Management Councils, led by top management officers of Mizuno and Mizuno Technics, the Human Resources Department, the Labor Union Chairman, and other Labor Union officers; 2) the Labor Wage Study Group; and 3) the Health and Safety Committee.

In addition, Mizuno’s labor agreement stipulates the following rules when relocating employees: 1) employees must be informed one month ahead before being relocated to a subsidiary or being transferred to another region and 2) employees must be informed one week ahead before being transferred to another department.

Labor and Management Initiatives

Mizuno and Mizuno Technics have concluded a union-shop agreement as part of a labor agreement with Mizuno Union. As of March 31, 2023, the number of union members is 1,582 and non-union members are 969. The proportion of union members subject to the labor contract is 62.0% of all employees, which total 2,551.

However, last year, the company proposed to contract workers, temporary workers, and part-time workers that they could join Mizuno Union under an open shop system. Among these targeted workers, 34 joined (included in the above 1,582 union members).

Regular meetings are held between labor and management. They aim to improve employees’ working conditions through various discussions and the establishment and operation of fair working conditions and various systems, and to create a comfortable working environment. The specifics are outlined in the labor agreement as follows:

< Central Labor-Management Council >

- - Composition: 2-4 executive officers and 2-4 management level staff at the level of deputy manager or higher from the company, and 4-8 central officers from Mizuno Union.
- - Frequency: Once every two months
- - Supplementary Agenda Items:
 - (1) Issues related to basic management policies and annual plans.
 - (2) Issues related to new business plans, establishment and abolition of business sites, and overseas business.
 - (3) Issues related to the establishment, revision, and abolition of labor contracts, various labor-management agreements, and work regulations.
 - (4) Issues related to the safety and health of employees.
 - (5) Issues related to corporate social responsibility.
 - (6) Issues related to employee hiring plans, education, and employee welfare.

< Block Labor-Management Council >

- - Composition: Same as Central Labor-Management Council.
- - Frequency: Every month.
- - Supplementary Agenda Items: Issues related to the business locations within each block from the Central Labor-Management Council's supplementary agenda items.

For non-union members (employees not subject to the labor contract), employment conditions are set based on the employment rules for fixed-term and indefinite-term employees, which are created based on the labor contract.

For employee reassignments, the labor contract stipulates that employees must be notified at least one month in advance for transfers and relocations, and at least one week in advance for other changes.

For other significant changes, the labor contract stipulates that prior consultation between labor and management is required, including:

- Recognition of non-union members among employees subject to the union shop system.
- Disciplinary action against union members.
- Abolition of regulations concerning wages and retirement allowances.
- Annual scheduled working hours, annual holidays, etc.

Communication between Labor and Management

When it comes to employee reassignments, the labor contract stipulates that notifications should be given at least one month in advance for transfers and secondments, and at least one week in advance for other changes.

For other significant changes, the labor contract stipulates that prior consultation between labor and management is required. These changes include:

- Recognition of non-union members among employees subject to the union-shop system.
- Disciplinary action against union members.
- Abolition or amendment of regulations concerning wages and retirement allowances.
- Annual scheduled working hours, annual holidays, and the like.



Work Life Management

Basic Concepts

At Mizuno, we believe that the respect and mutual growth of each employee is a powerful driving force in our business. We aim to create a company where each employee can actively manage their work-life balance according to their life stage, and work vibrantly and proudly in their jobs, achieving both fulfillment in their work and their personal lives.

Annual paid holiday system

Mizuno provides full-time and contract employees with the following number of annual paid holidays: 1) 10 days immediately after joining the Company and 2) 20 days after working six years. In FY 2014, Mizuno decided to operate and promote a system that allows employees to take annual paid holidays on an hourly basis (five days; 40 hours at maximum / year). In addition, Mizuno puts effort into improving employee welfare and has established a transferable annual paid holiday system, where employees, for personal reasons, such as injury and illness, nursing, welfare activities (including volunteer work), and sports promotion activities, are allowed to use annual paid holidays that have expired.

Mizuno Corporation's annual paid holiday user rate for FY 2022 was 58.0% [*d].

Support system for Balancing Work and Family Life

Mizuno offers various support systems to help employees balance their work with family life.

As for the childcare support offered at Mizuno, the employment patterns of female employees from pregnancy / childbirth to childcare period has been mostly implemented and used and comprises the following: 1) paid holidays available at an hourly-use basis from the day of pregnancy (40 hours a year), 2) prenatal and postnatal leave, childcare leave and extended leave (up to 2 years old if over 1 year and 6 months) 3) short working hours after returning to work (up until the day the child completes his / her third year of elementary school), and 4) flexible working hours (up until the day the child completes his / her third year of junior high school).

In addition, to enable itself to secure talented employees, Mizuno offers a reentry system that welcomes employees back to work after they have unwillingly left due to personal reasons, such as marriage and childbirth. Furthermore, Mizuno actively encourages its male employees to participate in childcare, and to do so, it allows its male employees to also use its childcare and maternity leave and flexible working hour systems. In FY 2022, the rate of male employees taking childcare leave was 26.7%.

Mizuno also puts effort into helping its employees provide their family members with nursing care, and to do so, it asks its employees to answer a survey so that it can provide them with support systems that best match their needs.

In FY 2022, Mizuno began a trial system that allows employees to work shorter hours and take leave for the purpose of infertility treatment and that allows them to work shorter hours for the purpose of nursing. So far, these systems have been used by two employees.

Enhancing Support Systems for Childbirth and Childcare

We are committed to facilitating work-life management and diverse work styles for our employees so that they can thrive in their work. To this end, we are developing both the hard and soft aspects of our work environment to support our motivated and capable employees. At Mizuno, 67% of married female employees, or 144 out of 215, are working mothers balancing both their job and family. The retention rate of employees three years after returning from childcare leave was 96.7%, with a total of 179 employees still working with us.

Support Systems for Childbirth and Childcare

Childcare leave systems [*d]*	
Details	This system aims to improve Mizuno’s welfare system by allowing employees to devote themselves to childcare for a certain period without having to give up their status as an employee at Mizuno.
Performance	In FY 2022, 79 employees used this system. (full-time employees: 12 men and 59 women, contract workers/part-timers: 8 women)
Childcare short-working-hour system [*d]*	
Details	This system defines the details relating to allowing employees to work shorter hours to care for their children who are at ages subject to protection under the childcare leave system up until their children complete their third year of elementary school.
Performance	In FY 2022, 76 employees used this system. (full-time employees: 1 man and 67 women, contract workers/part-timers: 8 women).
Childcare flexible working hour system [*d]*	
Details	This system aims to help employees balance childcare with work (up until their children complete their third year of junior high school).
Performance	In FY 2022, 117 employees used this system. (full-time employees: 27 men and 82 women, contract workers/part-timers: 8 women).
Pregnancy disability leave [*d-b] *	
Details	This system aims to protect the mother during her pregnancy by allowing her to take leave from work due to poor physical condition during pregnancy, such as morning sickness and anemia.
Performance	In FY 2022, no employees used this system.
Childbirth and childcare leave system [*d]*	
Details	This system understands employees need to balance childbirth and childcare with work and aims to help them do so, and in order to therefore encourage employees to take childcare leave, it grants childbirth and childcare leave.
Performance	In FY 2022, 34 employees used this system. (31 full-time employees, 3 contract employees)
Regulations relating to childcare under the cafeteria plan system [*d]	
Details	These regulations define what expenses relating to childcare will be covered by the cafeteria plan system.
Performance	Of all cafeteria points used in FY 2022, those relating to childcare accounted for 1.21%.

Reentry system [*d]	
Reentry system	This system aims to increase the chances that employees who left for certain personal reasons (including childbirth and nursing) have of returning to Mizuno, and it does so by providing them with information on job openings at Mizuno.
Performance	In FY 2022, no employees used this system.

＊ The data given above was gathered from Mizuno Corporation and a number of Mizuno Group subsidiaries in Japan.

Enhancement of Family Caregiving Support System

At Mizuno, we are committed to enhancing our family caregiving support system with the aim of ensuring that no one has to leave their job unwillingly due to family caregiving responsibilities.

Family Caregiving Support System

Caregiving leave system [*b]*	
Details	This system defines the details relating to allowing employees to take leave to care for family members who require caregiving.
Performance	In FY 2022, no employees used this system.
Short-working hour system for- Family Caregiving [*b] *	
Details	This system defines the details relating to payment and other conditions when employees request to work shorter work hours than the regular work hours due to the need to care for family members who requiring care.
Performance	In FY 2022, no employees used this system.
Regulations relating to nursing care under the cafeteria plan system	
Details	These regulations define what expenses relating to nursing care will be covered by the cafeteria plan system.
Performance	Of all cafeteria points used in FY 2022, those relating to nursing care accounted for 0.09%.

＊ The data given above was gathered from Mizuno Corporation and a number of Mizuno Group subsidiaries in Japan.



Occupational Safety and Health

Basic Concepts

At the Mizuno Group, based on the "Occupational Safety and Health Basic Policy," we operate a labor safety and health management system according to our internal voluntary standards, working on the prevention of workplace accidents among employees and the maintenance and enhancement of health, as well as disease prevention.

Occupational Safety and Health Basic Policy

Philosophy

Mizuno Corporation and all related companies involved in the manufacturing and sale of Mizuno Corporation’s products recognize that ensuring the safety and health of employees is an integral part of business operations, and we commit to creating a safe and comfortable working environment.

Policy:

1. Each business location will comply with all safety and health-related laws and regulations in their respective regions, while establishing necessary internal standards to improve management levels.
2. Within Mizuno Corporation and all Mizuno Group organizations, efforts will be made to build organizational structures that enable the promotion of safety and health activities and to clarify where responsibility lies.
3. Regular evaluations, inspections, and improvements of dangers and hazards related to safety and health will be conducted in all areas of business activities.
4. All employees will be provided with necessary and sufficient education and training to ensure safety and health.
5. Recognizing that the usefulness of safety and health is realized through daily information sharing, important information will be disseminated to employees through the internal network and other means of communication, aiming to raise awareness.
6. Regular audits will be conducted to measure and improve the safety and health management system.
7. Participation in administrative and community activities related to safety and health will occur.
8. Appropriate management resources will be allocated in the execution of this policy, and effective improvements will be continuously implemented.

Occupational Safety and Health Management System

Mizuno holds Occupational Safety and Health Committees at all business locations, conducted jointly by management and labor representatives. These committees discuss and examine measures related to employee safety, including the prevention of occupational accidents, maintenance and promotion of health, and prevention of diseases.

To centralize control over the Safety and Health Committees of all business locations, a Central Safety and Health Committee is established, chaired by the executive officer in charge of Human Resources and General Affairs. This committee meets twice a year and addresses the current year's safety and health plans, as well as reports and reviews activities from the previous year.

Additionally, in accordance with the plans of the Central Safety and Health Committee, each business location holds its own Safety and Health Committees to verify the implementation status of the plans and accident situations, as well as discuss and record measures to prevent recurrence. Chaired by the department head of each business location, these committees meet monthly to verify the implementation status of annual plans, investigate the causes of defects, occupational injuries, and accidents, formulate measures to prevent recurrence, and make resolutions. The minutes of these meetings are recorded in a common database that can be accessed and shared by all Safety and Health Committees.

Furthermore, Mizuno formulates and executes improvement plans for building inspections and identified risk environments in collaboration with the labor union. Legal inspections and improvements are complied with 100%.

Enhancing Occupational Safety and Health Activities

In FY2022, we focused on legal compliance and improving risk management levels, as well as addressing sustainability aspects such as health promotion, environmental protection, and earthquake preparedness, through various safety and health activities.

During the past three years, due to the COVID-19 pandemic, many of our safety and health activities were primarily implemented through remote learning. However, we resumed actions like self-defense firefighting drills and building inspections, advancing a hybrid approach that combines hands-on training with classroom learning. As a result, we have maintained a healthy and safe daily life in FY2022 without any major accidents occurring.

Furthermore, we will strive for zero accidents and work-related injuries at the Innovation Center Mizuno Engine, which we have established on our head office premises in Osaka.

Across the entire Mizuno Group, we will continue to identify and eliminate factors or situations that could potentially lead to work-related injuries. As part of our efforts to detect diseases early, we have incorporated cancer screenings into our regular health check-ups, and will also regularly conduct health consultations with industrial physicians and mental health consultations with consulting doctors.

We will continue to work year by year on activities aimed at maintaining and enhancing the safety and health of our employees.

Report on Mizuno’s safety and health plan for FY 2022

Building and equipment management	Number of accidents due to problems with buildings and equipment (including facility collapse, damage, electric leakage, and fire): none
Health management	Health management includes implementing a stress check, verifying a medical checkup rate at two business offices that introduced a new medical checkup* in advance, preventing health defects associated with telework, disseminating health information by video, and complying with health-management-related laws and regulations. * A regular medical checkup was replaced with a lifestyle disease prevention checkup administered by the government.
Risk management	Number of accidents due to disasters: none. Risk management includes continually improving measures against disasters and emergencies.
Vehicle management	Vehicle management includes reducing the number of rear-end accidents and collision accidents, reducing the number of accidents that occur in parking lots, and three external complaints.
Cafeteria management	Number of food poisoning accidents, accidents due to cafeteria equipment, and industrial accidents in the cafeteria: none
Regarding the training provided to employees	
The planning and execution of health management	exercise events (with a participation rate of 50%), health education, sharing the status of health management with the board of directors (10 or more times a year), conducting cancer screenings (with an examination rate of over 90%), and health consultations by public health nurses.
The planning and implementation of health education	In FY2022, we held seminars on both "food" and "sleep", with participation from approximately 50 attendees.



Health Promotion Initiatives

Basic Concepts

Mizuno believes that helping employees maintain their good physical and mental health and helping them balance work with personal life will lead to its own development and enable it to uphold its corporate philosophy.

Therefore, to promote Mizuno’s efforts to help employees maintain their good health, the president issued a health management declaration.

<Health management declaration [entirety]>

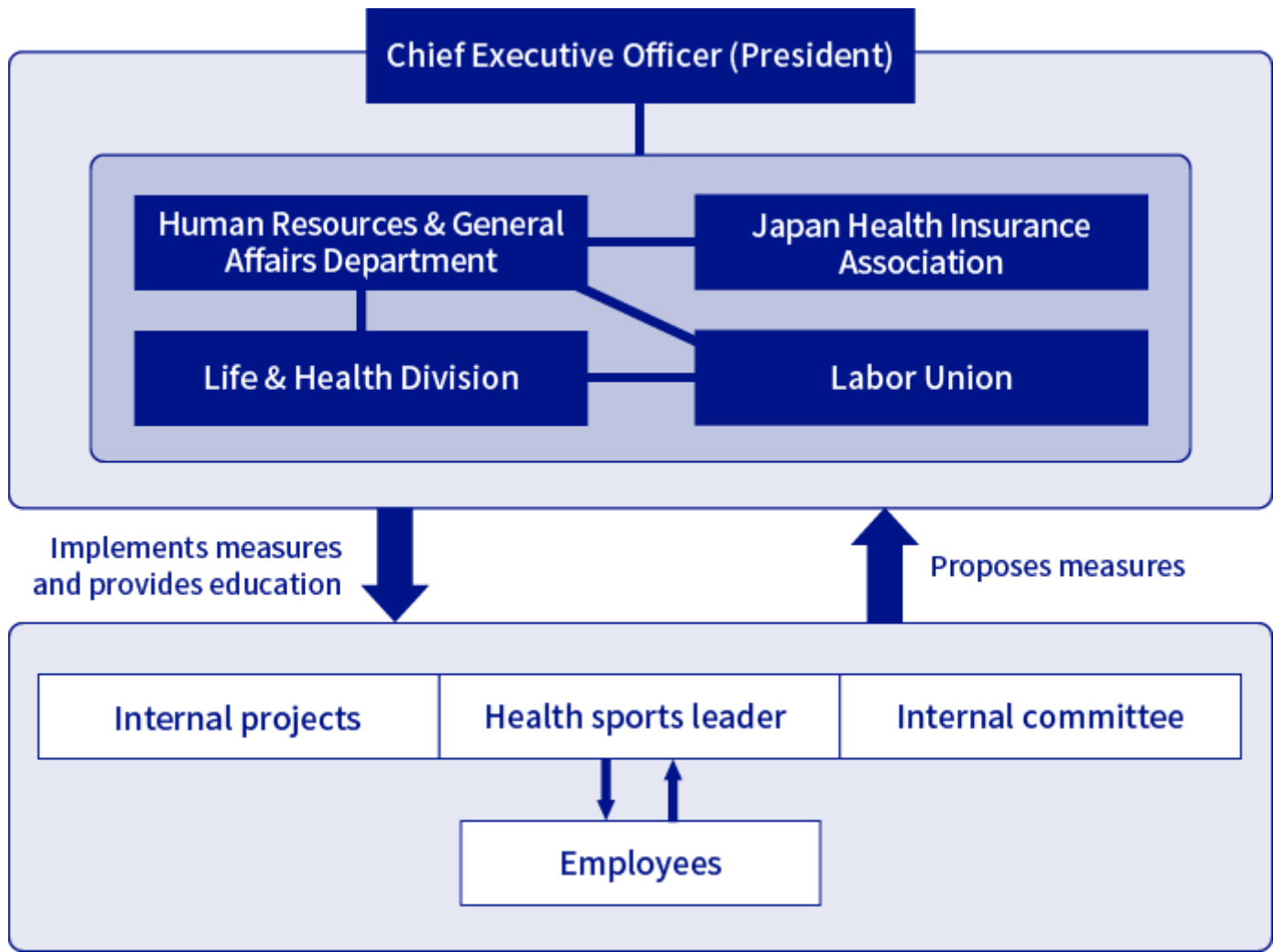
The Mizuno Group believes that a company is its employees and recognizes that the health of its employees forms the basis of its management. Therefore, the Mizuno Group hereby declares to put more effort into helping its employees improve their health.

Mizuno believes that helping employees maintain their good physical and mental health and helping them balance work with personal life will lead to its own development, enable it to uphold its corporate philosophy, and help its employees lead fulfilling lives.

Mizuno looks forward to seeing that its employees have understood this declaration and begun willingly putting effort into conducting activities that will improve their health together with their families so that they can enjoy balancing work with personal life.

Health Management Promotion System

The system for health promotion initiatives



Health Promotion Initiatives and External Evaluation

Mizuno, based on its declaration of health management, has set specific targets for four challenges: "Reducing the ratio of those at risk for lifestyle-related diseases," "Early detection of serious diseases," "Reduction in the number of employees taking leave for mental health," and "Reduction in smoking rates." We have embarked on various health promotion initiatives, focusing on the encouragement of sports and exercise.

These activities have been recognized, and we have been certified as an "Excellent Health Management Corporation 2023 (Large Corporation Division) (White 500)" and "Sports Yell Company 2023," consecutively earning the "Bronze Plus" status in both categories.

For specific details of our initiatives, please refer to the content titled "Health Promotion Efforts" on the Mizuno homepage.

Link: (<https://corp.mizuno.com/en/about/policies#ARC02>)



Future issues to be addressed

- **Supporting the balancing of work with personal life**
We will continue to support employees in balancing work with childcare and caregiving, a strategy aimed not only at retaining employees but also enhancing their engagement.
- **Paid holidays**
Mizuno believes that all employees should take at least five paid holidays. Accordingly, Mizuno will put effort into encouraging employees to do so by creating a workplace environment that encourages employees to take paid holidays.
- **Safety and Health**
To create a safe and comfortable workplace environment, Mizuno will put effort into not only ensuring that it complies with the law but also reviewing its system for promoting safety and health. In addition, Mizuno believes that safety and health measures must incorporate risk management. Accordingly, Mizuno will revise its business continuity plan to reflect this belief.
- **Health management**
To ensure health management, we will continue to improve our PDCA efforts for health promotion each year. In addition to encouraging exercise and sports, we will also embrace new perspectives by including initiatives related to dietary education, sleep, women's unique health issues, and health promotion for older employees. Our goal is to further maintain and enhance overall health.



Promoting and respecting diversity

Basic Concepts

Mizuno will put more effort into promoting and respecting diversity as a basis for its Group’s growth strategy aimed at helping its diverse employees achieve their potential in helping the Company’s organizations and the Company produce good results.

Promoting female participation

Mizuno has been promoting and will continue to promote female participation. To support employees who are particularly eager to work and are talented, Mizuno will put effort into laying software and hardware foundations, including providing career development support, improving the workplace atmosphere, and designing systems for supporting diverse workstyles. Mizuno will also work on measures to raise women’s awareness of career building and promote the growth of female employees by conducting in-house training for selected members and career interviews for female employees and encouraging them to participate in a forum for female managers held jointly with other companies so that the ratio of female managers will be raised to 10% by the end of FY 2025. In FY2022, Mizuno implemented the following measures.

Measures to increase the percentage of female employees

In FY 2022, out of 25 new graduate hires, 9 were female [*d].
Moreover, as stated in our General Employer Action Plan, we are also aiming to ensure that the proportion of women in hiring (both new graduates and mid-career recruits) is 40% or more, and will continue to work towards this goal.

Career development support

The Diversity West Japan Study Session, which comprises about 50 companies, held a career design forum in FY 2022 as well, which was attended by five female Mizuno employees, who all held different positions. At the forum, Mizuno’s female employees had the opportunity to participate in a round-table discussion with female leaders representing other companies, which helped them develop their own future visions by considering their future career paths from medium-to long-term perspectives.
Additionally, for potential female leaders, career interviews were conducted to confirm short-term, medium-term, and long-term career visions and plan for the systematic promotion of women to managerial positions.

Moreover, we believe that men’s participation in childcare is essential not only for women who work while raising children to balance both roles but also to thrive. Therefore, we have increased opportunities for educational training on men’s participation in childcare. The implementation details are as follows:

- Company-wide education to deepen understanding
- Cross-industry "Iku-boss" seminars
- Cross-industry seminars for male childcare participation aimed at those directly involved.

Mizuno Corporation - Individual Gender Pay Gap <*d>

Category	Individual Gender Pay Gap
All Employees	66.6
Full-time Employees	72.9
Contract Employees • Part-time Employees	57.9

* Value Using Male as the 100-Point Benchmark

Mizuno Corporation: Distribution of All Employees by Gender <*d>

	Total	Male	Female
Younger than 30 (%)	12.1%	7.4%	4.7%
30 to 39 (%)	26.1%	16.8%	9.4%
40 to 49 (%)	22.8%	15.4%	7.4%
50 to 59 (%)	38.9%	29.4%	9.5%
60 or older (%)	0.1%	0.1%	0.0%

Welcoming diverse workers

The essence of diversity is the maximization of different qualities. Mizuno aims to welcome diverse workers able to create new value by achieving their potential and developing innovation. In terms of securing diverse human resources, Mizuno has high expectations for mid-career employees and is working to secure human resources who can contribute to the creation of innovation based on different values as ready-to-work employees with expertise. The current ratio of mid-career employees in managerial posts is 10.4%. To raise it to 20% by the end of FY 2025, Mizuno will continue to actively hire human resources who will be candidates for managers, including female managers, when hiring mid-career employees.

Employment of the physically and mentally challenged workers

As of March 2023, the employment rate of physically and mentally challenged workers at Mizuno is 2.31% [*d], exceeding the legally mandated employment rate. We will continue to promote the hiring of individuals with disabilities more than ever before. Additionally, to enhance the promotion of employment for the physically and mentally challenged, and to ensure that they can thrive in the workplace, we have conducted company-wide education to deepen understanding about disabilities and eliminate prejudice against them.

Employing elderly people

Mizuno has a re-employment system, which employs former employees who retired at the retirement age of 60 but wanted to continue working until 65. In FY 2022, 48 employees retired due to the mandatory retirement system, and 44 of them used the re-employment system.



Promoting Consciousness Reform and Cultivating a Culture for Diversity

To foster an understanding and acceptance of Mizuno's commitment to diversity within the company, a top-level message was disseminated at the policy briefing at the beginning of fiscal year 2020. Currently, initiatives are underway to prompt a shift in awareness among all employees.

Diversity management training was conducted for division heads, encouraging them to take the lead in raising awareness and promoting diversity and inclusion (D & I). In addition, biannual company-wide education related to D & I has been conducted; the themes for fiscal year 2022 were male participation in child-rearing and employment of disabled persons.

Alongside efforts to create an environment where diverse talent can work more comfortably, we will continue to provide ongoing learning opportunities to foster consciousness reform among employees.

Promoting employees' understanding of LGBTQ+

As part of its education program for all employees, Mizuno provided employees with diversity education, which featured LGBTQ+ as one type of diversity.

Improving Mizuno's workplace environment and promoting the growth of Mizuno's employees

To help employees continue to grow, Mizuno will put effort into improving its workplace environment in ways that will promote and respect diversity and help diverse employees achieve their potential and find their work to be rewarding.

Future issues to be addressed

Mizuno recognizes the promotion of diversity as a critical managerial issue. Accordingly, the company will actively employ a diverse workforce and work to change each employee's attitude towards diversity by identifying and addressing the necessary challenges.



Development and Nurturing of Talent

Basic Concepts

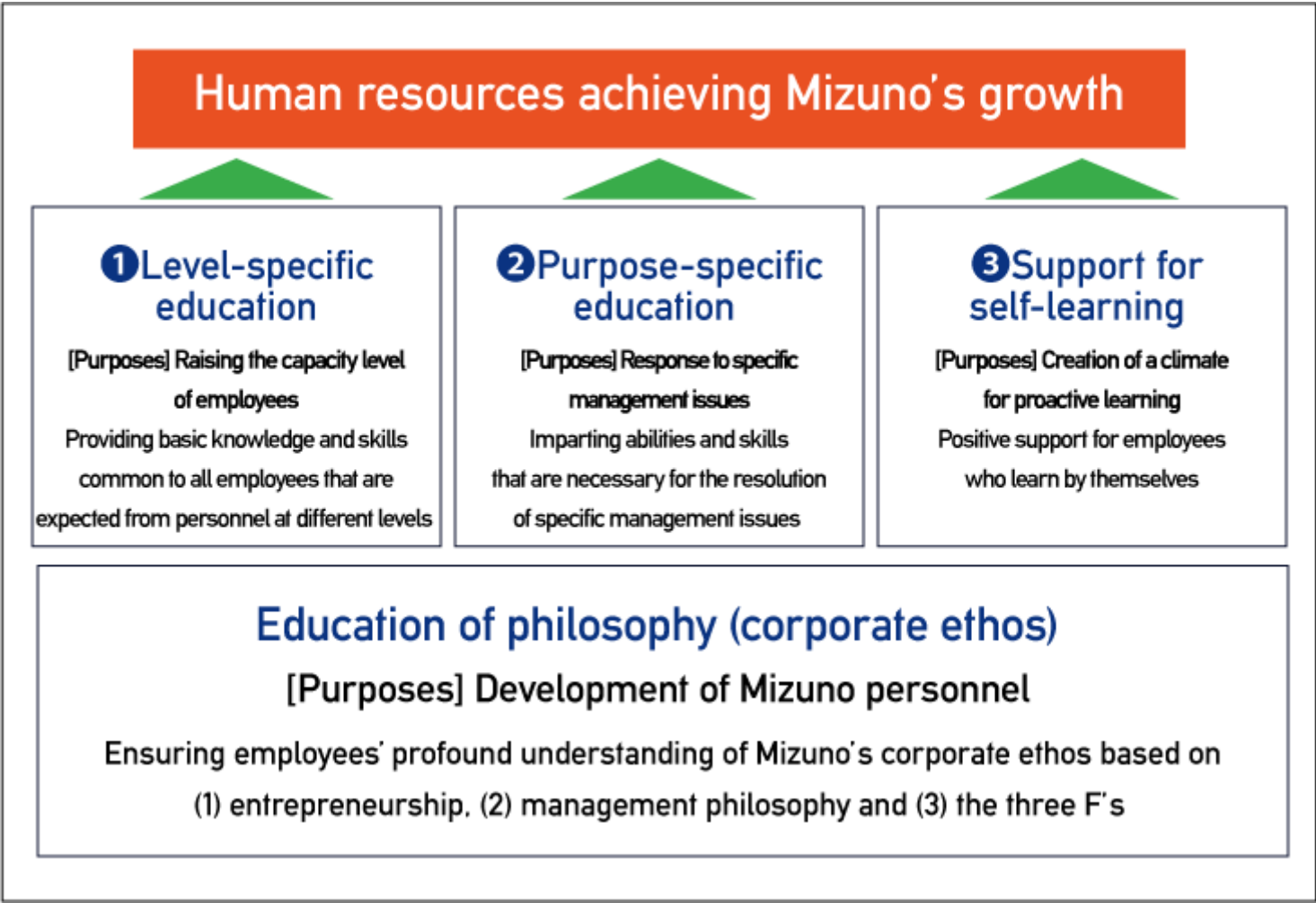
"Contributing to society through the advancement of sporting goods and the promotion of sports" is Mizuno's corporate philosophy. To uphold this philosophy, Mizuno continually puts strategic long-term effort into cultivating human resources and helping workers grow by providing various career development opportunities to all Mizuno Group employees regardless of nationality, race, gender, age, and other factors on a global scale.

To help employees find their work to be rewarding, Mizuno helps employees improve their skills and develop new skills so that they can apply such skills to their daily work.

Measures to help workers grow

To help employees develop new skills, Mizuno takes the following approaches based on the philosophy education program that requires employees to learn about Mizuno's corporate DNA: 1) stratified training, which helps employees acquire the skills and ability needed at the stage of their careers they are currently at; 2) purpose-based training, which helps employees acquire specialized skills needed to resolve specific individual management issues; and 3) self-training support, which helps employees train themselves.

Human resources achieving Mizuno's growth



	Details	No. of participants
Philosophy education (Mizuno’s corporate DNA)	To help employees understand and share globally Mizuno’s corporate DNA, with others which is based on the founder’s philosophy, the management philosophy, and the three Fs	About 3, 800 participants [*c]
Stratified training	To help employees acquire the basic ability and skills that all employees need at the point they are at in their careers. • New employee training: 48 • 1st year sales employee training: 14 • 2nd year sales employee training: 11 • 3rd year employee training (including 3rd year sales employees): 42 • Section chief training: 112	224 participants * FY 2022 [*d]
Purpose-based training	To help employees acquire the ability and skills needed to resolve specific individual management issues. • Business leader: 19 • DX leader: 20 • Project design: 27 • Sales training: 395	About 354 participants * FY 2022 [*d]
Self-training support	To actively support employees who are willing to undergo self-training. (English • Chinese communication / All-you-can-learn)	About 185 participants * FY 2022 [*d]

Systems for helping employees take up challenges

Mizuno free agent system [*d]	
Details	To help employees achieve self-realization, motivate employees to take up challenges, and enliven the workplace, Mizuno accepts the following types of free-agent applications: 1) job offer, 2) proposal, and 3) registration. • Job offer: Different departments make job offers and employees apply for jobs that interest them. • Proposal: Employees propose ways to change the way work is being conducted or make new business proposals as individuals or groups. • Proposal: Employees propose ways to change the way work is being conducted or make new business proposals as individuals or groups.
Performance	FY 2022—job offer: none; proposal: none; registration: 6 employees
Technical job meister / craft system [*e]* ¹	
Details	To help employees grow into talented craftsmen, activate employees performing technical jobs, help technical workers improve their skills, and pass on the great skills of technical workers to future generations, Mizuno awards the titles of "meister" and "craft" to employees who have great craftsmanship and grant them an allowance.
Performance	FY 2022—Baseball: 5 employees; golf: 5 employees; apparel: 3 employees

Employee invention reward system [*b]*2	
Details	The employee invention reward system aims to stimulate employees to continually come up with innovative and unique product development ideas. The system complies with patent law and aims to stimulate employees to actively put effort into coming up with inventions by properly evaluating work-related inventions made by employees (employee inventions) and granting rewards. There is no upper limit to the amount of reward that could be granted, and the amount is based on the level of contribution the inventor and invention makes to the Company's sales.
Performance	FY 2022—rewarded inventions: 9 (16 inventors; excluding employees who have retired)
Overseas training and work system [*d]	
Details	The overseas training and work system aims to help employees acquire specialized knowledge and skills relating to their job by working overseas, and simultaneously broaden the horizons of young employees, cultivating core personnel for overseas expansion. The provision of on-the-job training (OJT) and problem identification and resolution programs are carried out at overseas business locations throughout the dispatch period. The place of work is determined based on individual's wishes, career, and personnel planning, among Mizuno's overseas branches or subsidiaries, and employees will engage in work abroad for one year.
Performance	FY 2022, the dispatch has been postponed due to the COVID-19 pandemic.
System for helping employees pursue an MBA (Master's degree in business administration) at a graduate school in Japan as a working member of society [*d]	
Details	The system aims to help employees acquire specialized knowledge of business in general, build networks, acquire logical thinking skills, and broaden their perspective. The Company will lend employees the money to pay their tuition, and employees who continue working at Mizuno for three years after obtaining their MBA will be exempt from paying back the money they were lent.
Performance	FY 2022—Employees newly pursuing an MBA: 1; number of employees who had already been pursuing an MBA since the year before: 2
System for helping employees attend external business schools [*d]	
Details	The system aims to help employees acquire logical thinking skills, which Mizuno considers to be basic skills needed in business, and also aims to help employees build networks and broaden their perspective. In general, the Company will pay half of the tuition. However, if employees complete their business schools with outstanding grades, the Company will pay the total amount of their tuition.
Performance	In FY 2022 as well, Mizuno had to refrain from sending its employees to external business schools due to the COVID-19 pandemic.
System for helping employees receive online English communication lessons [*d]	
Details	The system aims to help employees improve their English / Chinese communication skills through self-training. Employees will receive English communication lessons from native speakers of English online, and the Company will pay half of their tuition based on how often employees take English communication lessons.
Performance	FY 2022—number of employees who used this system: 111
System for helping employees take online video-based, business-related lessons [*d]	
Details	The system aims to help employees improve their knowledge related to business and also create an environment that encourages willingly learning about business. Employees will be able create an environment that will allow them to view business-related videos wherever they are whenever they want to online, and to encourage employees to willingly learn about business, the Company will pay the fees needed to do so.
Performance	FY 2022—number of employees who used this system: 71

*1 The data given above was gathered from Mizuno Corporation and Mizuno Technics.

*2 The data given above was gathered from Mizuno Corporation and a number of Mizuno Group subsidiaries in Japan.

Award incentive

Creator of the Year (COY)

Mizuno calls its sales representatives, including wholesale, corporate sales, and sports facilities sales representatives, who institute various measures to help clients resolve their issues "creators." Creators who greatly help promote the sales activities of any given year are given a Creator of the Year (COY) award to encourage other creators to follow their example. In FY 2022, four creators were given the COY award.

Mizuno award system

To motivate employees to work harder and help them grow, employees who produce good results any given year and thereby contribute to the growth of the Company are given awards at the Founding Effort Commemorative Ceremony. In FY 2022, awards were given to 107 projects (364 employees).

System for evaluating employees fairly

Mizuno's human resources evaluation system is not based on age or length of service. Instead, it is based on the following items: 1) ability demonstrated through daily efforts, 2) roles played, and 3) degree of contribution made to the Company's performance. In addition, to evaluate the ability of each employee and analyze their aptitudes from multiple perspectives, in FY 2017, Mizuno introduced a human resources assessment system. In evaluating employees' ability being demonstrated and performance, to ensure that they will be satisfied with their evaluation, employees are asked to meet with their supervisors before being evaluated. To ensure that evaluating employees will help them grow, Mizuno has employees meet with their supervisors after they receive their evaluations so that they can be provided with feedback.

Future issues to be addressed

Mizuno's human resources development and training program is a combination of OJT (daily work execution, transfer experience) and OFF-JT (education / training) as well as a personnel system (personnel evaluation / treatment, etc.). Through this program, Mizuno develops employee skills and improves organizational capabilities.

For managers, based on the personnel system revised in FY 2019, Mizuno will bring out their ability to autonomously broaden their horizons and take on new challenges by effectively operating the system that appropriately evaluates and treats them according to the size of their role and the degree of performance.

For general employees, based on a newly started system from the FY 2022, we will emphasize contributions according to individual aptitude, focusing on nurturing the strength that will be the source of competitiveness to bear the future.



Corporate Governance

Based on the corporate philosophy of "Contributing to society through the advancement of sporting goods and the promotion of sports" and our belief that the rationality and objectivity of management decisions and the swiftness and transparency of decision making are important to improve the corporate value of the Group, we strive to build and strengthen a corporate governance system that can realize them.

Please refer to [the Financial Report](#)  for details of our corporate governance.

Corporate governance system

With a resolution of the 103rd Ordinary General Meeting of Shareholders held on June 23, 2016, the corporate governance system has been transferred to a company with an audit and supervisory committee. Directors serving as Audit and Supervisory Committee members have voting rights on the Board of Directors and are expected to help improve the effectiveness of audits and supervision compared to corporate auditors. We believe that this leads to the enhancement of corporate governance.

Our Articles of Incorporation stipulate that the number of directors shall be seven or less (excluding directors serving as Audit and Supervisory Committee members) and that the number of directors serving as Audit and Supervisory Committee members shall be three or less. As of July 1, 2022, we have five directors (excluding directors serving as Audit and Supervisory Committee members) and three directors serving as Audit and Supervisory Committee members.

Of the five directors (excluding directors serving as Audit and Supervisory Committee members), four are directors who execute business, including the President (CEO), and one is an outside director.

When appointing nominees for the Board of Directors, we adhere to specific standards. Nominees should possess extensive knowledge and experience along with profound insights related to group management, and they must demonstrate the aptitude, character, and judgement appropriate for a directorial role. The process of selection also considers the balance of knowledge, experience, and specialty skills, while ensuring diversity within the Board of Directors.

Moreover, when it comes to external director nominees, Mizuno mandates compliance with our predefined standards and guidelines pertaining to independence.

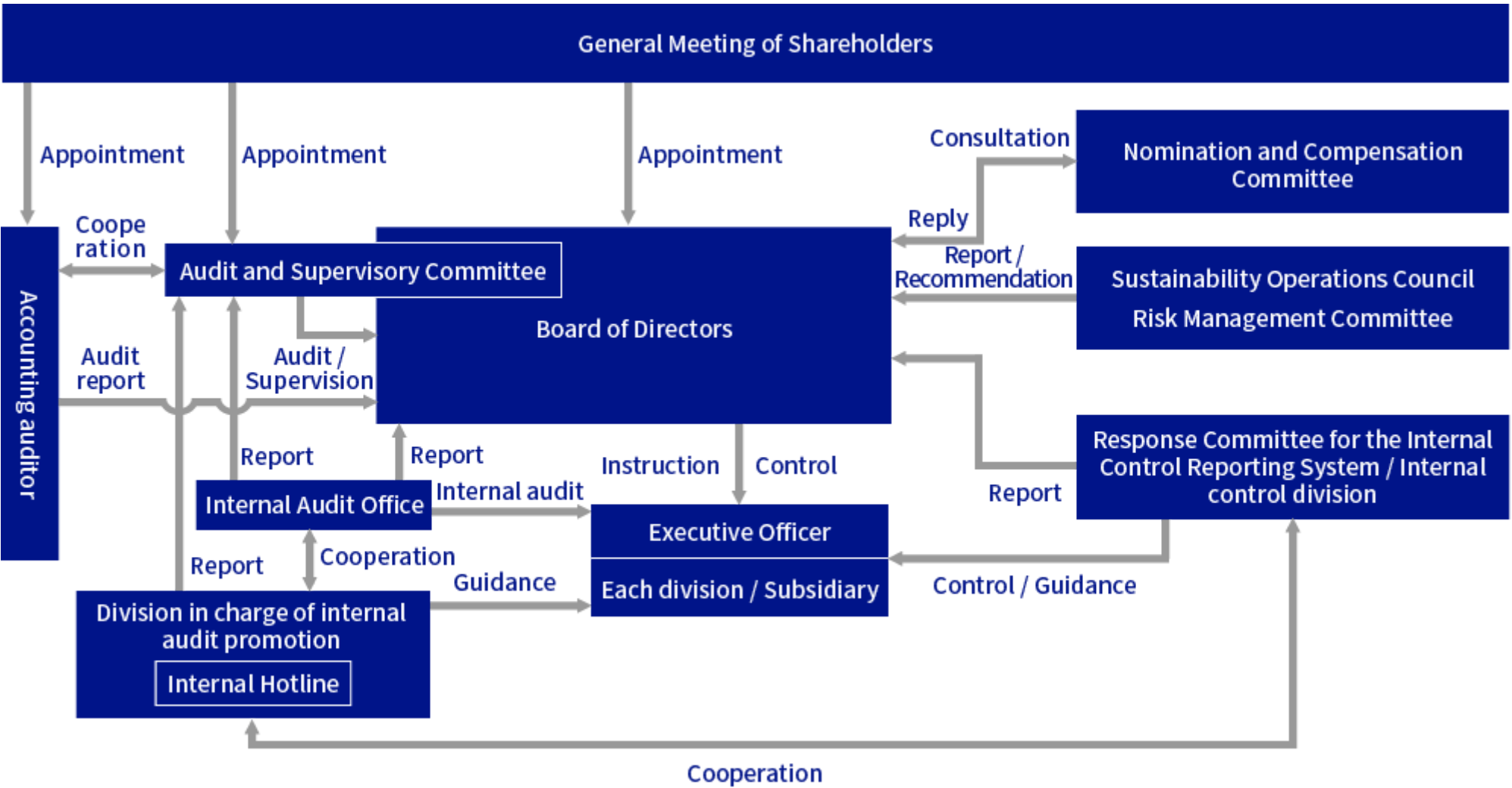
Of the three directors serving as Audit and Supervisory Committee members, one is a full-time Audit and Supervisory Committee member and two are part-time outside directors. The Audit and Supervisory Committee uses the internal control system to audit and supervise the status of business execution throughout the Group, including the execution of duties by directors. In addition, Audit and Supervisory Committee members work with accounting auditors to improve the efficiency of audits.

The Chairman of the Board of Directors is also the serving President (Representative Director) Outside directors are expected to express their opinions with an open mind from an objective and neutral standpoint at the Board of Directors meetings without being bound by industry practices and business relations. We believe that they help improve the rationality and transparency of decision making and management decisions of the Board of Directors. Currently, the ratio of outside directors on the Board of Directors is 37.5%.

Mizuno has in place the Nomination and Compensation Committee as a voluntary advisory body that is equivalent to nomination and compensation committees. The independence of this committee is ensured by the appointment of independent outside directors to constitute a majority of its members. With regard to the appointment of directors, the Board of Directors seeks advice on the candidates determined based on the aforementioned criteria. The Committee then deliberates on the suitability of the candidates in light of these standards and reports back to the Board of Directors.

We have also introduced an executive officer system. Under this system, the Board of Directors fulfills the function of strategy formulation and management supervision, and executive officers are responsible for business execution, thereby aiming to ensure management transparency and speed up decision making. Executive officers are in charge of each management area, including business divisions (products handled and sporting events), sales channels, sales areas (including overseas), and subsidiaries, and are responsible for business execution in their management area throughout the Mizuno Group.

Important issues discussed in the Sustainability Operations Council and the Risk Management Committee are reported to the Board of Directors. Furthermore, the progress of matters discussed and decided upon in the Board of Directors is supervised by the Board itself. For more details about the management structure related to sustainability, please refer to the ["Sustainability Operations Structure"](#).



Experience and Skills of the Directors

Please refer to "[Company Overview - List of Officers](#)" for a list of officers and their roles.

* For directors, you can view their profiles and reasons for appointment.

Please refer to the chart below for information on the skills (experience, expertise) possessed by directors and directors who are members of the Audit and Other Committees.

		Outside Director	Corporate Management	Brand Strategy & Marketing	Global Management	ESG	Finance & Accounting	Legal Affairs & Risk Management
Director	Akito Mizuno		●	●		●		
	Daisuke Fukumoto		●		●		●	
	Takeshi Shichijo		●	●	●			
	Osamu Sano		●	●	●			
	Kozo Kobashi	○	●			●		
Director Audit & Supervisory Committee member	Takuhei Hara					●		●
	Shunsaku Yamazoe	○	●					●
	Akiko Hosokawa	○				●	●	

Note: This does not encompass all the knowledge and experiences possessed by the directors.

Diversity of the Board of Directors

In order to have a Board of Directors capable of appropriate management supervision, we ensure a balance of knowledge, experience, and expertise, taking into account the diversity of the Board. In addition to internal directors, we have appointed several external directors, making the ratio of external directors more than one-third. By appointing external directors who bring more specialized perspectives and diversity, we further enhance the function of our Board of Directors. It should be noted that for external directors, we have set standards and policies regarding independence as requirements.



Analysis and Evaluation of the Effectiveness of the Board of Directors

We conduct a self-evaluation of the effectiveness of the Board of Directors through an anonymous questionnaire targeted at all directors. The results of this questionnaire are then analyzed and evaluated to ensure the overall effectiveness of the Board of Directors. The primary evaluation criteria are the composition of the Board of Directors, the culture of the Board, monitoring of agenda items and business execution by the Board, and the operations of the Board. Based on the results of the questionnaire, we have confirmed that we are generally able to ensure effectiveness.

In addition, the questionnaire collects perceived issues from each director, which are then used to improve the operation of subsequent Board meetings. Following the results of the questionnaire, we have increased our opportunities to discuss long-term growth strategies and managerial issues more than in previous periods.

Please note that we conduct the questionnaire annually, and we have achieved a participation rate of 100%.

Training of directors

With the aim of having directors appropriately fulfill their expected roles and duties, we provide and mediate opportunities for them to acquire the knowledge necessary to deepen their understanding of matters related to their roles and duties. Directors are mainly provided with the opportunity to attend workshops organized by third-party organizations, and their costs are borne by the company. When a new director is appointed, a briefing session is held by the Corporate Planning Office, the Global Human Resources & General Affairs Department, the Legal Affairs Office, and the Accounting and Finance Department so that the new director can acquire the necessary knowledge on the company's business, finance, organization, and other matters.

Status of internal audits and audits by the Audit and Supervisory Committee

The Internal Audit Office of Mizuno Corporation conducts internal audits of the Mizuno Group in cooperation with the legal division, the accounting and finance division, and the human resources and general affairs division, which collect information and conduct investigations. The Internal Audit Office conducts internal audits to ascertain the validity and legality of business execution and procedures and reports the audit results to executive directors in charge of internal control and the Board of Directors as needed. To ensure the effectiveness of the Audit and Supervisory Committee, the Board of Directors requests the Internal Audit Office to collect the necessary information and conduct investigations and closely cooperates with it by exchanging information and opinions.

For the purpose of grasping the status of development and operation of internal control, internal auditors attend meetings and inspect documents as appropriate and ask for explanations from the relevant divisions as needed to check the appropriateness of transactions and the decisions that are made in the process of transactions. Thus, we work to improve the effectiveness of internal audits.

Internal control system

Mizuno Corporation is involved in the development and operation of the internal control system of the Mizuno Group, including its subsidiaries, in accordance with the "system for ensuring the appropriateness of business" (basic policy on the development of the internal control system) established by a resolution of the Board of Directors. It has clarified that subsidiaries should perform their business activities and operate their risk management system under the same policy management as Mizuno Corporation.

In addition, to ensure the reliability of financial reports related to the consolidated financial results, the Response Committee for the Internal Control Reporting System, chaired by the executive director in charge of accounting and finance, develops, operates, and evaluates the internal control system across all organizations of the Mizuno Group based on the Internal Control Regulations.

To promptly announce information that should be disclosed in a timely manner, such as important facts related to the Mizuno Group, upon decision of the Board of Directors, the executive director in charge of accounting and finance thoroughly manages information as the person responsible for handling information. In particular, stock trading by officers and other insiders is tightly controlled through monitoring and is strictly supervised to prevent the occurrence of insider trading.

Executive compensation

Based on our basic policy on how to determine the compensation of officers or its calculation method, we have established a compensation system that can motivate directors (excluding Audit and Supervisory Committee members) to contribute to improving corporate value with the aim of appointing and securing talented human resources as managers. In this compensation system, we have ensured the transparency, fairness, rationality, and objectivity of the calculation method of compensation based on the average level of compensation at companies of the same size listed on the Prime Market of the Tokyo Stock Exchange in order to ensure accountability to stakeholders.

For the maximum amount of compensation for directors (excluding Audit and Supervisory Committee members), the amount of basic compensation and the amount of performance-linked compensation are determined by the Board of Directors within the range of compensation resolved at the 103rd Ordinary General Meeting of Shareholders, held on June 23, 2016, according to an examination and report by the Nomination and Compensation Committee, composed of a majority of independent officers.

For the maximum amount of stock-based compensation for directors (excluding Audit and Supervisory Committee members and outside directors), the amount of transfer-restricted stock-based compensation is determined by the Board of Directors within the range of compensation resolved at the 105th Ordinary General Meeting of Shareholders, held on June 21, 2018, according to an examination and report by the Nomination and Compensation Committee.

The defined amount of basic compensation for directors (Audit and Supervisory Committee members) is determined separately for full-time and part-time Audit and Supervisory Committee members with reference to the average level of compensation at companies of the same size listed on the Prime Market of the Tokyo Stock Exchange with the aim of appointing and securing human resources with a wide range of experience and deep insight who can submit useful proposals at the Board of Directors meetings and appropriately fulfill their duties in auditing and supervising the business execution of the Board of Directors.

For the maximum amount of compensation for directors (Audit and Supervisory Committee members), the amount of basic compensation is determined within the range resolved at the 103rd Ordinary General Meeting of Shareholders, held on June 23, 2016, by a resolution of the Audit and Supervisory Committee.

Risk management system

To clarify the responsibility system for risk management, we have established the Risk Management Committee, chaired by the President (CEO). The Risk Management Committee is responsible for identifying and evaluating all types of risks associated with business activities and overseeing risk management concerning the implementation of countermeasures and information disclosure throughout the Mizuno Group based on the Risk Management Regulations.

Each department and subsidiary of Mizuno Corporation conducts training and prepares manuals on risk management to ensure a system that can respond to various foreseeable risks in each field. We have also prepared the Crisis Management Manual, which explains how to foresee and respond to natural disasters, sabotage from outside the company, and fraud.

Meanwhile, matters concerning the short-, medium-, and long-term impacts of climate-related risks are placed on the agenda of the Risk Management Committee, which has been in charge of more specific discussions about those matters since FY 2021. For information about the identification, assessment, and management of climate-related risks, please refer to the TCFD Report.

Climate Change Strategy ["Disclosures in accordance with the TCFD recommendations"](#)



Materiality

Compliance / Anti-corruption

Basic Concepts

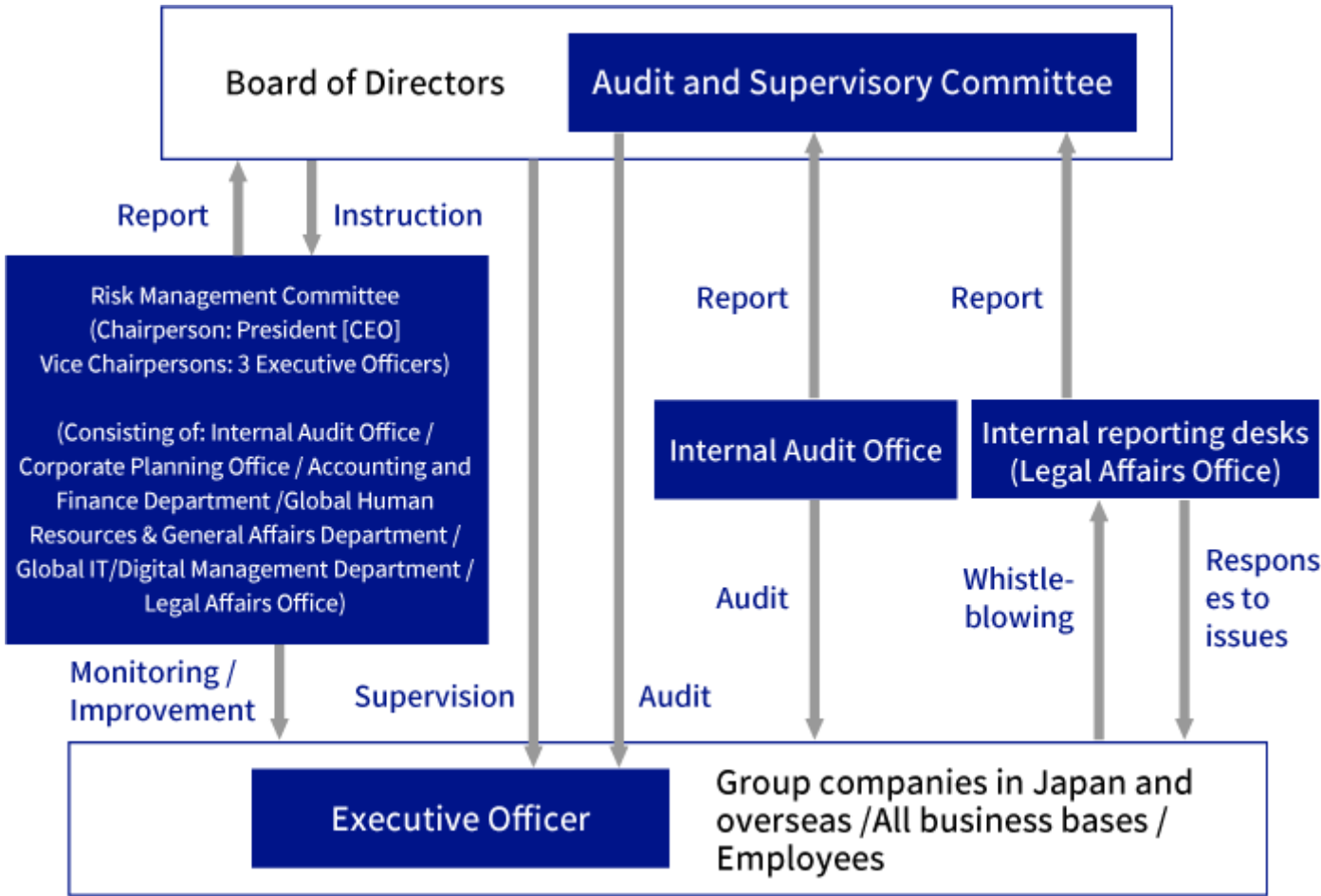
Based on the Mizuno Corporation Ethical Standards, we make company-wide efforts to ensure thorough compliance throughout the Group. We strive to prevent compliance issues by providing education to employees to deepen their understanding of laws and regulations. We have also established the whistle-blowing system to detect and resolve issues at an early stage.

In FY 2022, there were no cases of serious compliance violations, including anti-competitive behavior, or no cases subject to legal action.

Compliance Risk Management System

We have established the Risk Management Committee, chaired by the President (CEO), to implement management through which we regularly understand risks, including compliance violations, that affect our business and take remedial measures effectively and efficiently. We also audit business operations through the Internal Audit Office, and work to detect fraud and misconduct in an early stage and resolve issues as needed through the internal reporting desks.

Management system (As of 2022)



Operation system of the whistle-blowing system

We have established the Risk Management Committee, chaired by the President (CEO), to implement management through which we regularly understand risks, including compliance violations, that affect our business and take remedial measures effectively and efficiently. We also audit business operations through the Internal Audit Office, and work to detect fraud and misconduct in an early stage and resolve issues as needed through the internal reporting desks.

We operate three internal reporting desks under the whistle-blowing system to prevent and early detect misconduct, including legal violations, unethical behavior, and dishonest behavior, to improve the company's self-purification capability, and to ensure social trust.

1. Mizuno Fair Play Hotline
2. Compliance Hotline (Senoh Group)
3. Mizuno Global Hotline (for especially serious cases at overseas bases; The number of overseas bases covered by this system is planned to be gradually increased.)

Enhancement of employee awareness

Provision of compliance education

To ensure thorough compliance, it is essential to raise the understanding and awareness of individual employees. In FY 2022, we continued to provide compliance education [*b] as part of company-wide education to help employees acquire the basics of legal knowledge and mind related to business operations. We also provided education on legal matters to be noted by the planning and development division, the business division, and the other relevant divisions. We work to help employees acquire knowledge and awareness of compliance by providing regular compliance education.

Operation of the whistle-blowing system

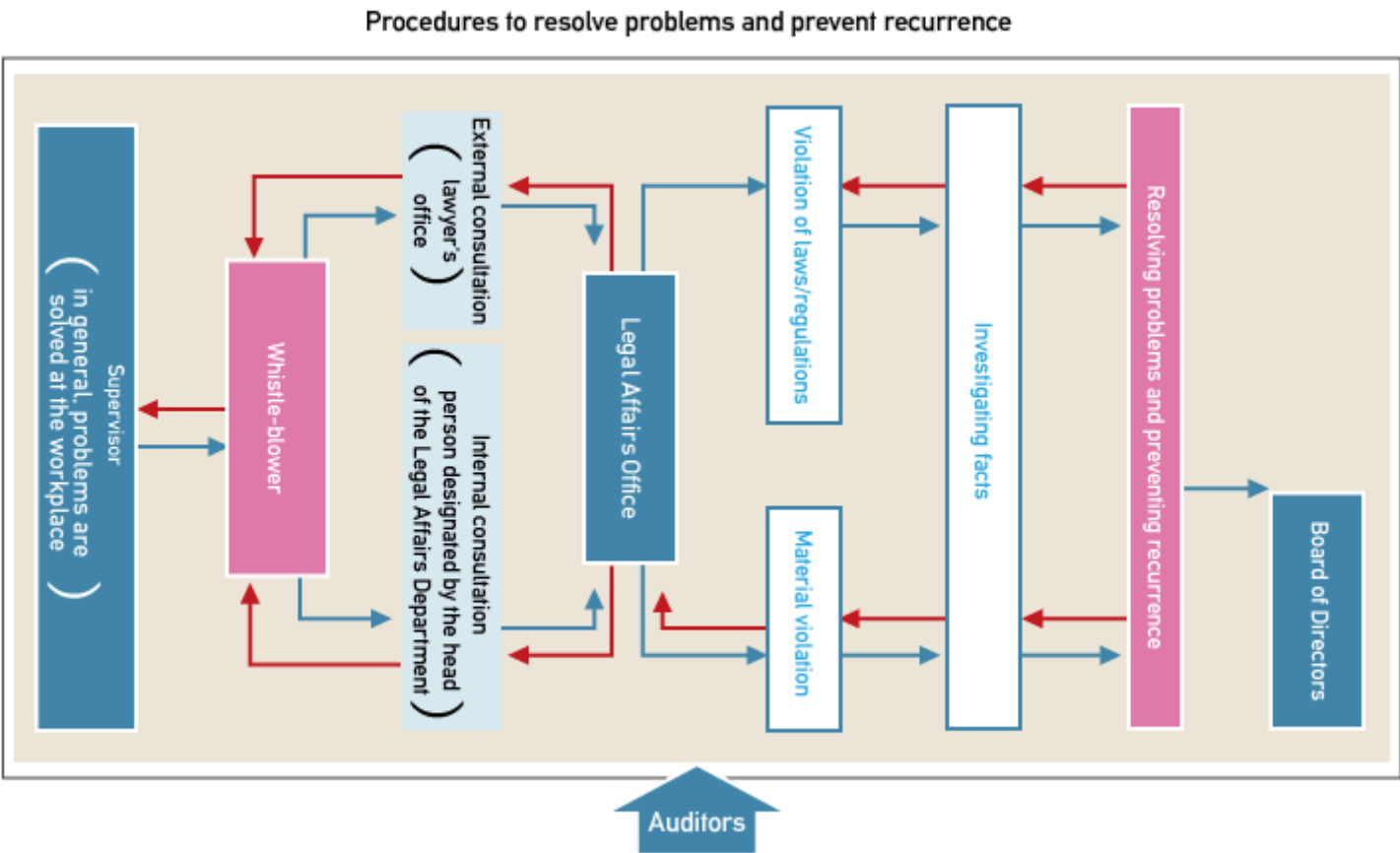
We operate the whistle-blowing system (Mizuno Fair Play Hotline [*c], Compliance Hotline*, etc.) to prevent and early detect misconduct, including legal violations, unethical behavior, and dishonest behavior, to improve the company's self-purification capability and to ensure social trust. We also continue to conduct an awareness survey to grasp the current status and issues of compliance and work to publicize the whistle-blowing system by providing company-wide education and distributing portable cards that contain detailed information on the internal reporting desks to all employees. Thus, we strive to provide a greater understanding of the system and improve its reliability so that we can detect and appropriately respond to compliance issues at an early stage.

Aside from the internal reporting desk established at each overseas base for overseas employees, we established a system in January 2020 that allows employees at some overseas bases to report especially serious compliance violations directly to the internal reporting desk of the Head Office of Mizuno Corporation (Mizuno Global Hotline). We plan to gradually increase the number of overseas bases covered by this system in the future.

Moreover, in line with the enforcement of the Amended Whistleblower Protection Act from June 2022, we have conducted a comprehensive review of the whistle-blowing system throughout the entire Mizuno Group. As part of this effort, we have also established a new external reporting channel. Additionally, we are implementing annual awareness campaigns for employees to ensure that the whistle-blowing system (Mizuno Fair Play Hotline / Harassment Hotline) is 100% recognized and understood by all Mizuno employees."

* Name of the whistle-blowing system in the Senoh Group

System for the Mizuno Fair Play Hotline (As pf 2022)



Usage status of the whistle-blowing system [*b]

Our investigation in FY 2022 found no serious compliance violations.

System for ensuring fair trade

Many suppliers and business partners, including small factories, are involved in the manufacture of our products. To build good relationships with business partners and ensure fair trade, we provide education to inform the employees of the relevant divisions of the Act against Delay in Payment of Subcontract Proceeds, etc. to Subcontractors (Subcontract Act). In addition, the Internal Audit Office continues to check whether our business transactions are fair to major business partners.

We also hold a CSR procurement briefing session for all relevant suppliers of our products prior to transactions to explain our approach to fair trade so that they will comply with the Mizuno CSR Procurement Regulations, which contain anti-corruption provisions. In addition, we regularly audit our suppliers to check for corruption in transactions.

In FY 2021, to ensure fair trade with suppliers of other companies' brand products and continue to sell high-quality and safe products to consumers, we reviewed the contracts with major suppliers (approximately 60 companies) as well as the internal operation flow at the time of purchasing new products. Through these efforts, we manage not only Mizuno products but also other brand products sold by us under better governance than before in terms of laws and regulations related to the environment and chemical substances and product quality.

Internal regulations on anti-corruption

We have recently worked to expand sales in B-to-B and global business. Meanwhile, many countries have tightened their crackdown on corruption, which may generally occur as a result of these business activities, and global companies are required to respond to such a crackdown. We therefore need to pay attention to the risk of corruption, including bribery of public officials, in our business activities.

Most recently, in January 2020, we established and put into effect the Anti-Bribery Rules for our group companies in Japan and overseas. We explained about the rules individually to the managers of overseas bases in a face-to-face manner and informed employees in Japan through an in-house training video that the rules had come into effect. In addition, we regularly provide compliance education, including anti-corruption education, to all employees in Japan once a year.

[Please click here for details of compliance education.](#)

Enhancement of compliance throughout the Group on a global scale

In order for us to further grow globally, it is necessary to enhance compliance throughout the Group on a global scale. Assuming that the following risks are compliance risks that may have a significant impact on our overseas business continuity and business performance, we are taking measures against these risks. In FY 2022, there were no cases subject to legal action regarding bribery throughout the Mizuno Group.

Major potential risks in overseas business

- Risk of fraud and misconduct by employees and related persons of overseas subsidiaries and agents and overseas business travelers
- Information leakage risk due to inadequate IT management and information security at overseas subsidiaries (especially risk related to compliance with the EU General Data Protection Regulation (GDPR) in Europe)
- Consideration for diversity and human rights (religion, race, etc.) in global product development

Major risk countermeasures

In FY 2022, we conducted a unified and comprehensive questionnaire survey for risk inventory targeting all domestic and overseas bases as well as domestic business establishments, including our operating facilities and stores, for the purpose of risk management on a global scale, and found no significant risk. From FY 2023 onward, we plan to continue this initiative while considering refining the survey method to make it more effective as needed.

Future issues to be addressed

In response to an increase in transactions with various business partners and the growing importance of information and evidence preservation and management for unexpected legal risks and dispute resolution, we will take the following measures:

- Provision of regular education to improve the basic ability of employees to respond legally
- Provision of education on contract management and preservation of evidence and creation of an education system
- Establishment of an information system / Introduction of forensic technology

In addition, we will take the following measures based on our policy that governance should be strengthened for global efforts toward a sustainable society.

- Expansion of the application of the whistle-blowing system to overseas bases
- Review of the CSR procurement audit system
- Reevaluating the legal reporting lines and information management systems on a global scale



Materiality

Protection of intellectual property

Basic Concepts

Section "6. Intellectual property" of the Mizuno Corporation Ethical Standards stipulates that "1) Implementing thorough measures for protecting intellectual property created by the company" and "2) Respecting all third party intellectual property and not infringing on the intellectual property rights of others." For our own intellectual property, we actively acquire and use intellectual property rights, including patents, utility models, designs, and trademarks, in Japan and overseas. We also strive to detect counterfeit products to ensure our brand value and user safety. For the intellectual property of others, we have established guidelines and various screening systems to prevent infringement on their intellectual property rights.

Protection of our own intellectual property

Encouragement of intellectual property acquisition

Mizuno, through its technological and design developments, strives to secure the technical superiority of its products by protecting the results with patents and designs. We also endeavor to strengthen our product brand by protecting the naming of goods and services with trademarks. To ensure such protection of intellectual property, we provide intellectual property education to employees involved in intellectual property, heightening their awareness towards the acquisition of rights.

Furthermore, we operate an invention incentive system, granting appropriate rewards to employees who have created patents, utility models, and designs. This promotes the active acquisition of patents and other rights, cultivating an environment where original product development continues. For the fiscal year 2022, the implementation award recognized 11 patents, and the registration award was presented to 26 patents and 13 designs.

Detection of counterfeit products

The sale of inferior counterfeit products of the Mizuno brand not only leads to the loss of the company's social credibility but also has a great impact on the safety of users, including causing an accident.

We have requested a crackdown on counterfeit products at customs, and in the countries where such products are sold, we collect information in cooperation with our subsidiaries at each overseas base and conduct investigations to detect counterfeit products as needed. Recently, in response to changes in commercial transactions, including an increase in internet sales, we have continued to investigate the sales status of counterfeit products on major global e-commerce and social networking sites and to take measures, including requiring the suspension of listing of counterfeit products. In FY 2022, we requested the deletion of more than 1,900 counterfeit products listed on sales websites.

Respect for the intellectual property of others

System for respecting the intellectual property of others

We conduct business activities that utilize a variety of intellectual properties, including brands, designs, patents, and portraits of famous athletes. In order not to use the intellectual property of others without permission at any stage, from development to sales, we established the Guidelines on Intellectual Properties Managed by Mizuno (Intellectual Property Guidelines) in August 2008 and posted the Mizuno Design Order Guidelines on our website in 2016. Through this, we ensure that the importance of intellectual property rights is understood by employees. We also ask our business partners to understand their importance and comply with intellectual property rights rules.

For advertising materials as well as products, we have established a system for conducting a preliminary check on compliance with various rights, including portrait rights and trademark rights, and with the Act against Unjustifiable Premiums and Misleading Presentations and other laws and regulations so that we will not commit any violations. We have established and operate a system in which all advertising materials, including magazine advertisements, web advertisements, and storefront posters, should be approved on the database by the evaluation and judgment division before being released to the public.

As we venture into new product fields, we exercise increased caution regarding others' technical rights. We conduct checks during the design review stage of planning and development to avoid any infringements. In fiscal year 2022, there were no instances of violation regarding marketing communication regulations or voluntary standards.

Future issues to be addressed

- We will continue to share values on intellectual property among all employees by further making them realize how our intellectual property is involved in business activities, thereby raising their interest in intellectual property. We believe that this will lead to the effective protection of our intellectual property.
- We will expand the scope of investigation on the sales status of counterfeit products on e-commerce sites to grasp the situation in Southeast Asian countries, where our brand exposure is increasing strategically, and take measures, including requiring the suspension of shipment of counterfeit products.



Materiality

Protection of personal information

Basic Concepts

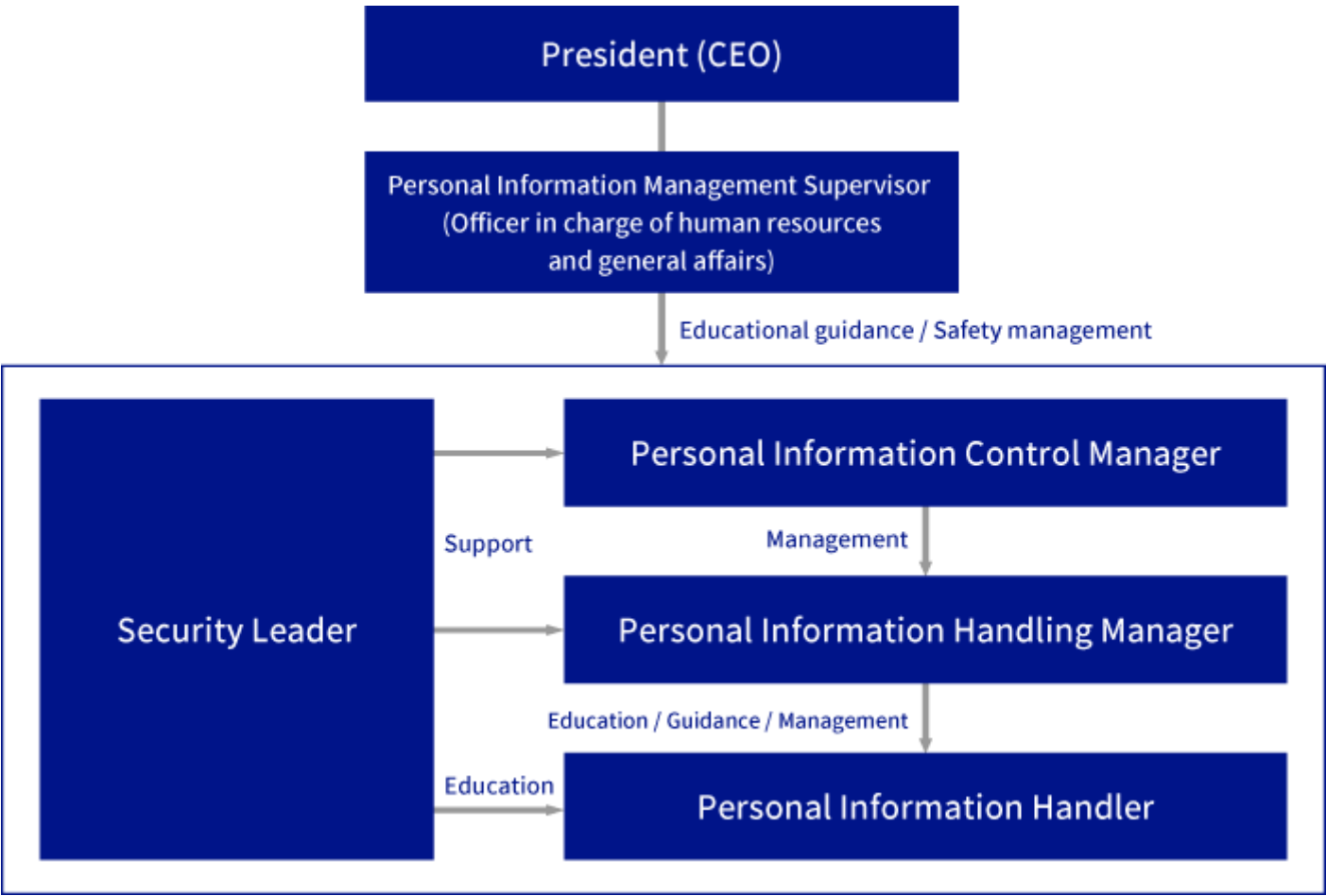
Positioning the information security management policy (security policy) as an important management issue, we have formulated basic policies and measures for information security in general and have continued to manage and operate them.

In particular, strongly recognizing the importance of the protection of personal information, we have established personal information protection regulations to strictly manage information and prevent its leakage outside of the company. The officer in charge of human resources and general affairs oversees the management of personal information and takes measures to ensure proper management, including providing educational training to the staff who handle personal information, implementing safety measures, and updating the inventory of personal information.

System for personal information protection

We manage a considerable amount of personal and sensitive data collected through hosting sports events, operating sports facilities, and conducting experiments by our research and development department. We are dedicated to establishing systems that prevent significant incidents from arising due to mishandling of this information. In the fiscal year of 2022, there were no serious breaches involving infringement of customer privacy or loss of customer data from our company group.

Structure



Future issues to be addressed

Amid the tightening of global regulations on and growing global interest in the use of information assets, including personal information, the Mizuno Group will refine its information strategy in group management to make it more responsive to changes and will rebuild the way we use information more appropriately. Specific efforts are as follows:

- Strengthening and systemizing our compliance with the General Data Protection Regulation (GDPR) in Europe
- Expanding these efforts horizontally to other regions
- Implementing more secure cloud services to prevent unauthorized access
- Implementing more advanced security measures across the global group
- Building a system that can prevent security risks in internal and external systems in advance, and can respond instantly in the event of an incident



Environment

Energy consumption [*b]

		Unit	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Scope1	City gas	1,000m ³	31	30	26	32	47
	LP gas	t	78	83	85	86	74
	Heavy oil	kl	93	92	93	103	84
	Kerosene	kl	38	34	29	33	32
	Kerosene	kl	658	617	455	527	548
	Light oil	kl	156	151	111	111	125
Scope2	Electricity	1,000kWh	10,361	10,009	9,378	9,348	9,456
	Heat	GJ	10,025	9,998	10,568	10,815	11,989

Energy-derived CO₂ emissions [*a]

Unit	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
t-CO ₂	16,350	15,712	14,262	14,537	14,326
Intensity*2	9.18	9.26	9.48	8.42	6.76

* Emission Factor: We use the nationwide average factor of electric power companies, 0.000435 (t-CO₂/kWh).

Energy-derived CO₂ emissions by country [*a]

(Unit:t-CO ₂)	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Japan	8,900	8,597	7,787	8,004	8,162
US	4,274	4,269	3,902	3,752	3,494
Canada	205	191	129	139	153
UK	538	505	447	434	403
France	155	101	103	123	82
Netherlands	-	-	126	126	123
Germany	151	130	101	93	115



(Unit:t-CO ₂)	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Italy	80	80	53	79	94
China (factory)	1,337	1,216	1,049	1,232	1,143
China	86	46	39	42	39
Taiwan	187	181	176	173	169
Hong Kong	78	64	54	31	35
South Korea	183	175	158	178	176
Singapore	32	33	26	26	25
Thailand	34	28	24	18	21
Australia	110	98	89	86	92
Total	16,350	15,714	14,262	14,537	14,326

＊ The total may not add up exactly because the digits after the decimal point for each country have been rounded.

Water intake by water source [*b]

	Unit	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Water pipe and water supply facility	1,000m ³	36.5	35.6	28.5	32.1	32.9
Groundwater	1,000m ³	9.8	8.1	7.5	6.4	9.8
Total water intake	1,000m ³	46.3	43.7	36.0	38.5	42.7

Effluent [*b]

	Unit	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Total effluent	1,000m ³	46.3	43.7	36.0	38.5	42.7

Toluene emissions [*e]

	Unit	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Toluene emissions	kg	1,114	762	686	1,085	1,293

[*e] Calculated based on data from manufacturing bases in Japan (with Senoh Group bases not included until FY 2020, Senoh Group bases are included after FY 2021.)

Emissions of substances subject to the PRTR law [*e]

	Unit	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Emissions	kg	2,487	2,017	1,706	3,364	3,640

* Since Mizuno limits the use of substances subject to the Act on the Assessment of Releases of Specified Chemical Substances in the Environment and the Promotion of Management Improvement (known as the Pollutant Release and Transfer Register [PRTR] Law) to its own factories, the amount of such substances transported is 0 kg each year.

Emissions of main substances subject to the PRTR law

Emissions of main substances subject to the PRTR law	Unit	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Ethylbenzen	kg	69	30	100	130	296
Dichloromethane	kg	11	6	0	20	6
Phenol	kg	34	64	25	56	43
Toluene	kg	1,114	762	686	1,085	1,293
Styrene	kg	5	4	12	39	4
Xylene	kg	112	71	141	203	379
MIBK	kg	31	48	51	0	0
n Hexane	kg	219	199	136	443	98
Trimethylbenzene	kg	25	2	0	62	124
Methyl methacrylat	kg	415	563	374	532	645
2 Aminoethanol	kg	284	70	8	8	17
N, N, -Dimethylformamide	kg	42	49	28	40	51
Trichlorethylene	kg	50	74	39	83	66

* [*e] Calculations are based on data gathered from domestic manufacturing bases (excluding the Senoh Group)

Gross weight of industrial waste [*b]

	Unit	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Industrial waste	t	441.1	507.4	574.4	857.1	481.4
General waste	t	44.3	52.4	37.3	54.1	42.8
Total	t	485.4	559.8	611.7	911.2	524.2

* Waste generated by Mizuno did not contain any substances defined as hazardous in the Basel Convention.

Gross weight of waste by treatment method being adopted at Mizuno’s domestic manufacturing bases (four factories) and waste sold as valuables [*e]

		Unit	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Industrial waste	Incinerated; landfilled	t	0.46	0.61	2.99	0.21	0.16
	Recycled	t	68.31	86.51	67.75	82.85	104.85
	Total industrial waste	t	68.77	87.12	70.74	83.06	105.01
General waste	Incinerated	t	40.32	8.45	6.17	6.23	7.13
	Landfilled	t	0.00	0.00	0.00	0.00	0.00
	Recycled	t	0.00	0.00	0.00	0.00	0.00
	Total general waste	t	40.32	8.45	6.17	6.23	7.13
Valuables	Reused	t	3.18	2.99	0.25	20.3	3.32
	Recycled	t	137.13	117.80	95.54	111.91	122.45
	Total valuables	t	140.31	120.79	95.79	132.22	125.76
Total amount of emissions		t	249.40	216.36	172.70	221.51	237.90

[*e] Calculations are based on data gathered from domestic manufacturing bases (excluding the Senoh Group)

Environmental accounting

Environmental protection costs

In FY 2022, Mizuno’s environmental protection costs have an increase of approximately 80 million yen from the previous year, bringing the total investment to 182.8 million yen. The expenses increased by 20 million yen from the previous year, amounting to 162.21 million yen. Just as in the previous fiscal year, the FY 2022 investments were mainly made in installing LED lights and switching to energy-saving air conditioners. The environmental protection expenses primarily comprised the cost of research and development in materials and processes that would help reduce the environmental impact of manufacturing processes and that of managing EMS activities.

Environmental protection costs incurred in FY 2022 [*b]

Unit (ten thousand yen)

Categories of environmental protection costs		Main efforts	Performance in FY 2022	
			Amount invested	Expenses
(1) Business area costs			10,828	8,179
	(1)-1 Pollution prevention costs	Inspection, examination, and analysis costs	58	763
	(1)-2 World environment protection costs	Costs incurred for installing energy-saving equipment	10,770	2,854
	(1)-3 Resource circulation costs	Recycling waste and using recycled material	0	4,562
(2) Upstream and downstream costs		Costs for outsourcing product recycling and green procurement costs	0	931
(3) Management activity costs		ISO 14001 management costs, external communication costs, and environmental advertising costs	35	2,777
(4) Research and development costs		Costs for conducting research into the development of environmentally friendly products	0	4,169
(5) Social activity costs		Costs incurred for cleaning up the streets surrounding offices and donating money to the Dongurinokai association	0	165
(6) Costs incurred for paying for environmental damage			0	0
(7) Other environmental protection costs			0	0
Total			10,863	16,221

Effectiveness of environmental protection measures

Effectiveness of environmental protection measures taken in FY 2022 [*b]
Reduction (physical effect)

Environmental aspects		Unit	Performance in FY 2021	Performance in FY 2022	Reduction	Compared to the previous year
Energy and resource conservation	Energy and resource conservation	1,000kWh	9,348	9,456	-108	101.2%
	City gas	1,000m ³	32	47	-15	146.9%
	Gasoline; light oil	kl	637	673	-36	105.7%
	Kerosene	kl	33	32	1	97.0%
	Heavy oil	kl	103	84	19	81.6%
	Water supply	m ³	39	84	19	81.6%
Amount of incinerated general waste		t	54	33	6	85.7%
Industrial waste emissions		t	857	43	11	79.6%
				481	376	56.1%

The FY 2022 data were gathered between April 2022 and March 2023.

Reduction (monetary effect)

Unit (ten thousand yen)

Environmental aspects	Performance in FY 2021	Performance in FY 2022	Reduction	Compared to the previous
Electricity, gas, gasoline, light oil, kerosene, heavy oil, and water supply bills	41,137	51,232	-10,095	124.5%

The FY 2022 data were gathered between April 2022 and March 2023.





Social

Breakdown of Tier 1 suppliers

		No. of suppliers		Procurement amount ratio
Procurement amount ratio		509	100%	100%
By category	Apparel	279	55%	35%
	Shoes	27	5%	41%
	Equipment	203	40%	24%
By country / region	Japan	125	25%	12%
	China	227	45%	30%
	South Korea	17	3%	1%
	Taiwan	25	5%	1%
	Indonesia	19	4%	3%
	Vietnam	50	10%	41%
	Thailand	10	2%	5%
	The Philippines	4	1%	1%
	Myanmar	9	2%	1%
	Cambodia	10	2%	4%
	Others	13	3%	1%

Status of important suppliers (Tier 1 suppliers)

Number of important suppliers	148
Percentage of important suppliers among all Tier 1 suppliers	29%
Percentage of the procurement amount from important suppliers in the total procurement amount	76%
Percentage of important suppliers to which Mizuno is a major customer*	53%

* When the value of transactions with Mizuno accounts for at least 30% of the amount of orders received by the relevant supplier

Implementation status of CSR audits in FY 2022

	Country No. of suppliers*1	No. of important suppliers	No. of audits conducted in FY 2019 (reference)	No. of audits conducted in FY 2020	No. of audits conducted in FY 2021*2	No. of audits conducted in FY 2022*2
Japan	125	49	2	1	5	9
China	227	43	12	13	9	20
South Korea	17	0	0	0	0	0
Taiwan	25	4	0	0	0	0
Indonesia	19	9	3	1	0	5
Vietnam	50	23	8	6	1	10
Thailand	10	5	2	1	0	4
The Philippines	4	3	2	0	0	3
Myanmar	9	5	2	0	0	3
Cambodia	10	4	0	1	0	1
Others	13	3	0	0	2	1
Total	509	148	31	9	17	57

*1: As of April 2022. The conditions for CSR auditing have been changed since FY 2016.

*2: A CSR audit of main factories is conducted on a three-year cycle.

*3: Including a CSR audit of new candidate supplier factories before the commencement of business.

Corrective action status for non-conformities

Total	273	100%
Corrected	84	31%
Non-corrected	189	69%

Status of corrective actions as of March 31, 2023 for non-conformities identified in critical and major audit items in the FY 2022 CSR audits

Number of calls by content

	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Inquiries about products	12,885	11,652	13,948	14,265	14,339
Other inquiries	4,715	4,585	14,357	7,327	5,987
Complaints about products	3,394	3,521	2,340	2,668	2,574
Catalogue requests	2,205	2,068	2,303	2,500	2,153
Inquiries about shops	2,353	1,885	1,595	1,916	1,447
Inquiries about repairs	2,570	2,052	1,513	1,733	1,827
Purchase	783	729	1,230	797	889
Complaints about services	251	200	358	384	786
Inquiries	2,718	2,527	337	296	228
Request (included in "Inquiries" until FY 2020)	-	-	175	161	307
Total	31,874	29,219	38,156	32,047	30,537

Number of calls by Sport Discipline

	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Outdoor	3,186	2,802	2,757	5,785	3,620
Baseball	5,033	4,897	4,172	4,579	5,268
Track and field and running and sportswear	3,956	3,415	2,924	3,658	2,967
Golf	3,605	3,677	3,268	3,361	3,097
Walking and fitness	1,947	1,654	1,495	1,626	1,911
Racket Sports	1,481	1,376	1,028	1,145	1,160
Swimming	1,952	1,480	964	1,127	1,264
Football	869	1,233	798	868	1,148
Other	9,845	8,685	20,246	9,898	10,102
Total	31,874	29,219	38,156	32,047	30,537

Mizuno’s employment status [*d]* (some people [*a])

		FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Employees (no. of people)	Male	1,138	1,105	1,101	1,076	1,025
	Female	434	450	449	454	460
	Total No.	1,572	1,555	1,550	1,530	1,485
Average age (years old)	Male	45.1	45.1	45.1	44.3	44.4
	Female	39.9	40.6	41.0	41.1	41.3
	Total	43.7	43.8	43.9	43.4	43.4
Average length of service (years)	Male	21.3	21.0	20.8	20.3	20.1
	Female	16.7	17.2	17.6	18.1	18.1
	Total	20.0	19.9	19.9	19.6	19.5
Turnover (no. of people)	Male	24	23	10	21	28
	Female	12	16	11	15	10
	Total No.	36	39	21	36	38
New graduate employees (no. of people)	Male	23	22	11	16	24
	Female	13	12	8	9	21
	Total No.	36	34	19	25	45
Mid-career recruitment (no. of people)	Male	11	19	18	28	39
	Female	9	8	2	5	19
	Total No.	20	27	20	33	58
International employees (parent company; no. of people)	Total No.	5	6	6	8	7
International employees (consolidated; no. of people) [*a]	Total No.	2,091	1,455	1,455	1,405	1,449
Temporary employees (no. of people)	Total No.	374	349	388	473	438
Physically challenged employees (no. of people)	Total No.	34	34	34	30	32

* Calculations are based on data on full-time employees.



Employees’ ages [*d]*

	Total	Male	Female
Younger than 30 (no. of people)	180	110	70
30 to 39 (no. of people)	388	249	139
40 to 49 (no. of people)	339	229	110
50 to 59 (no. of people)	577	436	141
60 or older (no. of people)	1	1	0

* Calculations are based on data on full-time employees.

Work hours; overtime work hours [*d]*

	Unit
Annual work hours per employee	1,840 hours / year
Monthly average overtime work hours per employee	6.6 hours / month
Monthly average overtime work payment per employee	23,764 yen / month

* Calculations are based on data on full-time employees.

Annual paid holiday usage status [*d]

	Unit	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Number of annual paid holidays available	Days	18.9	18.9	19.0	18.9	18.8
Number of annual paid holidays taken	Days	9.9	10.8	8.2	10.2	10.9
Usage rate	%	52.4	56.6	43.6	53.9	58.0

Number of employees who took childbirth / childcare leave and number of people who returned to Mizuno after once leaving [*d]

		FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Number of employees who took childcare leave (no. of people)	Male	4	1	11	10	12
	Female	27	37	53	57	59
Percentage of employees who took childcare leave (percentage)	Male	10	10	12	12	27
	Female	100	100	100	100	100
Percentage of people who returned to Mizuno after once leaving (percentage)	Male	100	100	100	100	100
	Female	94	100	100	100	100
Retention rate (percentage)	Male	100	100	100	90	94
	Female	100	100	100	94	97

Number of industrial accidents [*d] Mizuno Corporation (parent company)

	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Number of industrial accidents (no. of accidents)	11	11	8	9	10
Deaths due to industrial accidents (no. of deaths)	0	0	0	0	0
Frequency rate* ¹	1.75	1.92	1.58	2.14	2.03
Severity rate* ²	0.006	0.005	0.002	0.002	0.094

Female employee rates and female manager rates [*c]

	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Female employee rates (percentage)	27.4	28.0	27.6	28.9	29.7
Female manager rates (percentage)	8.1	8.3	6.3	5.4	5.2



(Reference) Mizuno Corporation (parent company) [*d]

	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Female employee rates (percentage)	27.5	28.9	29.0	29.7	30.9
Female manager rates (percentage)	5.5	5.5	5.2	5.7	5.9

FY 2022—percentage of employees who have received human resources evaluation [*c]

	Target person	Percentage
Male	Full-time, contract, part-time, and temporary employees	100%
Female	Full-time, contract, part-time, and temporary employees	100%



Governance

Executive compensation

Unit (million yen)

	Total amount of compensation, etc.	Total amount of compensation, etc. by type			No. of target persons(person[s])
		Basic compensation	Performance-linked compensation	Transfer-restricted stock-based compensation	
Directors (excluding Audit and Supervisory Committee members) (Figure especially for outside directors)	319 (8)	155 (8)	141 (-)	21 (-)	7 (1)
Directors (Audit and Supervisory Committee members) (Figure especially for outside directors)	35 (16)	35 (16)	- (-)	- (-)	4 (2)
Total (Figure especially for outside directors)	354 (24)	190 (24)	141 (-)	21 (-)	11 (3)

Provision of compliance education

Name of training program	Details	Target person	No. of participants
New employee training	社Basic legal knowledge to be recognized by employees as members of society and the staff of Mizuno	New employees (full-time employees of the Group) [*b]	40
Compliance education	Report on our activities for fair business practices and anti-corruption and reconfirmation of the Mizuno Corporation Ethical Standards	All employees [*b]	Approx. 3,000
Whistle-blowing education	Provision of information on the whistle-blowing system (publicity activity) or report on their implementation status (feedback activity)	All employees [*b]	Approx. 3,000
Harassment prevention education	Correct knowledge about preventing harassment and dissemination of information on the Harassment Hotline	All employees [*b]	Approx. 3,000
Personal information protection education	Dissemination of personal information protection rules to individual employees and taking inventory of personal information managed by them	All employees [*b]	Approx. 3,000

Usage status of the whistle-blowing system[*b]

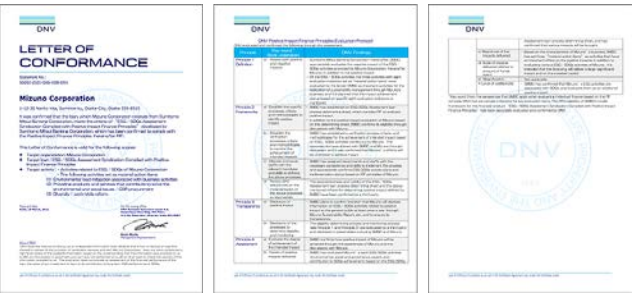
		Breakdown of contents		
(FY)	Total No.	Environment	Human Rights	Governance / Compliance
2018	6	0	2	4
2019	17	0	8	9
2020	11	0	5	6
2021	8	0	5	3
2022	8	0	3	5



How Mizuno is evaluated by external reviewers

Evaluation of activities relating to ESG / SDGs

Mizuno concluded a loan contract with Sumitomo Mitsui Banking Corporation after being evaluated positively regarding its ESG activity, information disclosure, and business aimed at helping achieve the UN’s SDGs based on Sumitomo Mitsui Banking Corporation’s Positive Impact Finance-Based, Principle Compliance-type ESG / SDGs Syndicated Loan Program. The Positive Impact Finance-Based, Principle Compliance-type ESG / SDGs Syndicated Loan Program does not only evaluate companies based on Sumitomo Mitsui Banking Corporation’s own evaluation standards for evaluating ESG / SDGs but also complies with the principles for positive impact finance of DNV BUSINESS ASSURANCE JAPAN K.K., which is an independent third-party body. The principles for positive impact finance aim to promote the idea of increasing the positive impact that finance can have on the world while decreasing its negative impact, and they were developed by the United Nations Environment Program - Finance Initiative (UNEP FI) in January 2017.



Conformity letter issued by DNV

[To view the conformity letter issued by DNV, please click here.](#)

Evaluation of Mizuno’s system for helping employees improve their health

In recognition of its system for helping employees improve their health, Mizuno has been recognized among the outstanding large enterprises ("White 500" enterprises) in the 2023 Health and Productivity Management certification program of the Japanese Ministry of Economy, Trade and Industry. Mizuno has also been rated as Bronze+ for its certification for consecutive years in the Sports Yell Company 2023 program of the Japan Sports Agency.





Reporting Policy

Reporting Policy

Mizuno maintains transparency on information regarding the Mizuno Group’s environmental and social impact and explains the Mizuno Group’s sustainability activities to stakeholders through the Sustainability Report.

Reporting Scope of Organization

In principle, the Mizuno Group (Mizuno Headquarters and domestic/overseas group companies) is our target. But as the target organization differs according to data and descriptions of entry contents, the report target organization is indicated by the letters below in each part of the report.

[*a]	Mizuno Group (Domestic / Overseas)
[*b]	Mizuno Group (Domestic)
[*c]	Mizuno Group, Domestic (Excluding the Senoh Group and Sharp Sangyo Co., Ltd.)
[*d]	Mizuno Corporation (Non-consolidated)
[*e]	Others : Described individually

[For the countries in which we operate, please visit at "Global Office Locator ".](#)

Please refer to the link below for the sites covered by this sustainability report.
Link: (<https://corp.mizuno.com/sites/corp/files/ir/2022-11/109th%20Annual%20Securities%20Report.pdf> )

Report Target Period

Although focusing on activities during FY 2022 (April 1, 2022 to March 31, 2023), some activities from the previous and most recent activity reports are included.

Publication date

July 2023 (Previous: July 2022; Next: Scheduled for July 2024)

Reference Guidelines

- GRI (Global Reporting Initiative) Sustainability Reporting Standard 2021
- Ministry of Environment 「Environmental Reporting Guideline 2018 edition」

External Assurance

As of June 2023, Mizuno had not obtained external assurance on the contents of the Sustainability Report. However, it will consider it in the future.

In order to ensure a higher level of transparency and reliability while disclosing information on environmental data, Mizuno has obtained third-party assurance for the Japanese version of environmental data for FY2022 with this report from SGS Japan Inc.

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GRI content index

GRI 2: General Disclosures 2021

GRI Standard	Disclosure		Place of publication
1. The Organization and its reporting practices	2-1	Organization details	Corporate Information > Company Profile Reporting > Reporting Policy Corporate Information > Global Office Locator
	2-2	Entities included in the organization’s sustainability report	Corporate Information > Global Office Locator Reporting > Reporting Policy
	2-3	Reporting period, frequency and contact point	Reporting > Reporting Policy
	2-4	Restatements of information	
	2-5	External assurance	Reporting > Reporting Policy
2. Activities and workers	2-6	Activities, value chains and other business relationships	Society > Respect for Human Rights Society > Supply Chain Management ESG Data > Society Securities Report (Fiscal Year Ending March 2023) -Part 1-2-2 [Business Risks], Part 1-2-4 [Important Management Contracts] 
	2-7	Employee	Society > Improving the Value of Human Resources ESG Data > Society Annual Securities Report (Fiscal Year Ending March 2023) - Part 1 - Part 1 [Status of Employees] 
	2-8	Workers who are not employees	Society > Enhancement of Human Capital Value ESG Data > Society Annual Securities Report (Fiscal Year Ending March 2023) - Part 1 - Part 1 [Status of Employees] 

GRI Standard	Disclosure		Place of publication
3. Governance	2-9	Governance structure and composition	Governance > Corporate Governance Management and Sustainability Strategy > Sustainability Operations Structure Corporate Information > List of Officers  Notice of Convocation of the 109th Ordinary General Meeting of Shareholders  Annual Securities Report (Fiscal Year Ending March 2023) - Part 1 - Part 4-4 [Status of Corporate Governance, etc.] 
	2-10	Nomination and election at the highest governance body	Governance > Corporate Governance
	2-11	Chair of the highest governance body	Governance > Corporate Governance
	2-12	Role of highest governance body in overseeing the management of impacts	Governance > Corporate Governance Management and Sustainability Strategy > Sustainability Operations Structure Annual Securities Report (Fiscal Year Ending March 2023) - Part 1 - Part 4-4 [Status of Corporate Governance, etc.] 
	2-13	Delegation of responsibility for management impacts	Management and Sustainability Strategy > Sustainability Operations Structure
	2-14	Role of highest governance body in sustainability reporting	Management and Sustainability Strategy > Sustainability Operations Structure
	2-15	Conflicts of interest	Annual Securities Report (Fiscal Year Ending March 2023) - Part 1 - Part 4-4 [Status of Corporate Governance, etc.] 
	2-16	Communication of critical concerns	Management and Sustainability Strategy > Sustainability Operations Structure
	2-17	Collective knowledge of the highest governance body	Governance > Corporate Governance
	2-18	Evaluation of the performance of the highest governance body	Governance > Corporate Governance
	2-19	Remuneration policies	Governance > Corporate Governance
	2-20	Process to determine remuneration	Governance > Corporate Governance Annual Securities Report (Fiscal Year Ending March 2023) - Part 1 - Part 4-4 [Status of Corporate Governance, etc.] 
	2-21	Annual total compensation ratio	

GRI Standard	Disclosure		Place of publication
4. Strategy, policies and practices	2-22	Statement on sustainable development strategy	top message
	2-23	Policy commitments	Society > Respect for Human Rights Society > Supply Chain Management
	2-24	Embedding policy commitments	Society > Respect for Human Rights Society > Supply Chain Management
	2-25	Processes to remediate negative impacts	Society > Supply Chain Management
	2-26	Mechanisms for seeking advice and raising concerns	Materiality > Responsible Business Practices Governance > Compliance/Anti-Corruption
	2-27	Compliance with laws and regulations	Environment > Environmental Management System Governance > Compliance/Anti-Corruption Governance > Protection of Personal Information
	2-28	Membership associations	Management and Sustainability Strategy > Stakeholder Engagement
5. Stakeholder engagement	2-29	Approach to stakeholder engagement	Management and Sustainability Strategy > Stakeholder Engagement
	2-30	Collective bargaining agreements	Society > Improving the value of human resources

GRI 3: Material Topics 2021

GRI Standard	Disclosure		Place of publication
Disclosures on material topics	3-1	Process to determine material topics	Materiality > Materiality Identification Process
	3-2	List of material topics	Materiality > Materiality Identification Process
	3-3	Management of material topics	Materiality > Identified materiality Materiality > Contributing to the multi-dimensional values of sports Materiality > Contribution to Solving Social Issues Materiality > Responsible procurement with due respect human rights Materiality > Responsibility for global environment issues throughout the products Materiality > Responsible Business Practices Materiality > Responsibility for Safe and High-Quality Products

Itemized Standard Economy

Identified material items are shaded in light blue.

GRI Standard	Disclosure		Place of publication
201: Economic Performance 2016	201-1	Direct economic value created and distributed	
	201-2	Financial implications and other risks and opportunities of climate change	Climate Change Strategy > Information Disclosure Based on TCFD Recommendations
	201-3	Defined benefit plan obligations and other retirement plans	Society > Improving the value of human resources Annual Securities Report (Fiscal Year Ending March 2023) - Part 1 - Part 5 [Accounting Status] 
	201-4	Financial assistance received from government	
202: Market Presence 2016	202-1	Ratios of standard entry level wage by gender compared to local minimum wage	
	202-2	Proportion of senior management hired from the local community	
203: Indirect Economic Impacts 2016	203-1	Infrastructure investments and services supported	Value creation through sports > Development of local communities centered on sports Creating value through sports > Extending healthy life expectancy by maintaining motor function Creating value through sports > Improving physical fitness and athletic abilities of children
	203-2	Significant indirect economic impact	Creating value through sports > Improving physical fitness and athletic abilities of children
204: Procurement Practices 2016	204-1	Proportion of spending on local suppliers	Materiality > Responsible procurement that respects human rights
205: Anti-Corruption 2016	205-1	Operations assessed for risks related to corruption	Governance > Compliance / Anti-Corruption
	205-2	Communication and training about anti-corruption policies and procedures	Governance > Compliance / Anti-Corruption
	205-3	Confirmed incidents of corruption and actions taken	Governance > Compliance / Anti-Corruption
206: Anti-Competitive Behavior 2016	206-1	Legal actions for anti-competitive behavior, anti-trust, or monopoly practices	Governance > Compliance / Anti-Corruption

GRI Standard	Disclosure		Place of publication
207: Tax 2019	207-1	Approach to tax	Annual Securities Report (Fiscal Year Ending March 2023) Part 1-2-2 [Business Risks] 
	207-2	Tax governance, control and risk management	
	207-3	Stakeholder engagement and management of concerns related to tax	
	207-4	Country-by-country reporting	

Itemized Standard Environment

Identified material items are shaded in light blue.

GRI Standard	Disclosure		Place of publication
301:Materials 2016	301-1	Materials used by weight or volume	Environment > Mitigation of environmental i mpact in products
	301-2	Recycled input materials used	Environment > Mitigation of environmental i mpact in products
	301-3	Reclaimed products and their packaging materials	Environment > Mitigation of environmental i mpact in products
302: Energy 2016	302-1	Energy consumption within the organization	Environment > Climate Change ESG Data > Environment
	302-2	Energy consumption outside the organization	
	302-3	Energy intensity	Environment > Climate Change
	302-4	Reduced energy consumption	ESG Data > Environment
	302-5	Reductions in energy requirements of products and services	
303 : Water and Effluents 2018	303-1	Interaction with water as a shared resource	Environment > Water use and management
	303-2	Management of water discharge-related impacts	Environment > Water use and management
	303-3	Water withdrawal	Environment > Water use and management ESG Data > Environment
	303-4	Water drainage	Environment > Water use and management ESG Data > Environment
	303-5	Water consumption	Environment > Water use and management

GRI Standard	Disclosure		Place of publication
304: Biodiversity 2016	304-1	Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	
	304-2	Significant impacts of activities, products and services on biodiversity	
	304-3	Habitats protected or restored	
	304-4	IUCN Red List species and national conservation list species with habitats in areas affected by operations	
305: Emissions 2016	305-1	Direct (Scope 1) GHG emissions	Environment > Climate Change ESG Data > Environment
	305-2	Energy indirect (Scope 2) GHG emissions	Environment > Climate Change ESG Data > Environment
	305-3	Other indirect (Scope 3) GHG emissions	Environment > Climate Change
	305-4	GHG emissions intensity	Environment > Climate Change ESG Data > Environment
	305-5	Reduction of GHG emissions	Environment > Climate Change
	305-6	Emissions of ozone-depleting substances (ODS)	Report not applicable (environment > climate change)
	305-7	Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions	Report not applicable (environment > climate change)
306: Waste 2020	306-1	Waste generation and significant waste-related impacts	Environment > Reduction of Waste Environment > Business Activities and Environmental Burden
	306-2	Managing significant waste-related impacts	Environment > Reduction of Waste
	306-3	Waste generated	Environment > Reduction of Waste Environment > Business Activities and Environmental Burden Environment > Reduction of Hazardous Chemical Substances ESG Data > Environment
	306-4	Waste diverted from disposal	Environment > Reduction of Waste EESG Data > Environment
	306-5	Waste directed to disposal	Environment > Reduction of Waste ESG Data > Environment
306: Effluents and Waste 2016 (* Valid only for the items on the right)	306-3	critical leak	Environment > Reduction of Hazardous Chemical Substances

GRI Standard	Disclosure		Place of publication
308: Supplier Environmental Assessment 2016	308-1	New suppliers that were screened using environmental criteria	Society > Supply Chain Management
	308-2	Negative environmental impacts in the supply chain and actions taken	Materiality > Responsible procurement with due respects human rights Society > Supply Chain Management

Itemized Standards Society

Identified material items are shaded in light blue.

GRI Standard	Disclosure		Place of publication
401: Employment 2016	401-1	New employee hires and employee turnover	Society > Enhancement of Human Capital Value EESG Data > Society
	401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	Society > Work-Life Management
	401-3	Parental leave	Society > Work-Life Management ESG Data > Society
402: Labor/Management Relations 2016	402-1	Minimum notice periods regarding operational changes	Society > Enhancement of Human Capital Value

GRI Standard	Disclosure		Place of publication
403: Occupational Health and Safety 2018	403-1	Occupational health and safety management system	Society > Occupational Health and Safety
	403-2	Hazard identification, risk assessment, accident investigation	Society > Occupational Health and Safety
	403-3	Occupational health services	Society > Occupational Health and Safety
	403-4	Worker participation, consultation, and communication on occupational health and safety	Society > Occupational Health and Safety
	403-5	Worker training on occupational health and safety	Society > Occupational Health and Safety
	403-6	Promotion of worker health	Society > Health Promotion Initiatives
	403-7	Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	
	403-8	Workers covered by the occupational health and safety management system	Society > Occupational Health and Safety
	403-9	work-related injuries	Society > Occupational Health and Safety ESG Data > Society
	403-10	Work-related illness	
404: Training and Education 2016	404-1	Average hours of training per year per employee	Society > Development and Nurturing of Talent
	404-2	Programs for upgrading employee skills and transition assistance programs	Society > Development and Nurturing of Talent
	404-3	Percentage of employees receiving regular performance and career development reviews	Society > Development and Nurturing of Talent
405: Diversity and Equal Opportunity 2016	405-1	Diversity of governance bodies and employees	Governance > Corporate Governance Annual Securities Report (Fiscal Year Ending March 2023) - Part 1 - Part 4-4 [Status of Corporate Governance, etc.]  Society > Diversity Initiatives ESG Data > Society
	405-2	Ratio of basic salary and remuneration of women to men	Society > Promoting and respecting diversity
406: Non-discrimination 2016	406-1	Incidents of discrimination and corrective actions taken	
407: Freedom of Association and Collective Bargaining 2016	407-1	Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	Society > Supply Chain Management

GRI Standard	Disclosure		Place of publication
408: Child Labor 2016	408-1	Operations and suppliers at significant risk for incidents of child labor	Society > Supply Chain Management
409: Forced or Compulsory Labor 2016	409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labor	Society > Supply Chain Management
410: Security Practices 2016	410-1	Security personnel trained in human rights policies and procedures	
411: Rights of Indigenous Peoples 2016	411-1	Incidents of violations involving rights of indigenous peoples	
413: Local Communities 2016	413-1	Operations with local community engagement, impact assessments, and development programs	Management and Sustainability Strategy > Stakeholder Engagement Value creation through sports > Development of local communities centered on sports Creating value through sports > Extension of healthy life expectancy through the maintenance of motor function Creating value through sports > Improving physical fitness and athletic abilities of children
	413-2	Operations with significant actual and potential negative impacts on local communities	
414: Supplier Social Assessment 2016	414-1	New suppliers that were screened using social criteria	Society > Supply Chain Management
	414-2	Negative social impacts in the supply chain and actions taken	Materiality > Responsible procurement with due respects human rights Society > Supply Chain Management
415: Public Policy 2016	415-1	Political contributions	
416: Customer Health and Safety 2016	416-1	Assessing health and safety impacts for product and service categories	Society > Product Safety and Quality (policies and systems)
	416-2	Incidents of non-compliance concerning the health and safety impacts of products and services	Society > Product Safety and Quality (policies and systems) Society > Ensuring of the safety and quality of products
417: Marketing and Labeling 2016	417-1	Product and service information and labeling requirements	Society > Communication related to products
	417-2	Requirements for product and service information and labeling	Governance > Protection of intellectual property
	417-3	Incidents of non-compliance concerning marketing communications	Governance > Protection of Intellectual Property
418: Customer Privacy 2016	418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	Governance > Protection of Personal Information



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